



RISING AMIDST CATASTROPHE



AMANA TAKAFUL PLC
ANNUAL REPORT 2022



RISING AMIDST CATASTROPHE

The year 2022 brought with it a myriad of interconnected economic, social and political challenges. The catastrophic nature of the status quo called for a resilient, prudent response from the insurance industry to withstand external pressure. At Amana Takaful, we implemented a strategic approach calculated to withstand the challenges and simultaneously ensure growth. This approach coupled with our innate resilience and unity allowed us to steer forth in the direction of growth and create value for all stakeholders in the short, medium and long term.

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VISION

"Committed to providing peace of mind through World Class Insurance solutions"



MISSION

"We will stand apart from the rest by engaging all stakeholders, crafting unique insurance solutions, in a spirit of mutuality and solidarity"



VALUES

CUSTOMER CENTERED:

Interaction with Customers. We listen to our customers and go the Extra mile to serve them

OPEN MINDEDNESS:

Changing the status quo, seeking new ideas. We foster a culture where ideas and opinions are shared freely

RISE FOR QUALITY:

A culture of continuous improvement. we are driven to give all stakeholders a quality service

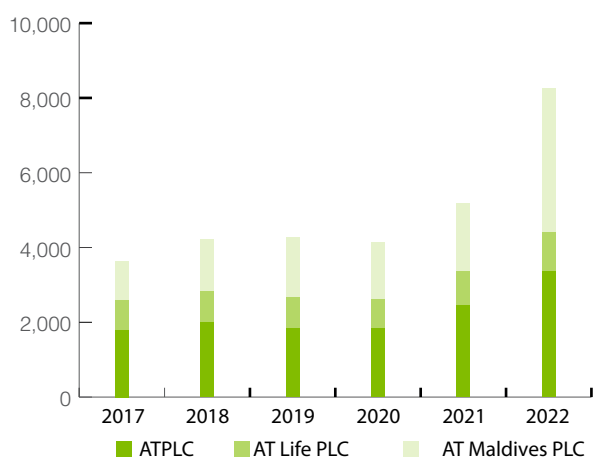
DIVERSITY:

Our soul and spirit To every Sri Lankan as one

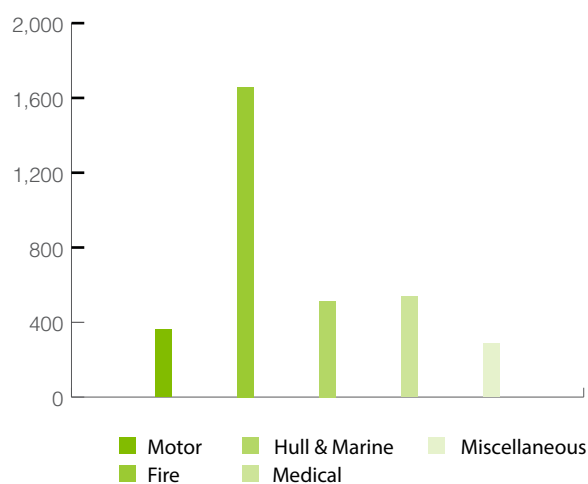
PERFORMANCE HIGHLIGHTS

	2022 Rs. Mn	2021 Rs. Mn	
Group			
Total Gross Written Premium	8,251	5,179	24.20%
Profit/(Loss) after tax	487	276	24.16%
Earnings/(Loss) per share (Rs.)	1.66	0.91	36.48%
Total Assets	12,707	8,568	20.49%
Net Assets value per share (Rs.)	15.51	9.52	12.33%
Return on Equity	0.11	0.12	8.84%
General Takaful			
Gross Written Premium	7,199	4,253	25.95%
Net Earned Premium	4,790	2,822	25.00%
Life (Family) Takaful			
Gross Written Premium	1,061	930	21.19%
Life Fund - FTF	356	397	-10.86%
Life Fund - Unit Link	2,474	2,150	12.37%
Total Life (Family Takaful) Fund	2,830	2,547	7.98%
Company			
Profit/Loss After Tax	295	163	397.89%
Earnings/(Loss) per share (Rs.)	1.64	0.91	398.53%
Net Assets value per share (Rs.)	15.27	9.30	7.05%
Return on Equity	0.1073	0.0974	0.00%
No of Employees	407	371	64.16%
No of Branches / Distribution Centres	30	29	11.54%
General Takaful			
Gross Written Premium	3,359	2,443	32.82%
Net Earned Premium	2,065	1,606	19.35%

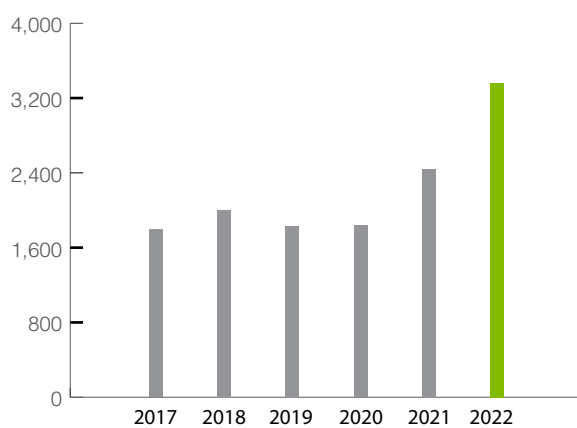
**Group - Gross Written Premium
(Rs. Mn)**



**Company - Motor & Non-Motor Mix in GWP
(Rs. Mn)**



**Company - Gross Written Premium
(Rs. Mn)**



PRODUCT PORTFOLIO

GENERAL

BUSINESS COVER

“Business Cover” is a business insurance solution which helps small and medium sized business owners who play a critical role in boosting the country's economy. This insurance policy is designed to indemnify the business owners in the event of a loss or destruction and also help business owners to ensure Income Continuity, Financial Commitment or Relocation Expenses following damage to the insured property. The unique feature of this product is that it is totally digitalised and customer can obtain the quote instantly.



TRAVEL PAL

‘Travel Pal’ provides absolute peace of mind to the policy holder by offering support to individuals who travel overseas for leisure, business or family engagements. The policy is a comprehensive and reliable travel companion. It covers the traveller in the event of emergency treatment in a hospital, personal accidents and injuries, permanent or total disabilities, loss of luggage and valuables, re-imbursement of repatriation cost, flight delay/cancelation, missed departure etc.



MY HOME

'My Home' provides a comprehensive insurance cover for your home, which is a showpiece of a lifetime decorated with memories of love, care and family. This cover includes protection against burglary, damages caused by fire and natural disasters. The insurance policy also provides benefits such as a personal accident cover for your family members, protection against loss of rent, fire brigade charges, replacement of ATM/credit cards, alternative accommodation requirements, deterioration of food in the refrigerator and much more.



EASY MARINE

With 'Easy Marine' insurance cover, one can be at ease, whilst the goods are on the move. Coverage is for loss or damage to goods whilst on the ship, at the warehouse or any accepted mode of transport through which your goods are being transferred between the point of origin and the final destination - for an economical price.



PRODUCT PORTFOLIO

MOTOR

TOTAL DRIVE - PRESTIGE

'Total Drive – Prestige' is a premier motor insurance cover designed for luxury vehicles valued at Rs. 10 Mn and above. Join a prestigious niche and experience 100% protection for your vehicle. Your choice is our responsibility. We guarantee 100% claim even if you fix your vehicle at your agent's garage.



TOTAL DRIVE

'Total Drive' provides comprehensive cover for your vehicle, with other extensive covers to suit your risk when it comes to an accident. This product also covers an assortment of vehicle related expenses and the processes to submit and collect claims are all carefully designed to suit the busy lives of our customers.



TUK TUK FULL

Tuk Tuk Full is for three-wheel owners and drivers. It is the most attractive three-wheel cover in the market and takes into account all the challenges faced by the tuk tuk drivers on a daily basis, to ensure their livelihoods are sustained.

The insurance cover provides cover for a host of eventualities, to ensure that at any point in time, the policy holder is protected from loss. 'Tuk Tuk Full' covers natural perils, riots & strikes, third party property damage and extended to cover "hiring". In addition to this, 'Tuk Tuk Full' also avails the policy holder a comprehensive insurance cover against personal emergencies such as disability or hospitalisation.



SMART RIDER

'Smart Rider' is a compelling insurance scheme for motor bikes and its owners' that cover its riders across a spectrum of scenarios to ensure that they do not have to suffer monetary loss due to any unfortunate event.



PRODUCT PORTFOLIO

MEDICAL

SUWASIRI

The 1st of its kind, this unique health insurance policy comes with an extremely affordable fee of Rs. 2,222 for an annual insurance coverage of Rs. 100,000. This has made the Suwasiri Health Insurance policy the most affordable policy available to every Sri Lankan. Suwasiri is the perfect solution to the challenges faced by Sri Lankans due to the increasing costs of hospitalisation & medical treatment expenses. Whilst good health is a blessing, an illness can occur when we least expect it. Suwasiri Health Insurance policy is the solution that will help ease one's financial burden during a time of crisis.



HALE & HEARTY

Illness is an untold burden which can affect anyone irrespective of age or status. Alarming, access to prompt and caring medical attention is a luxury today given the high cost.

Medical costs are escalating by the day making it difficult for the average person to afford. However, Hale & Hearty medical cover from Amana Takaful Insurance can help make such predicaments in life seem a lesser burden.

Hale and Hearty is a must for every citizen. This medical cover can be obtained by individuals and families within the age group of 18 to 55. Dependent children are covered up to 21 years.



HALE & HEARTY - KRUTHAGUNA

Hale & Hearty - Kruthaguna, is a medical insurance cover designed to take care of the hospitalisation expenses of our elderly loved ones. It gives the peace of mind, to love them and care for them. Hale & Hearty - Kruthaguna provides with financial security and much needed support in times of need. It is a medical insurance cover that provides health insurance benefits for elders above 55 years.



HALE & HEARTY - YOUNG MINDS

Children; their whole world is filled with joy, laughter, innocence and smiles. However sickness can strike at any time; therefore Hale & Hearty – Young Minds Medical Insurance has a tailor-made solution for all parents who value their children's good health as the greatest wealth. "Young minds" gives peace of mind to any parent at the time of their child's hospitalisation, through a wide range of attractive benefits. This medical insurance cover can be obtained for children up to 18 years.



PRODUCT PORTFOLIO

HALE & HEARTY - CRYSTALLINE

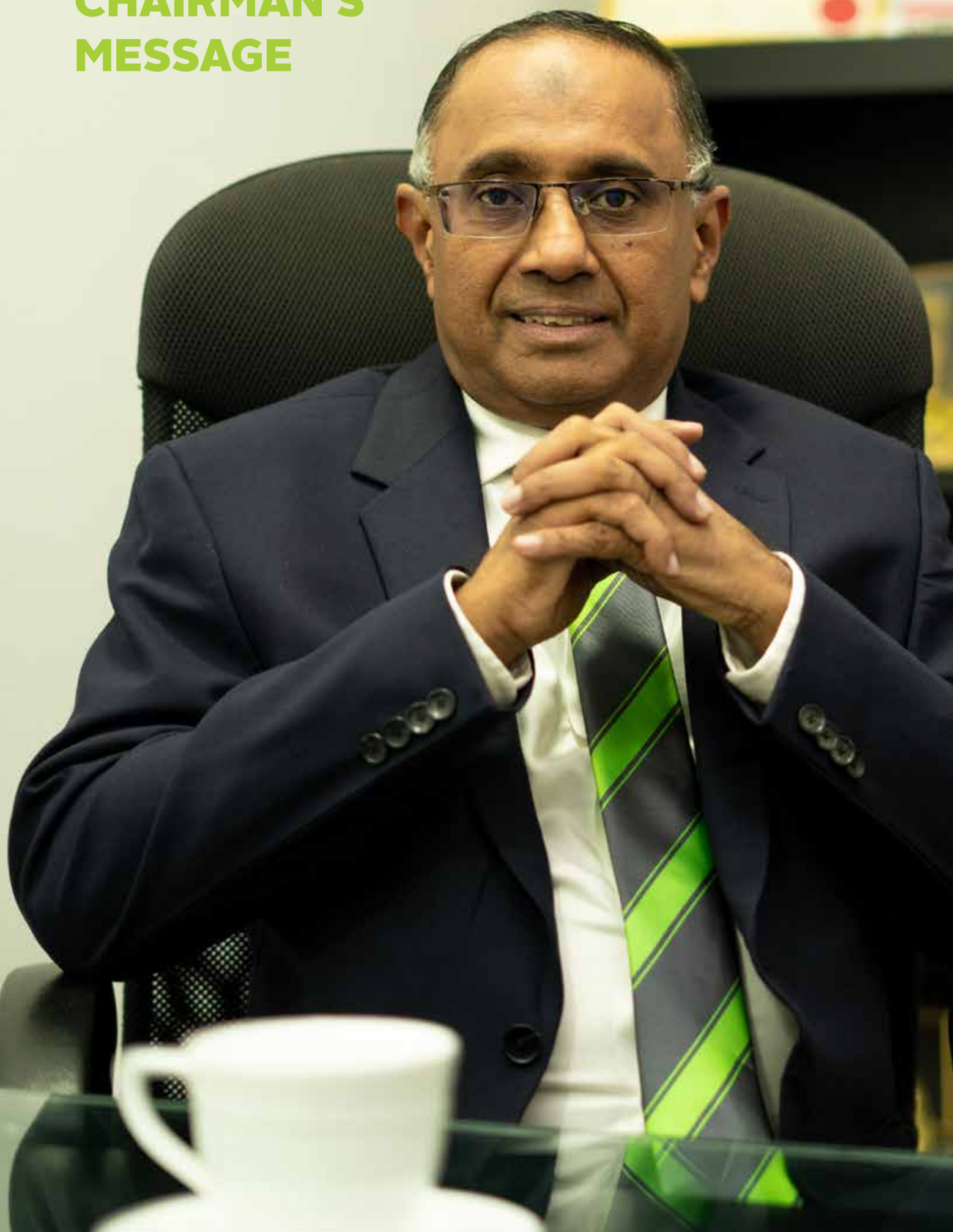
Women are the primary caregivers in today's society. However, a number of health issues pose specific risks to them. 'Hale & Hearty – Crystalline' is especially tailored for ladies, providing coverage for the treatment of ailments common to ladies. From critical illnesses to the complications of aging, the insurance cover insures against the most pressing threats to women's health, providing peace of mind to them.



LEADERSHIP



CHAIRMAN'S MESSAGE



The year 2022 urged Amana Takaful General to apply resilience, caution and resourcefulness to navigate the external challenges. While Sri Lanka's economic and social challenges that prevailed during the year created operational and business difficulties, we managed to stay the course through employing pragmatic strategies. As a result, the Company demonstrated a stable performance during the year under review and laid a stable foundation for future growth. In this back drop, I am pleased to present the Annual Report and the Audited Financial Statements of Amana Takaful PLC (ATPLC) for the financial year on behalf of the Board of Directors.

Operating Context

The country's economic growth as at the third quarter of the year 2022 decreased by 11.8%. A combination of factors including lackluster global economy and foreign exchange, liquidity and trade deficit challenges as well as hyperinflation triggered an economic and social downturn in Sri Lanka. As the country's banking and financial systems failed rising threats, social impact of the crisis continued to be felt during the year under review. The decrease in disposable income threatened the insurance industry. Vehicle import restrictions continued to pose difficulties in the insurance sector. However, the increase in demand for medical insurance and enhanced awareness about General Insurance products resulted in steady growth in the General Insurance sector during the year under review.

Company Performance

Given the unfavourable external backdrop, the Company took a series of strategic decisions to follow through with the business plan for the year 2022 while mobilizing existing resources, adopting flexible action steps and managing cost efficiency to pursue growth objectives. As such, we reinforced our focus on further refining our customer service standards and nurturing our employee wellbeing to aim for sustainable growth objectives in line with UN sustainability goals. Moreover, we worked towards upgrading systems and processes to allow employees to work from home. Our digitalisation drive continued with further advancements in user experience and facilities offered. At present, customers can use our app to file and receive their medical claims and we are working with our IT team and external parties to enable motor claims on the same.

During the year under review, our efforts to improve customer experience and nurture employees bore fruit with the Company recording GWP growth of Rs 37.48% and profit before tax of Rs 294.56. The increase in demand for medical insurance claims contributed largely to the performance. Our consistent customer service excellence earned the Company to continue boosting customer confidence and allowed us to retain and grow our customer base.

During the year under review, LMD magazine named Amana Takaful General as the most awarded Company of the year, a testament to our robust strategy and stability.

Corporate Governance

The Company's corporate governance framework provides the necessary transparency, stability and structure to pursue growth aspirations in line with industry best practices and inherent values of integrity and sustainable development. Amana Takaful General adheres stipulated rules under corporate governance by the Insurance Regulatory Commission of Sri Lanka complying with the strict criteria demarcated for all the insurance companies as of 30th June 2021. Moreover, we comply with the relevant rules and regulations for the industry in relation to Anti Money Laundering laws of the country as well as the CSE rules and regulations as a listed Company. Meanwhile, our internal corporate governance approach ensures a high standard of professionalism and accountability across the board.

Looking Ahead

The macroeconomic challenges of 2022 will continue to spill over into the year 2023. Nevertheless, we remain committed to pursuing our growth targets in line with the strategic objectives laid out in line with our sustainable progress plan. In 2023, we will continue to nurture our relationships with customers, explore new avenues of growth and further establish our digitalisation drive. We will also continue to strengthen our backend technological systems and help our employees achieve their own career and remuneration objectives in a stable work environment to create a safe space to grow. Moreover, we will look into further improving our customer reach through reinforcing the distribution network and offering a relevant product mix to match the market requirements.

Acknowledgement

The year 2022 brought with it myriad or interconnected challenges. We would not have been able to steer clear of the difficulties without the inspiring leadership provided by the Board of Directors. I am thankful to their strategic input, insightful guidance and dedication. I would also like to thank our management team and employees for remaining resilient through immense obstacles. My sincere gratitude goes to our shareholders and business partners for placing their trust in our capabilities. Our customers stood by us even during such dire economic circumstances; I would like to offer my gratitude to them for their confidence in Amana Takaful General. Let us work together to face the daunting time ahead to create sustainable value.



Zulficar Ghouse
Chairman
23 May 2023



CHIEF EXECUTIVE OFFICER'S REVIEW

The year 2022 began with optimism but a combination of global growth decline, supply chain disruptions and Sri Lanka's weak investment environment along with administered exchange rate and monetary policy created an economic crisis that negatively impacted the business landscape across the country. Sri Lanka's foreign currency liquidity crisis and high inflation directly impacted businesses as well as the disposable income of consumers, creating unprecedented challenges to the insurance industry. The restriction on vehicle imports continued to impact the General Insurance industry. Nevertheless, the silver lining in the difficult period was increased awareness about insurance particularly medical insurance, caused the industry to gain increased opportunities for growth. This status quo allowed the industry to utilise the opportunity to expand reach and grow our customer base.

Company Performance

Amana General recorded a GWP growth of 37.48 percent during the year under review 2022. The Company's profit after tax as at the end of the financial year was 294.56, indicating a year on year growth of 80.58%. Total assets of the Company as at the end of the financial year stood at Rs. 5 Bn indicating an improvement of 40.93% year on year.

The Company's commendable performance resulted from our market sensitive and resilient response to the crisis at hand. During the year under review, we expanded our business into other channels – a strategic act that bore fruit within the year itself. Amana Takaful General focused on exploring new avenues of growth including the health sector and export oriented companies. Continuing our efforts to consistently offer a well-balanced product portfolio catering to the current and future needs of customers, we provided a number of innovative policy covers in Medical, Motor, Business Solutions and Travel insurance. In the year 2022, we reinforced our focus on medical insurance for corporate entities. In response to the financial crisis and the challenges associated, the Company employed stringent cost-management measures and looked to optimise existing resources to seek growth.

Meanwhile, the Company's inspiring and visionary leadership provided ready guidance to manage risks prudently and respond with forethought to the various difficulties. A testament to the effectiveness of the leadership team was that our Managing Director - Hassan Kassim secured the Young Leader Award at the 26th Asia Insurance Industry Awards (AIIA) 2022. Moreover, the LMD magazine ranked Amana Takaful General as the fifth highest award winning Company in the country in the insurance industry as well as the first in the General insurance segment.

Technology and Digitalisation

As we prepare for the technological revolution 4.0, Digitalisation and the use of technology to increase efficiency has become a priority. During the year under review, we took yet another step forward in our digitalisation journey with making improvements to our medical claims app. As such, customers can use the app to make payments and claim benefits. Looking to improve our backend technological systems, we made improvements that facilitated work from home facilities for our employees. In the near future, we plan on looking into further digitalisation and digitisation to improve our customer experience.

The Way Forward

As we conclude a turbulent year, we prepare for another year of careful reflection, risk analysis and strategic steps to face the economic environment and seek growth within its constricted parameters. As the global and local external environment is still in the recovery stages, we expect the challenges to continue. However, we are well-prepared for the expected and unexpected challenges – operating within an appropriate risk management framework. We will continue to innovate and cater to the evolving needs of our customers through offering them a relevant product and service mix.

Appreciation

As we wrap the year 2022, in a spirit of gratitude to our innate resilience and growth mindset, I wish to express my gratitude to the Board of Directors for their guidance. I am also grateful to our management and employees for their unwavering commitment and admirable work ethics. Moreover, I would like to convey my appreciation to the Sharia Advisory Council for their valued contribution throughout the year. I would also like to express my sincere appreciation to the Insurance Regulators and our Reinsurance partners, in particular our lead reinsurers – Swiss Re and the NITF. Our shareholders and customers stood by us during this difficult period. I am thankful to them for the trust that they place in our capabilities. Let us continue to seek viable success and create shared value.



Shehan Feisal
Chief Executive Officer
23 May 2023

MANAGING DIRECTOR'S MESSAGE

The interlinked fiscal, economic and social challenges that continued throughout much of 2022, prompted Amana General to adopt an overarching strategy that focused on stakeholder interest safeguarding and an insight driven approach to growth. The Company adopted a prudent risk management strategy coupled with optimal stakeholder engagement to meet growth objectives during the year under review and lay the foundation for future success. With careful deliberation and proactive approach, we effectively achieved this goal in 2022. As such, we were able to record praiseworthy GWP growth as well as profitability as at the end of financial year 2022.

Our Strategic Focus

Mindful of the volatile external environment, we sought to look after the various interests of our stakeholders to pave the path for sustainable growth, whilst ensuring business continuity and operational efficiency during the year under review.

As such, maintained our high customer service standards and consistently looked into improving the way in which we serviced our customers. In line with this, we provided customers with timely and inventive products and services, crafted to safeguard their wellbeing and financial security.

In addition, we expanded our efforts to take care of our employees and provide them with relevant financial and other support in line with our human capital development goals. We took into consideration the concerns of our employees, particularly sales staff to help them progress in their careers and in turn grow our customer base. We provided timely and relevant training and development opportunities to our staff with the aim of improving our service offering and helping staff members achieve their professional goals.

Our distribution channel partners have always been integral to the Company's growth. As the year 2022 unfolded, presenting various logistical, financial and social scale difficulties across the country, we reinforced our efforts to take care of our channel partners and nurture mutually beneficial relations. These efforts too contributed to the positive performance as at the end of the financial year in spite of daunting external environment.

Future Outlook

As we conclude a challenging year, we remain cautiously optimistic about the future. However, Sri Lanka is merely stepping into the road of recovery. The recovery process will be difficult and the economic, social and fiscal challenges will continue to pose difficulties for businesses across the nation. However, we are confident that we are well-equipped in terms of strategy, internal resources, risk framework and product offering to be able to weather the challenges with resilience to create value for all stakeholders in the short, medium and long-term.

Acknowledgement

The year 2022 was one of the toughest we have had to navigate in the recent past. Overcoming overwhelming external pressure was a team effort. As such, I am grateful to our Board of Directors for their prudent and far-seeing leadership. I would also like to thank all our employees for their exceptional work ethics and commitment to the organisation. I am sincerely appreciative of the Shari'ah Advisory Council. I am also grateful to the Insurance Regulator and our Reinsurance partners. I wish to extend my warm appreciation towards our shareholders for their consistent trust in our abilities.



Hassan Kassim
Managing Director
23 May 2023



BOARD OF DIRECTORS PROFILES



M ZULFICAR GHOUSE
CHAIRMAN/INDEPENDENT
NON-EXECUTIVE DIRECTOR

Zulficar Ghouse, a Fellow Member of the Chartered Accountant - Sri Lanka and trained at KPMG and also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka. Since 2009, functioning as the Executive Director of Expack Corrugated Carton Limited, a leading Corrugated Carton Manufacturer. Previously was employed as Director/CEO of Asiabike Industrial Limited, a BOI approved company is the pioneer in the manufacture of bicycles in Sri Lanka.

Zulficar has extensive experience in private sector organisations local and overseas. His previous appointments were as Director / CEO of Colombo Land and Development Co Limited and prior to that he was Managing Director of iOM Lanka (Pvt) Limited and as Country Manager of iOM Philippines In which was subsidiary of Royal Clicks Limited, a company listed on the Singapore Stock Exchange. He was also employed as Group Financial Controller of the Expolanka Group. Was Independent Director at Vidullanka from 2007 to January 2019. Vidul Lanka PLC company, Muvumbe Hydro (Uganda) Limited, Norfolk Foods Pvt Ltd, Vidul Engineering Pvt Ltd, Gurugoda Hydro Pvt Limited, Muvumbe Hydro (Uganda) Limited and Lower Kotmale Oya Hydro Pvt Ltd.



M HASSAN SATTAR KASSIM
MANAGING DIRECTOR

Hassan Kassim was appointed to the Board on 7 March 2016. He is the Director/Deputy Chairman at Aberdeen Holdings (Private) Limited and the Founder of Expo Commodities Global.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.

Hassan Kassim, was awarded the Young Leader Award at the 26th Asia Insurance Industry Awards (AIIA) 2022. The achievement is an unprecedented feat for Amana Insurance and the Sri Lankan insurance industry as a whole, as Hassan is the only Sri Lankan to have won this Young Leader Award of Asia thus far. Furthermore, this was a rare occurrence, where a Sri Lankan company won an award in this forum after nearly 10 years, and the fact that this was achieved amidst an island wide economic crunch provides great reputational value to both Amana Insurance and Sri Lanka as a whole.



SYED RIZWAN HUSSAIN
INDEPENDENT NON-EXECUTIVE
DIRECTOR

Rizwan Hussain is an industry stalwart with over 30 years' experience. He also is a seasoned CEO with an industry leading company in Pakistan, expert at leading cross-functional teams, managing result-oriented departments, ensuring corporate governance. He holds multiple Board Member positions at reputed companies and leverages management and visionary leadership expertise for driving long-term strategies aimed at excelling companies' top-line and bottom-line. He is serving as an Independent Non-Executive Director of Amana Takaful PLC. Alongside his several accolades, he is an MBA & a Certified Director.



E. DEEPTIE WICKRAMASURIYA
INDEPENDENT NON-EXECUTIVE
DIRECTOR

Deepthie currently serves as an Independent Non-Executive Director and the Chairperson of the Audit Committee of Vidullanka PLC and Amana Takaful PLC & Amana Takaful Life PLC. She is also an independent consultant mainly in the fields of business process management, treasury management and business counseling, at Board / senior management levels.

Counts over 35 years of corporate experience that ranges across many industries and countries including the United Kingdom, Singapore, India, Indonesia & the Fiji Islands. She is renowned for successfully leading special projects (locally & internationally) relating to organisational strategy, operations, finance, risk & governance. She has been a board member/advisor to the boards of many companies. She also held the post of Vice President of the Sri Lanka Army Medical Corps Seva Vanitha Unit from 2012 -2015.

Deepthie is a Fellow Member of the Chartered Institute of Management Accountants (CIMA), UK, and holds an MBA from the University of Sri Jayewardenepura, Sri Lanka.



PADMESH SAJJEewa
WEERASEKERA
INDEPENDENT NON-EXECUTIVE
DIRECTOR

Padmesh Weerasekera is a business strategist with over 28 years of experience specializing in the areas of corporate strategy, sales, marketing and sustainability. He has worked in a number of industries covering insurance, advertising, telecommunications, FMCG, automotive, banking, logistics, travel, hospitality, real estate operating locally and internationally. He is a Fellow of the Chartered Institute of Marketing, UK, Certified Management Accountant - CMA Australia and holds a MBA from the University of Wales, UK. He was the Chief executive officer at George Steuart Consumer and served in senior leadership capacities in the past at Expolanka Holdings PLC, Janashakthi Insurance and Bates Asia. He is a recipient of the Brand Leadership Award at the World Brand Congress in 2011, CMO Asia Award in 2012 and Asia's Best Marketer Award in 2016, CMO Asia, Singapore.

BOARD OF DIRECTORS PROFILES



THILAN MANJITH WIJESINGHE
*INDEPENDENT NON-EXECUTIVE
DIRECTOR*

Thilan Wijesinghe, a product of Ananda College, has three Bachelors' degrees in Industrial Engineering, Economics and Business from Cornell University and State University of New York, USA.

Thilan started his career at PWC as Senior Consultant and Sampath Bank as Head of Planning. In the early 1990s he cofounded Asia Capital PLC, which became Sri Lanka's largest investment bank at the time. In September 1995, Thilan was invited to become the youngest ever Chairman of the BOI and almost immediately sold his shareholding in Asia Capital. As its longest serving Chairman, Thilan pioneered PPP transactions in Sri Lanka when he set up the Bureau of Infrastructure Investments under the BOI in 1996. The incentive and policy environment created under Thilan's leadership resulted in several pioneering PPP investments, including Sri Lanka's first ever PPP port terminal (SAGT), first ever mini-hydro and thermal power plant, middle income housing (Millennium City, Athurugiriya and Nivasie Pura, Ekala) and quadrupling of private hospital beds in Sri Lanka (Asiri Surgical, Lanka Hospitals, Ninewells, Kings etc).

Thilan has also headed Sri Lanka's two largest public listed real estate companies, Asian Hotels Properties PLC (owning company of the Cinnamon Grand and Lakeside) and directed the sale of this company to John Keells in 2003. He was also Group Managing Director of Overseas Realty Ceylon PLC, owning company of the WTC and Havelock City. Thilan quit the corporate world in 2010 to pursue entrepreneurial interests and co-founded several businesses such as the Ceylon Tea Trails resort (majority owned by Dilmah Tea), Wow.lk (sold to Dialog Axiata), and Sapphirus Lanka (highest value-added exporter of sapphire). He is currently Chairman/CEO of TWC, an investment bank Thilan founded in 2012. He is also Director of several other public and private companies.



ABDULLAH OSMAN KASSIM
*INDEPENDENT NON-EXECUTIVE
DIRECTOR*

Abdullah Kassim is a young business leader with over 12 years of experience in Senior Management, specializing in Business Process Re-Engineering, Mergers & Acquisitions, High-Level Strategy, and General Management. His experience spans several industries, including Environment Management, Sustainability, Financial Services & Insurance, among others.

Abdullah is the Managing Director of Neptune Papers (Pvt) Ltd, Sri Lanka's Premier Resource Recovery, Environment Management, and Recycling Company with interests in the Paper, Fabric, and Plastic Recycling Spaces. His interests and passion in Environment Management led him to transform the company from a small recycler to the largest company in the country over a 10-year period. He has added on several verticals to the business, including a Recycling Tech Piece, which is expected to gather steam over the upcoming years.

Abdullah is also a Director of Aberdeen Holdings (Pvt) Ltd, a diversified conglomerate with operations spread across the world, including the UAE. He also serves as a Director at Amana Takaful (Maldives) PLC and at Platinum Advisors, a boutique investment bank headquartered in Singapore. Previously he played the role of Head of Business Development of Expolanka Holdings PLC and was part of the core team that floated the company in the Colombo Stock Exchange.

Abdullah holds a First Class (Hons.) BBA from Staffordshire University, UK, and an M.Sc. in International Business & Management from Manchester Business School, University of Manchester, UK.

SENIOR MANAGEMENT TEAM



Shehan Feisal
Chief Executive Officer



Rinaz Niyas
Head of Finance & Compliance



Farhan Jabir
Head of Human Resources &
Secretary to the Board



Rizvan Ahamed
Senior Assistant General Manager –
Non-Motor & Medical Claims/
Re-Takaful



Nalin Sakalasooriya
Senior Assistant General Manager –
Product Pricing & Digital Transformation



Noushad Cassim
Deputy General Manager – Sales
(Metropolitan)



Suresh Basnayake
Chief Sales Officer (Enterprise)



Zakir Kanaka
Assistant General Manager -
Branch Sales Distribution

SENIOR MANAGEMENT TEAM



Rajitha Obeysekera
Head of Corporate Strategy



Faique Hassen
Assistant General Manager –
General Underwriting & Re-Takaful



Sobitha Weerasekera
Head of Information Technology



Shaheer Rasooldeen
Assistant General Manager -
Operations (Business Processes)
& Relationship Management

OTHER CORPORATE MANAGEMENT



Janaka Wijayakumara
Senior Regional Manager – Southern



M.F.M. Hismy
Senior Regional Manager – Eastern



Suluki Kuthdoos
Senior Regional Manager (Western I)



Luqman Nizamdeen
Senior Regional Manager (Western II)



Kapila Rajapaksha
Zonal Sales Manager - (Uva)



Thasleen Ammon
Assistant General Manager -
Corporate Sales



M. Ramakrishnan
Manager – Retail Products



Thilak Nishantha
Senior Manager - Human Resources &
Branch Operations



Rushdi Zarook
Manager – Legal

OTHER CORPORATE MANAGEMENT



Jawfer-Us Sadik
Manager - Re-Takaful



Ahmed Ajfar
Manager - Information Technology



Harindrani Bowatte
Manager - Motor Claims



Chamara De Silva
Senior Manager - Underwriting



Nawaz Badurdeen
Manager - Shariah Department



Fazil Caffoor
Manager - Medical Claims



Anura Shantha
Manager - Internal Audit



P.C. Wishwaka
Head of Leasing & Banca

STRATEGIC REPORT

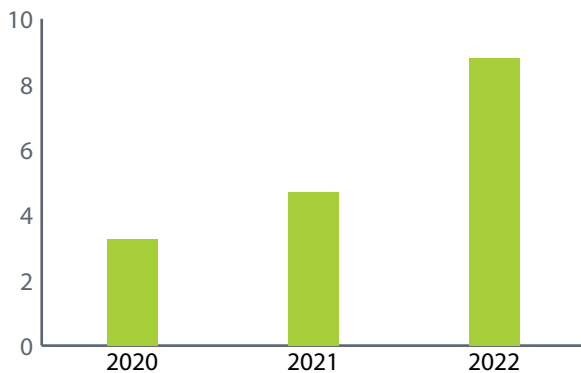


OPERATIONAL REVIEW

Economic Backdrop

According to the World Economic Outlook report released by the International Monetary Fund in October, the global economy contracted from 6.0 in 2021 to 3.2% in 2022. The decreased growth stemmed from the post-COVID-19 impact, supply chain disruptions, economic repercussions of Russia's war on Ukraine and unstable financial markets. Reflecting the increasingly volatile economy and its social impact, inflation predictions increased from 3.2% in 2020 to 4.7% in 2021 to 8.8% in 2022.

Global inflation (%)



The cost of living crisis continued into the year 2023, which Governments across the world strive to manage with monetary policy changes. However, tight monetary conditions continue to lead to uncertainty in financial and debt stability.

This unfavourable global backdrop and volatile economic conditions coupled with social unrest triggered a large scale economic downturn in Sri Lanka. The country faced a severe foreign exchange liquidity constraint which translated into fuel, medicine and food shortages triggering hyperinflation.

The aforementioned crisis was long brewing but the trigger point was the loss of access to the global financial market in 2020 following a credit rating downgrade. The nation continued to service external debt and pay for imports using official reserves and seeking assistance from the banking sector. In the aftermath, Sri Lanka's official reserves declined from US\$ 7.6 Bn. in 2019 to less than US\$ 400 Mn. by June 2022, with the exception of a currency swap equivalent to US\$ 1.5 Bn. with China.

The country's economy declined by 11.8 in the third quarter of 2022. Meanwhile, key sectors continued to experience supply chain disruptions.

As the economic woes continued, Sri Lanka's inflation based on the National Consumer Price Index stood at 53.20 as at January 2023. While inflation mainly caused by high food prices, supply chain disruptions and fiscal concerns continued to impact the country's communities, the Sri Lankan rupee depreciated from 200 to 360 to the US in 2022 mainly due to the balance of payment crisis. In this backdrop, interest rates increased to 30% in 2022.

As such, the financial sector faced a dire status quo with licensed microfinance companies, superannuation funds, insurance companies and other subsectors recording mixed results. The decelerated economic growth impacted the disposable income of Sri Lankans, creating a concerning situation for the Long-Term insurance industry.

In spite of this unstable situation, increased awareness and interest post COVID-19 pandemic as well as in the motor insurance business helped the insurance industry to remain stable and grow during the year under review. The GWP of the industry grew by 7.9% during the year under review while total assets rose by 17.8%.

Sources cited: The World Bank. International Monetary Fund, Central Bank of Sri Lanka

Insurance Sector Performance

The Insurance Regulatory Commission of Sri Lanka revealed that the GWP of the General Insurance industry recorded a 12.61% growth at a value of Rs. 115,391 Bn (2021: Rs. 102,471 Bn). The insurance industry as a whole performed well in 2022 amidst the adverse economic environment

Claims ratio by the General Insurance industry including Motor, Fire, Marine and other categories, stood 63% (2021: 60%).

While the value of total assets of insurance companies stood at Rs. 947,259 Mn as at the end of the fourth quarter, illustrating a growth of 7.42%, the total assets of the General Insurance sector stood at Rs. 278,583 Mn reflecting a growth of 11.78% by the end of the fourth quarter.

As at the end of the fourth quarter of 2022, profit before tax of the insurance sector stood at Rs. 50,336 Mn indicating an increase by 19.36%. The profit before tax of the General Insurance industry was at Rs. 26,897 Mn as at the end of the fourth quarter.

As the results indicate in spite of the financial instability the General Insurance industry indicated a positive growth during the 2022, mainly driven by the increase in increased interest in Marine, Motor and medical insurance.

Company Performance

Amana Takaful General showed initiative and resilience in the face of challenging external factors recording a GWP growth of 37.48% at Rs. 3.35 Bn as at the end of the financial year. The GWP growth can be attributed largely to the increase in Marine, Motor and Corporate medical insurance during the year under review. The Company's profit after tax grew by 79.76% at Rs. 294.55. Amana Takaful General recorded a total asset base growth of 17.13% as at the end of the financial year 2022.

As the year 2022 proved to be challenging on multiple fronts, Amana Takaful General adopted a multi-pronged approach to navigate the situation. While we continued to explore the original business plan for the year 2022, we diverted into other channels and sought to cater to export oriented companies to pursue growth. The Company prioritised digitalisation in 2022 with upgrading the medical claims and motor apps to facilitate customer convenience. In the meantime, we invested in IT infrastructure, systems and architecture to create a stable, functioning digitalisation drive.

Our ultimate strategy for growth includes an expansive approach that look to address the concerns of all our stakeholders including customers, channel partners, brokers and employees to enable sustainable growth dynamic.

The Company's success in this direction proved to be successful as LMD magazine listed Amana Takaful General as one of the most awarded companies in 2022.

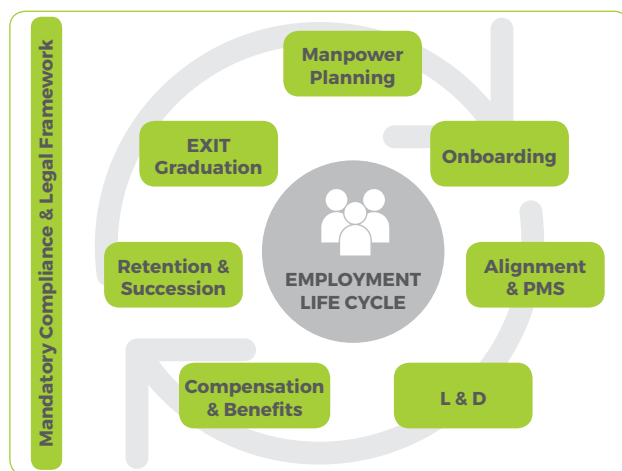
Meanwhile, we proactively strengthened our service levels to customers and enhanced employee wellbeing to promote workforce efficiency and happiness. The latter involved providing transport options during fuel shortages, facilitating work from home and helping employees to pursue career growth. As a result of the growth conducive approach the Company's sales team was able to increase sales during the year under review. As such, the Company was able to create value for all stakeholders through shaping a trustworthy, transparent and growth-conducive business approach.

Looking Ahead

We expect the challenging external environment to continue in the same vein in 2023. However, we are well-prepared to successfully face the challenges through an interconnected approach to business growth involving product and services development, digitalisation and strengthening stakeholder interests.

HUMAN RESOURCES

In the Insurance industry, talented and experienced employees drive growth in a comprehensive and sustainable manner. As such, Amana General consistently approaches human capital development on the pillars of employee wellbeing, competency enhancement, happiness and opportunities for career growth. Our strategic approach towards human capital development hinges on the below depiction of the employee lifecycle based on the Performance Management System (PMS):



In line with our goals to develop a sustainable business model, we align our human capital development strategy to organisational corporate goals. As such, it is of vital importance to recruit, nurture and retain people with the right skill set, motivation and the will to pursue growth. Our human capital development end goal is to nurture a workforce that is happy, competent, committed, and motivated, which in turn would contribute towards our overall business goals.

As we operate in a highly competitive industry, we place emphasis on developing and maintaining a culture of learning, unlearning, re-learning and development. This report elaborates on employee training in the 'Nurturing Human Capital' section.

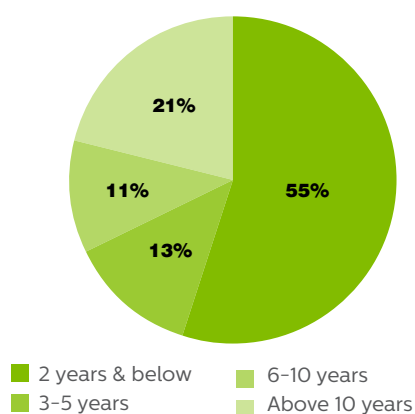
Our employee life cycle commences with the recruitment process, which looks into hiring talented and motivated employees in the industry. The below illustration depicts the Company's recruitment process.



Our Human Capital Composition

We strive consistently to create a work space that is non-discriminatory, fair and conducive to the wellbeing and growth of our employees. A considerable percentage of our employees have remained with the Company for over a long period. This signifies the inherent success of our employee retention and development approach.

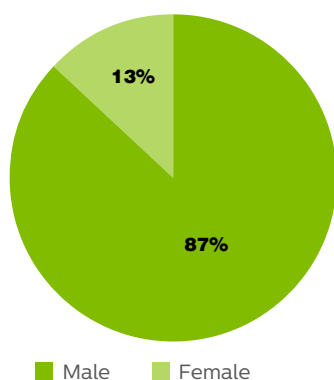
Service Analysis of Staff 2022



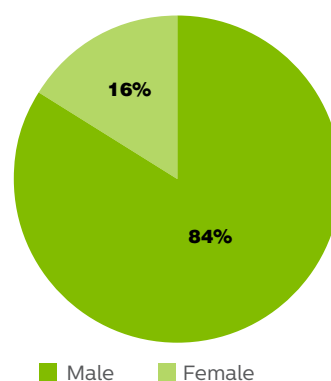
Amana Takaful General maintains a policy of non-discrimination based on gender, ethnicity and religious beliefs. As such, our employee base is made up of a diverse group of people. Our approach to growing a diverse team of employees falls in line with the Company's 'Credo' - To Every Sri Lankan as One. As such, our value creation process strives to foster an inclusive and high functioning culture.

At Amana Takaful we encourage female employees to join our team and aspire for career growth. As such, the Company's female employee base continues to grow annually.

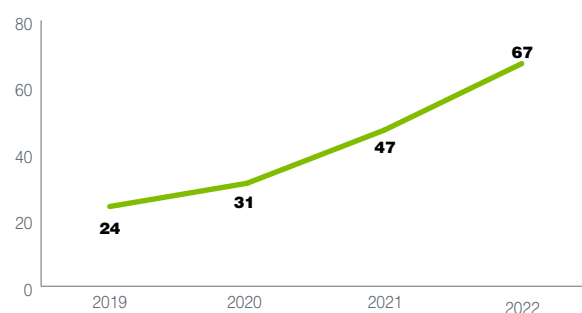
Gender Analysis of Staff - 2021



Gender Analysis of Staff - 2022



Number of Female Staff



Our employee base spans across the island, in line with the requirements of our customer base.

Amana Takaful PLC

Staff Distribution by Province	2021 No.	%	2022 No.	%
Central	28	8%	34	8%
Eastern	24	6%	24	6%
North Central	2	1%	1	0%
North Western	22	6%	23	6%
Northern	9	2%	9	2%
Sabaragamuwa	3	1%	4	1%
Southern	14	4%	16	4%
Uva	29	8%	21	5%
Western	240	65%	275	68%
Total	371	100%	407	100%

HUMAN RESOURCES

Nurturing Our Human Capital

In the competitive insurance industry landscape, Learning and Development is vital to not only creating a robust, effective teams but also in retaining talent within the Company. Mindful of this, the Company created a well-structured and customisable Learning and Development plan to meet the training needs of employees across the board.

During the year under review, we initiated the Leadership Excellence Programme (LEP) in collaboration with the Post Graduate Institute of Management (PIM) to assist employees to become well-equipped leaders. The training module covered a spectrum of necessary leadership skills including strategy formulation, marketing, personal excellence and finance knowledge. The end goal was to identify, and find feasible solutions for specific organisational problems whilst also meeting overall company goals.

The LEP program is well-gearred to groom young leaders of the Company to take the reins to lead Amana General to seek viable, long-term growth. The program focused on a series of strategic development steps to select 30 top performing executives to formulate three high performing teams which then received coaching on key identified areas.

Meanwhile, we sourced proven industry trainer in order to catalyse the many learning and development initiatives to uplift are employees.

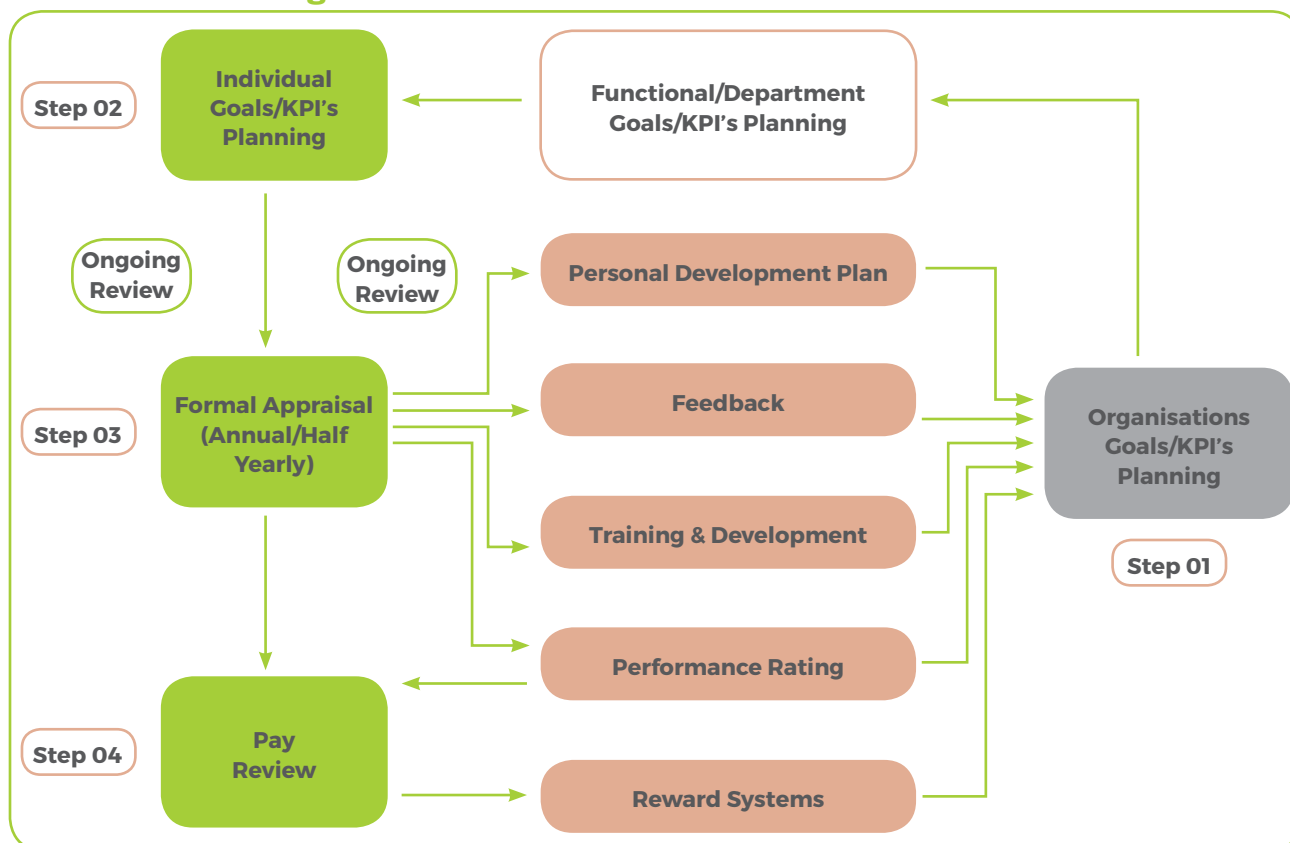
The Company's Operations Working Committee (OWC), which consists of second tier managers was constituted. The OWC focused on service level improvements within the Company, and in particular operational activities.

How We Navigated the Challenging External Environment

The economic and social crisis that prevailed negatively impacted our ability to hire and retain talented employees as many sought employment overseas. In being a responsible employer committed to the wellbeing of our people the Company refrained from reducing benefits or remuneration that we provide to employees in spite of the challenging environment.

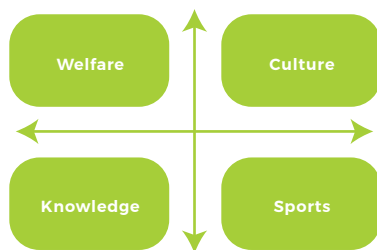
The Company's remuneration approach remains effective and transparent – following a fair and efficient performance management system.

Performance Management Process



In promoting a culture of accountability and fairness within the organisation, we maintain an 'Open Door' policy where staff may discuss any matters of concerns freely. While our workplace layout of open spaces encourages unity, the Internal Communications Unit (ICU) carries out internal communication in an effective manner. Our 'Pulse Check' initiative concentrates on conducting informal discussion with employees to help them remain connected and happy within the organisation.

The Amana Takaful Welfare Association (ATWA) ensures the engagement of employees through a comprehensive range of action steps designed to prioritise employee wellbeing. ATWA conducts periodic events to encourage networking and unity within the Company. The below illustration depicts the mandate of the ATWA;



While the Company's overall HR policies enabled Amana General to achieve human capital development goals for the year 2022, we are in the process of enhancing the work environment including the layout of the office to improve employee interaction and wellbeing.

We remain committed to the human capital development goals of nurturing a team of employees that are happy, competent, committed, and motivated.

CORPORATE SOCIAL RESPONSIBILITY

Scholarships

Amana Takaful Insurance came forward to financially support university students who gained admission to various universities. This monthly stipend that will continue for 5 years shall help meet educational and living expenses during the students' course of study.

The students were selected from different districts in the country, and are members of financially deprived households. Their parents are currently engaged as labourers, fruit sellers and street vendors.

Regular follow-ups are done and students are required to inform the company of their academic progress. Senior Management meets with the students and parents to review the students' progress.

CORPORATE GOVERNANCE

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amana Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed and controlled. It is a concept which is now increasingly entrenched in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amana Takaful PLC is committed to adopting best practices. It is also committed to maintain, the smooth functioning of the Company's operations.

Capital Structure and Shareholding

Amana Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,860,001,339/-. The Company has 4,721 shareholders, while the majority shares are held by individuals. Details of the main shareholders are given on page 157.

Board of Directors and Board Committees

There are seven Directors on the Board of Amana Takaful PLC, of whom six Directors hold office in Non-Executive capacity and one Director in Executive Capacity as at the reporting period. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 51.

CORPORATE GOVERNANCE

Corporate Governance Framework

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report.



Board Composition

The Board currently comprises 7 Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 20 to 22.

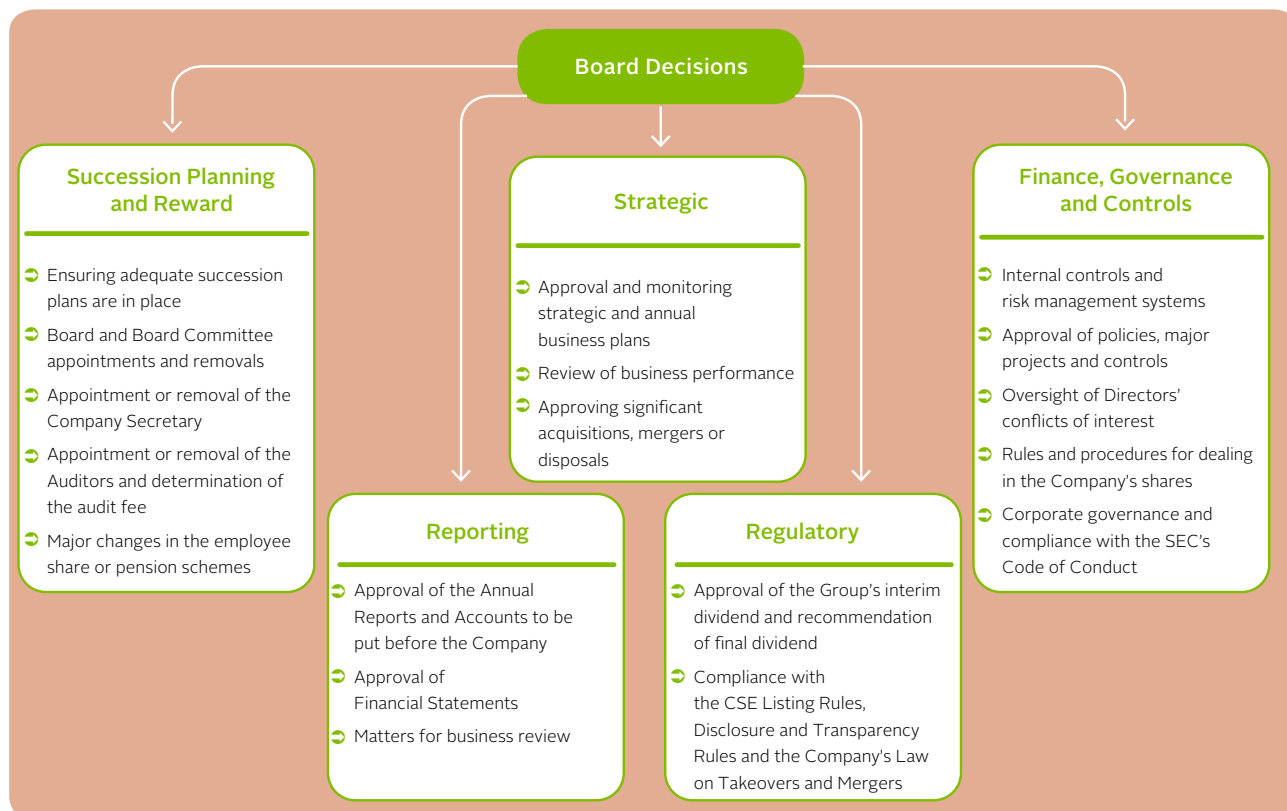
The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 43 to 49. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:



CORPORATE GOVERNANCE

The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and develop and maintain effective communications with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company; Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the executive management of the Company; meet the Group's budget and strategic plans; and
- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between Senior Management and Executive/Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amana Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following Committees of the Board have been formed with the objective of improving governance; viz-

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each committee has a defined Terms of Reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

(I) The Board Audit and Compliance Committee

The Audit and Compliance Committee comprises of three Independent Non-Executive Directors of the Board. This Committee is chaired by E. D. Wickramasuriya who is an Independent Non-Executive Director of the Company. The Managing Director, Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 53 to 54.

(II) The Board Risk Management Committee

The Risk Management Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail Report on the Risk Management Committee functions and its activities during the year 2022 are provided on pages 43 to 49.

(III) The Board Investment Committee

The Investment Committee comprises Osman Kassim, M H S Kassim, Sharhan Muhsin, Zulficar Ghouse, Abdullah Kassim and Ammar Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

(IV) The Board Remuneration Committee

The Remuneration Committee comprises three Independent Non-Executive Directors of the Board. Details of remuneration paid to Directors are set out in Note 31 to the Financial Statements on page 125.

The Report of the Remuneration Committee is provided on page 55.

(V) The Board Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors as at Reporting date. This Committee is chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company.

The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 56.

CORPORATE GOVERNANCE

Ethical Standards

Amana Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgment;
- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the Monthly Team Briefs.

Executive Management

The Chief Executive Officer deliberates strategic issues with the Operations Management Committee (OMC) which includes heads of departments. Each of them who head strategic business units drive their business functions aligned to the strategic plan, building capacity and capability.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with “Shari’ah” Requirements

Amana Takaful PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 57.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds monthly Team Briefs, at which, employees are briefed of the policies, goals and values of Amana Takaful PLC and their views and suggestions are sought and evaluated.

Amana Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) requirements pertaining to Amana Takaful PLC has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015 as at 31.12.2022.

Corporate Governance Disclosures Under Colombo Stock Exchange (CSE) Rules in Relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Directors M. H. S. Kassim – Managing Director	All members of the Board except one member serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7. 10. 1.
	Non-Executive Directors M. Z. M. Ghouse – Chairman S. Rizwan Hussain E.D. Wickramasuriya T. M. Wijesinghe P. S. Weerasekera A. O. Kassim	
	Independent Directors M. Zulficar Ghouse E. D. Wickramasuriya S Rizwan Hussain T. M. Wijesinghe P. S. Weerasekera A. O. Kassim	
		All Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 7.10.3 (a) The Board comprises of six Independent Directors out of six Non-Executive Directors, by the end of 2022. The Company has complied with the CSE Listing Rules 7. 10. 2
Remuneration Committee	Zulficar Ghouse - Chairman Syed Rizwan Hussain Abdullah Osman Kassim (Appointed to the committee w.e.f. April 2022)	This Committee comprised of three Non-Executive Directors as at reporting date, of whom, two are Independent. The Company has complied with the CSE Listing Rules 7. 10. 5
Audit and Compliance Committee	E. D. Wickramasuriya - Chairman Syed Rizwan Hussain P. S. Weerasekera (Appointed to the committee w.e.f. April 2022)	This Committee comprised of three Non Executive Directors of which two are Independent Non-Executive directors at reporting date. The Company has complied with the CSE Listing Rules 7. 10. 6
Related Party Transactions Review Committee	M. Zulficar Ghouse - Chairman E. D. Wickramasuriya P. S. Weerasekera (Appointed to the committee w.e.f. April 2022)	This Committee comprised of three Independent Non-Executive Directors. The Company has complied with the CSE Listing Rules 9. 2. 2.

CORPORATE GOVERNANCE

Compliance with IRCSL Direction # 17 on Corporate Governance

The Company has ensured compliance with the above guidelines including the limitation on period of service of Directors for 9 years and the age limit. As of the reporting date all Directors have service period within 9 years. The company has implemented actions to comply with the requirements within the grace period of 30 June 2021 stipulated in these Rules.

Directors' Attendance at the Meetings

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee Meetings	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
M. Z. M. Ghouse – Chairman	6	6			2	2	4	4
Hassan Kassim	6	6						
E. D. Wickramasuriya	6	6	4	4			4	4
Syed Rizwan Hussain	6	5	4	2	2	2		
P. S. Weerasekara	6	4	4	2			3	2
A. O. Kassim	6	6			1	0		
T. M. Wijesinghe	6	4						

ENTERPRISE RISK MANAGEMENT

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2022.

What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

- Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –
- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.
- Reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective responses to the interrelated impacts, and integrated responses to multiple risks.

ENTERPRISE RISK MANAGEMENT

- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the Company's overall direction and performance.

Definitions of Risk and Risk Management

Risk in general could be defined as "The combination of the probability of an event and its negative consequences", in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as "An efficient and effective process of minimising risks in meeting stakeholder requirements". However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi-directional, iterative process in which almost any component can and does influence another.



Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the "Risk Wheel". The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

1. Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

a. Claims Risk

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

b. Retakaful Risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL).
Accepting risks beyond the Company's retention limits.	The services of professional Retakaful brokers are also obtained in reinsurance placements.
	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

ENTERPRISE RISK MANAGEMENT

2. Market Risks

Market risks are wider risks that any company is exposed to in terms of demand and supply for any type of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

3. Strategic and Reputational Risk

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation.

Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

4. Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up generator is fully active.

5. Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional and headed by Head of Finance who is a member of the General Management Committee. All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

6. Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on credit approval which covers authorisation and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme. Weekly credit review.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRCSL Investment Guidelines.
Close monitoring by the Board Investment Committee.	

ATPLC Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
Consequence		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

L - Low M - Medium H - High VH - Very High

Amana Takaful maintains a Risk Register which analyses all the potential risks under each of the above categories and these items have been graded based on the above parameters of Likelihood and Consequences.

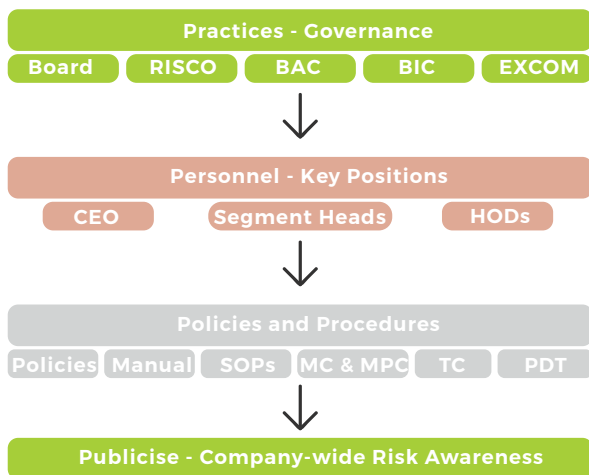
The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/ Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk.
			Have contingency arrangements.
			Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

ENTERPRISE RISK MANAGEMENT

ATPLC Enterprise Risk Management Framework

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	–	The Board of Directors
RISCO	–	Board Risk Committee
BAC	–	Board Audit Committee
BIC	–	Board Investment Committee
EXCOM	–	Executive Committee
CEO	–	Chief Executive Officer
CRO	–	Chief Risk Officer
HODs	–	Heads of Departments
SOPs	–	Standard Operating Procedures
OMC	–	Operations Management Committee
TC	–	Technical Committee
PDT	–	Product Development Team

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

1. First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM Framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

2. Second Line of Defence

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the Management Committee (MC) and Motor Pricing Committee (MPC) widening the participation of Key Management Personnel with specific roles in each of the groups.

3. Third Line of Defence

Key personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

4. Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These Committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Risk Management Process

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at MC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	• Average Rates by Subclasses • Claims Ratios by Sales Teams and Subclasses • Product Profitability • RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	• Overall Target Achievements at Firm Level and Departmental Level • Variance Analysis • Market Positioning • Client Satisfaction Index
Market Risk	• Interest Rate Movement • Bullion Market Movement • Equity Market Movement • Economic Indicators • Changes in Tax Regulations • Changes in Government Policies
Operational Risk	• Staff Turnover Ratio • Staff Satisfaction Index • Internal/External Audit Findings • Deviations from ISO Standards on Safety Measures • Current and Liquidity Ratios • Implementation of Industry Best Practises
Credit Risk	• Debtors Turnover Ratio (Days)
Compliance Risk	• Queries Raised by Regulator/ Ombudsman • Pending Legal Matters • Unresolved Audit Queries • Items in the Management Letter • Investment Portfolio Mix

Key Areas Reviewed by the Board Risk Committee during 2022

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of Heat map for direct operations and support functions.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Deferred Tax Asset
- Review of large losses

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Zulficar Ghouse – Chairman	4 out of 4
Syed Rizwan Hussain - Independent Non-Executive Director	2 out of 4
Abdullah Osman Kassim - Independent Non-Executive Director (Appointed to the committee w.e.f. April 2022)	1 out of 4

The Chief Executive Officer of Amana Takaful PLC, Chief Executive Officer of Amana Takaful Life PLC and Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Audit also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31st December 2022, to be presented at the 24th Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 14 to 15 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The Operational Review on pages 28 to 29 Elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amana Takaful Life PLC, a subsidiary of Amana Takaful PLC.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, are given on pages 67 to 153 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 63 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 78 to 95.

Financial Results and Appropriations

The Profit After Taxation of the Company for the year was Rs. 294.55 Mn (2021 – Profit Rs. 163.12 Mn) and the Profit After Taxation of the Group for the year was Rs. 575.03 Mn (2021 – Profit Rs. 276.1 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund stood at Rs. 2.8 Bn in 2022. (2021 – Rs. 2.5 Bn)

Property, Plant and Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs. 23.4 Mn (2021 – Rs. 30.9 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 9 and 12 to the Financial Statements.

Reserves

Accumulated profit as at 31st December 2022 for the Company and Group amounted to Rs. 854.5 Mn (2021 – Loss Rs. 220.1 Mn) and profit of Rs. 50.1 Mn (2021 – Loss Rs. 361.6 Mn), respectively. The break-up and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31st December 2022 was Rs. 1,860,001,339/- represented by 180,000,130 ordinary shares. The details of the stated capital are given in Note 14 to the Financial Statements on page 112.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31st December 2022 other than those reported in Note 37.2 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the reporting date that require adjustments or disclosure in the Financial Statements.

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 60 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 35 to 42 of this Annual Report.

Board of Directors of the company confirm that the Company is compliant with section 7.10 of the Listing Rules of the Colombo Stock Exchange and SL Accounting Standards Act No. 15 of 1995.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 35 in the related party disclosures to the Financial Statements.
- Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 52.

Board Committees

Audit and Compliance Committee

Following are the names of the Directors comprising the Audit and Compliance Committee of the Company:

Deepthie Wickramasuriya – Chairperson
Syed Rizwan Hussain
P. S. Weerasekera

The Report of the Audit Compliance Committee on pages 53 and 54 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

Following are the names of the Directors comprising the Remuneration Committee of the Company:

Zulficar Ghouse - Chairperson
Syed Rizwan Hussain
Abdullah Osman Kassim

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 55 in accordance with the requirements of the Rule 7.10.5 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 31 to the Financial Statements.

Related Party Transaction Review Committee

Following are the names of the Directors comprising Related Party Transaction Review Committee of the Company in accordance with the requirements of the Rule 9.2 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Zulficar Ghouse – Chairperson
Deepthi Wickramasuriya
P. S. Weerasekera

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 56.

Integrated Risk Management Committee

Following are the names of the Directors comprising the Integrated Risk Management Committee of the Company:

Zulficar Ghouse - Chairperson
Syed Rizwan Hussain
Abdullah Osman Kassim

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 157 and 159.

The earnings per share, dividends per share, net assets per share are given on page 159.

Directors

The Directors of the Company during the year were as follows:

Name of Director	Date of Appointment
M. Z. M. Ghouse	3rd June 2020
T. M. Wijesinghe	21st October 2021
P. S. Weerasekera	15th December 2021
A. O. Kassim	15th December 2021
E. D. Wickramasuriya	22nd December 2020
M. H. S. Kassim	7th March 2016
S. R. Hussain	3rd May 2019

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

A brief profile of the Directors are given on pages 20 and 22 of this Annual Report.

In terms of Section 82 of the Articles of Association of the Company, Ms. E. D. Wickramasuriya and Mr. M. H. S. Kassim being subject to retirement by rotation being re-elected as Directors of the Company.

During the year under review the Board met on six occasions. The attendance at these meetings are mentioned on page 42.

CEO / Directors' Shareholdings

The interest of the CEO/Directors in the shares of the Company as at 31st December were as follows:

Name of Director/CEO	No. of Ordinary Shares	
	As at 31st December 2022	As at 31st December 2021
Syed Rizwan Hussain	–	–
M.H. S. Kassim	10,780	10,780
M. Z. M. Ghouse	–	–
E. D. Wickramasuriya	–	–
T. M. Wijesinghe	–	–
P. S. Weerasekera	–	–
A. O. Kassim	–	–

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on pages 35 to 42.

Related Party Transactions

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – “Related Party Disclosures”, in Note 35 to the Financial Statements.

The Board of Directors of the Company declare that the Company entered into related party transaction during the financial year in compliance with the regulations pertaining to the related party transactions. Details which are given in Note 35 of the Financial Statements.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 31 on page 125 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship on interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

The Annual General Meeting will be held on the 27th June 2023 at 9.00 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM). The Notice of the Annual General Meeting appears on page 169 of this Annual Report.

For and on behalf of the Board,

Zulficar Ghouse
Chairman

Managers & Secretaries (Pvt) Ltd.
Secretaries
Amana Takaful PLC

23rd May 2023
Colombo

REPORT OF THE BOARD AUDIT AND COMPLIANCE COMMITTEE

The Board Audit Committee (BAC) is a formal subcommittee that is appointed by the Board of Directors. The BAC is charged with assisting the Board to fulfill its obligations and responsibilities in overseeing areas such as the Company's financial reporting, internal control systems, risk management systems, internal audit and external audit functions.

Composition

The BAC comprises three members, all of whom are Independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Audit Committee held four meetings during the year 2022. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Deepthie Wickramasuriya Chairman/Independent Non-Executive Director	4 out of 4
Syed Rizwan Hussain Independent Non-Executive Director	2 out of 4
P S Weerasekera Independent Non-Executive Director	2 out of 4

The Manager – Internal Audit functions as the Secretary to BAC. The agenda and the papers for the meetings are circulated among the members with sufficient notice.

The Managing Director, Chief Executive Officer were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee. On a need basis the Heads of Departments – Sales, Finance, Underwriting, Claims and Reinsurance/Retakaful, External Auditors, Internal Auditors who carried out outsourced assignments and other members of the Management were invited to attend the meeting.

Objectives, Duties and Responsibilities

The “Terms of Reference” (TOR) of the BAC clearly defines the role, responsibilities and scope of the Committee.

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with the Sri Lanka Accounting Standard and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

REPORT OF THE BOARD AUDIT AND COMPLIANCE COMMITTEE

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management on deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

Internal Audit

Messrs. KPMG Chartered Accountants are the primary internal auditor of the company in order to strengthen the Company's internal audit function. The Company's Internal Audit department worked closely with KPMG to ensure that the audits were conducted and completed efficiently as mandated by the Board Audit Committee. Audit Reports are periodically presented to the BAC on a quarterly basis for review. The Internal Audit department coordinates and ensures that recommendations are implemented. In addition, the Internal Audit department carries out various other audits and special assignments.

The Internal Audit Department is charged with the overall internal audit functions of the Company. The Department presents to the BAC the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented, a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The BAC reviewed the External Audit Plan including the scope and fee for the annual audit. The Committee held discussion with the External Auditors, Messrs. Ernst & Young, prior to the year-end audit to discuss their audit approach and procedures, including matters relating to the scope of the audit.

The BAC reviewed the results of the external audit and the recommendations contained in the Management Letter arising from the audits of the quarterly/ annual Financial Statements, thus ensuring appropriate follow-up actions are taken. The independence and objectivity of the external auditors were reviewed by the BAC.

The BAC recommended to the Board the reappointment of Messrs. Ernst & Young, Chartered Accountants as the External Auditors of the Company for the ensuing financial year, subject to approval of the shareholders at the forthcoming Annual General Meeting.

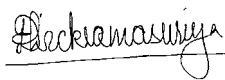
Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The BAC is satisfied that the company's accounting policies, internal controls, and risk management processes are adequate to provide reasonable assurance that the financial affairs of the Company is managed in accordance with Company policies and accepted accounting standards.

On behalf of the Board Audit Committee.



Deepthie Wickramasuriya

Chairperson - Board Audit and Compliance Committee
Colombo
23 May 2023

REPORT OF THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amana Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amana Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of three (3) Non-Executive Directors. The Committee met twice during the year under review.

Members	Meeting Attendance
1. Zulficar Ghouse – Chairman Independent Non-Executive Director	2 out of 2
2. Rizwan Hussain – Independent Non-Executive Director	2 out of 2
3. Abdullah Osman Kassim – Independent Non-Executive Director (Appointed w.e.f. April 2022)	0 out of 1
4. Farhan Jabir – Secretary	2 out of 2



Zulficar Ghouse

Chairman – Remuneration Committee

23 May 2023

Colombo

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Objective of the Committee

The Committee reviews all related party transactions of Amana Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors as of date.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Members	Meeting Attendance
1. M. Z. M. Ghouse - Chairman Independent Non-Executive Director	4 out of 4
2. E. D. Wickramasuiruya Independent Non-Executive Director	4 out of 4
3. P. S. Weerasekera Independent Non-Executive Director (Appointed to the Committee w.e.f. April 2022)	2 out of 3
4. Faadhil Nizar - Secretary	4 out of 4

In addition, the Chief Executive of the Company, Chief Executive Officer of Amana Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Assistant Manager Compliance, M.F.H. Nizar serves as the Secretary to the Committee as at reporting date.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2022 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 35 to the Financial Statements on pages 130 to 131 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Finance and Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Compliance team is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



Zulficar Ghouse

Chairman – Related Party Transactions Review Committee
23 May 2023
Colombo

REPORT ON THE SHARI'AH ADVISORY COUNCIL



بسم الله الرحمن الرحيم

SHARI'AH AUDIT REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amana Takaful (PLC) (the "Company") for the year ending 31st December 2022. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2022, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe
Chairman-Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaaffar
Secretary-Shari'ah Advisory Council

Mufti Shafique A Jakhura
Member-Shari'ah Advisory Council

Ash-Sheikh Huzaifah Hussain
Member-Shari'ah Advisory Council

23rd May 2023



FINANCIAL REPORT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2022 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Zulficar Ghouse
Chairman

23 May 2023
Colombo, Sri Lanka

CERTIFICATE OF THE ACTUARY - FAMILY TAKAFUL (LIFE)

AMANA TAKAFUL LIFE PLC

Financial Year Ended 31 December 2022

This report has been completed in compliance with IFRS 4 on Valuation for Liabilities of Long Term Insurance Business. The company, Amana Takaful Life PLC, is a Takaful Operator, but in the absence of takaful specific regulations in Sri Lanka, is governed under the same regulations as conventional insurers.



Zainal Abidin Mohd Kassim

Fellow of the Institute of Actuaries
Actuary
Kuala Lumpur
Malaysia

28 April 2023

CERTIFICATION OF IBNR



Certification by the Actuary

To the shareholders of Amana Takaful PLC

Amana Takaful PLC 31 December 2022 IBNR and LAT Certification

I hereby certify that the undiscounted Central Estimate of IBNR (inclusive of CHE) provision of LKR 112,746,786 is adequate in relation to the Claim Liability of Amana Takaful PLC as at 31st December 2022. This IBNR provision, together with the Claims Outstanding Reserves held by the Company is expected to be adequate to meet the future liabilities in respect of the Company's incurred claims obligations as at 31st December 2022.

According to the SLFRS 4 accounting standard, each year end it is required to carry out a liability Adequacy Test (LAT). This test is to assess the adequacy of the current amount of Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision net of Wakala fee of LKR 763,093,658 set by the Company, net of Retakaful, is higher than the estimated undiscounted Central Estimate Unexpired Risk Reserve of LKR 548,372,034, implying that carrying amount of UCR is adequate to the unexpired risks of Amana Takaful PLC as at 31st December 2022 in many, but not all, scenarios of future experience. As such, there is no contribution deficiency to be recognized by the Company.

The results have been determined in accordance with internationally accepted actuarial principles.

I have relied upon information and data provided by the management of the above Company and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonableness of the data.

Saket Singh
Fellow of Institute of Actuaries, India (FIAI)
Actsured Lab (Pvt) Limited
10th April 2023

INDEPENDENT AUDITOR'S REPORT



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Amana Takaful PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 December 2022, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and Group give a true and fair view of the financial position of the Company and the Group as at 31 December 2022, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's responsibilities for the audit of the financial statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

INDEPENDENT AUDITOR'S REPORT

Key audit matters

1. Life Insurance Contract Liabilities

Life Insurance Contract Liabilities amounting to Rs. 2,830.27 Mn (Note 18) represent 33% of total liabilities of the Group as at 31 December 2022 which are determined as described in note 2.4.1.2 (ii) to the financial statements.

This was a key audit matter due to:

- materiality of the reported Life Insurance Contract Liabilities;
- the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities; and liability adequacy test carried out to determine the adequacy of the carrying value of Life Insurance Contract Liabilities.

Key areas of significant judgments, estimates and assumptions used in the valuation of the Life Insurance Contract Liabilities included the following:

- the determination of assumptions such as mortality, morbidity, lapses and surrenders, loss ratios, bonus, interest rates, discount rates and related claim handling expenses.

2. Non-Life Insurance Contract Liabilities

Non-Life Insurance Contract liabilities amounting to Rs. 2,555.35 Mn (note 17) represent 30% of total liabilities of the Group as at 31 December 2022. Such Non-Life Insurance Contract Liabilities consist of provision for reported claims, provision for Incurred But Not Reported & Incurred But Not Enough Reported (IBNR & IBNER) and provision for unearned premiums which are determined as described in note 2.4.1.2 (i).

This was a key audit matter due to:

- materiality of the reported Non-Life Insurance Contract Liabilities;
- the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Non-Life Insurance Contract Liabilities and liability adequacy test carried out to determine the adequacy of the carrying value of Life Insurance Contract Liabilities.

Key areas of significant judgments, estimates and assumptions used in the valuation of the Non-Life Insurance Contract Liabilities included the following:

- the determination of historical experience and business expectations such as previous claim experience, existing knowledge of risk events, industry ultimate loss ratio, claims handling expenses and management expenses and
- the determination method used for unearned premium calculations.

How our audit addressed the key audit matter

To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included the following, based on the best available information up to the date of our report.

- We assessed the competency, capability and objectivity of the management specialist engaged by the Group.
- We obtained an understanding of the liability valuation process.
- We checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing key Information to source documents and accounting records.
- We engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the methods used in the actuarial valuations of Life Insurance Contract Liability and Liability Adequacy Test with reference to market data and policyholders experience.
- We assessed the adequacy of the disclosures in note 18 and 42.5 to the financial statements.

To assess the reasonableness of the Non-Life Insurance Contract Liabilities, our audit procedures included the following, based on the best available information up to the date of our report:

- We assessed the competency, capability and objectivity of the management specialist engaged by the Group.
- We obtained an understanding of the liability valuation process.
- We checked the completeness and accuracy of the data used in the valuation of Non-Life Insurance Contract Liabilities by agreeing key information to source documents and accounting records.
- We engaged expert resources to assess the reasonableness of the assumptions used in the actuarial valuations of the non-life insurance contract liability and Liability Adequacy Test with reference to the industry data and considering both historical experience and business expectations.
- We test-checked the unearned premium calculations.
- We assessed the adequacy of the disclosures in note 17 and 42.5 to the financial statements.

Other Information included in the 2022 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and Those Charged with Governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

INDEPENDENT AUDITOR'S REPORT

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

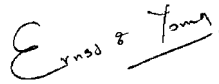
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.



23 May 2023
Colombo

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA FCMA, D K Hulangamuwa FCA FCMA LLB (London), Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

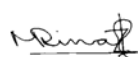
Principals: W S J De Silva BSc (Hons)-MIS MSc-IT, G B Goudian ACMA, D L B Karunathilaka ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

STATEMENT OF FINANCIAL POSITION

As at 31 December 2022	Notes	Group		Company	
		2022	2021	2022	2021 Restated
		Rs.	Rs.	Rs.	Rs.
Assets					
Intangible Assets	5	174,990,104	120,834,732	29,011,509	29,844,615
Property, Plant and Equipment	6	90,585,828	88,131,244	41,203,417	45,917,040
Right of Use Assets	23	412,671,693	250,045,444	41,162,369	21,550,355
Deferred Tax Assets	33.2	15,874,369	10,038,460	-	-
Investment Property	7	150,550,000	196,100,000	-	48,600,000
Investments in Subsidiaries	8	-	-	2,156,026,697	1,186,517,186
Financial Assets	9	7,056,732,879	3,934,917,715	1,377,904,670	1,046,608,773
Retakaful (Reinsurance) Receivables		368,471,084	412,484,080	197,567,498	270,935,900
Contribution (Premium) Receivables	10	1,356,628,068	991,944,876	1,021,764,011	767,089,545
Other Assets	11	395,043,400	264,905,169	127,418,263	120,532,940
Financial Assets - Unit Linked	12	2,425,246,987	2,121,644,837	-	-
Cash and Bank Balances	13	244,776,076	166,961,978	61,439,739	48,157,021
Cash and Bank Balances - Unit Linked	13	15,841,002	9,583,462	-	-
Total Assets		12,707,411,490	8,567,591,998	5,053,498,173	3,585,753,375
Liabilities					
Insurance Contract Liabilities - Non Life	17	2,555,353,272	1,636,432,694	1,068,902,980	906,281,586
Insurance Contract Liabilities - Family Takaful Fund	18.1	356,693,216	397,380,854	-	-
Insurance Contract Liabilities- Unit Linked	18.2	2,473,579,681	2,149,698,432	-	-
Employee Benefits	19	156,208,096	119,528,552	51,898,474	54,511,610
Other Liabilities - Unit Linked	20	118,930,337	80,207,746	-	-
Other Liabilities	21	2,196,810,134	1,290,699,641	676,632,168	500,065,993
Subordinated Debt	22	413,764,648	379,157,034	464,704,354	429,026,522
Lease Liability	23.1	206,129,829	123,837,659	43,266,252	22,426,056
Total Liabilities		8,477,469,213	6,176,942,613	2,305,404,228	1,912,311,766
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	14	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves	15	882,593,581	214,964,197	33,541,361	33,541,361
Revenue Reserves	16	50,079,630	(361,634,799)	854,551,245	(220,101,089)
		2,792,674,550	1,713,330,737	2,748,093,945	1,673,441,610
Non Controlling Interest		1,437,267,727	677,318,647	-	-
Total Equity		4,229,942,277	2,390,649,385	2,748,093,945	1,673,441,610
Total Equity and Liabilities		12,707,411,490	8,567,591,998	5,053,498,173	3,585,753,375

These Financial Statements are in compliance with the requirements of the Companies Act, No. 07 of 2007.



M. Rinaz Niyas
Head of Finance



Shehan Feisal
Chief Executive Officer

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by,



M. Zulficar Ghouse
Chairman



M.H.S. Kassim
Managing Director

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

23 May 2023
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December 2022	Notes	Group		Company	
		2022	2021	2022	2021 Restated
		Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	24	8,250,959,678	5,178,592,376	3,358,935,166	2,443,290,012
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(2,080,270,933)	(1,234,273,694)	(1,138,720,258)	(739,494,217)
Net Written Contribution (Premium)		6,170,688,745	3,944,318,683	2,220,214,908	1,703,795,794
Net Change in Reserve for Un-Earned Contribution (Premium)		(386,558,042)	(245,584,258)	(155,149,231)	(97,661,962)
Net Earned Contribution (Premium)		5,784,130,703	3,698,734,424	2,065,065,677	1,606,133,832
Other Revenue					
Income from Investments	25	716,097,623	360,762,572	155,372,577	113,829,769
Changes in Share of Profit of Equity Accounted Subsidiaries	8	-	-	205,025,472	114,609,868
Other Income	26	442,445,259	211,570,708	222,509,754	59,619,590
Total Revenue	27	6,942,673,585	4,271,067,704	2,647,973,480	1,894,193,059
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	28	(3,683,487,918)	(1,924,002,208)	(1,330,786,092)	(871,961,687)
Acquisition Cost (Net of Reinsurance Commission)		(468,687,952)	(377,188,308)	(164,681,155)	(133,060,368)
Change in Family Takaful Contract Liability		(285,948,395)	(184,031,172)	-	-
Other Operating and Administration Expenses	29	(1,861,670,768)	(1,415,320,540)	(795,844,444)	(683,228,968)
Amortisation	30	(14,242,702)	(8,294,374)	(2,203,920)	(2,016,313)
Total Claims, Benefits and Expenses		(6,314,037,736)	(3,908,836,601)	(2,293,515,611)	(1,690,267,336)
Profit from Operations	31	628,635,849	362,231,103	354,457,870	203,925,723
Finance Cost	32	(70,980,377)	(49,267,743)	(59,899,180)	(40,807,326)
Profit Before Taxation		557,655,472	312,963,360	294,558,690	163,118,397
Income Tax	33	(70,047,250)	(36,806,795)	-	-
Profit for the Year		487,608,222	276,156,565	294,558,690	163,118,397
Profit attributable to:					
Equity Holders of the Parent		298,939,896	164,566,886	294,558,690	163,118,397
Non Controlling Interest		188,668,327	111,589,678	-	-
		487,608,222	276,156,565	294,558,690	163,118,397
Earnings Per Share					
Basic, Diluted Earnings Per Share	34	1.66	0.91	1.64	0.91
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Defined Benefit Plan Actuarial Losses	19	11,606,620	(20,138,554)	10,730,143	(20,222,797)
Net Change from Revaluation of Property, Plant and Equipment		-	14,645,575	-	5,091,000
		11,606,620	(5,492,979)	10,730,143	(15,131,797)
Items that are or may be reclassified to profit or loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		172,048,453	(42,234,705)	4,879,463	1,400,614
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve		5,091,579	5,399,129	-	-
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries	8	-	-	764,484,039	35,525,832
Foreign Currency Translation Differences for Foreign Operations		1,213,871,607	85,725,505	-	-
		1,391,011,639	48,889,929	769,363,502	36,926,446
Other Comprehensive Income, Net of tax		1,402,618,259	43,396,949	780,093,645	21,794,649
Total Comprehensive Income for the year		1,890,226,481	319,553,514	1,074,652,335	184,913,046
Total Comprehensive Income attributable to:					
Equity Holders of the Parent		1,079,343,813	188,082,517	1,074,652,335	184,913,046
Non-Controlling Interest		810,882,669	131,470,997	-	-
		1,890,226,481	319,553,514	1,074,652,335	184,913,046

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2022	Stated Capital	Other Reserves		Revenue Reserves			Non-Controlling Interest	Total
		Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available For Sale Reserve	Accumulated Loss		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Balance as at 01st January 2021	1,860,001,339	30,806,332	122,390,856	6,616,125	90,580,572	(585,147,004)	570,498,888	2,095,747,108
Net Profit for the year	-	-	-	-	-	164,566,886	111,589,678	276,156,565
Other Comprehensive Income								
Net Change in Fair Value of Property, plant and equipment	-	14,645,575	-	-	-	-	-	14,645,575
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	-	(22,598,811)	-	(19,635,893)	(42,234,705)
Foreign Currency Translation Differences for Foreign Operations	-	-	47,149,028	-	-	-	38,576,477	85,725,505
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-	-	4,443,483	-	-	955,646	5,399,129
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	(20,123,643)	(14,911)	(20,138,554)
Total Comprehensive Income	-	14,645,575	47,149,028	4,443,483	(22,598,811)	144,443,243	131,470,997	319,553,514
Transfer of revaluation surplus to retained earnings, at the disposal	-	(27,593)	-	-	-	27,593	-	-
Dividend Paid	-	-	-	-	-	-	(24,651,238)	(24,651,238)
Changes in ownership interests	-	(27,593)	-	-	-	27,593	(24,651,238)	(24,651,238)
Balance as at 31st December 2021	1,860,001,339	45,424,314	169,539,884	11,059,608	67,981,761	(440,676,168)	677,318,647	2,390,649,385
Net Profit for the period	-	-	-	-	-	298,939,896	188,668,327	487,608,222
Other Comprehensive Income								
Foreign Currency Translation Differences for Foreign Operations	-	-	667,629,384	-	-	-	546,242,223	1,213,871,607
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-	-	4,190,369	-	-	901,209	5,091,579
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	-	96,822,408	-	75,226,046	172,048,453
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	11,761,756	(155,136)	11,606,620
Total Comprehensive Income	-	-	667,629,384	4,190,369	96,822,408	310,701,652	810,882,669	1,890,226,481
Dividend Paid	-	-	-	-	-	-	(50,933,590)	(50,933,590)
Total changes in ownership interests	-	-	-	-	-	-	(50,933,590)	(50,933,590)
Balance as at 31st December 2022	1,860,001,339	45,424,314	837,169,268	15,249,977	164,804,169	(129,974,516)	1,437,267,727	4,229,942,277

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2022	Note	Stated Capital	Other Reserves	Revenue Reserves		Total Restated
			Revaluation Reserve	Available For Sale Reserve Restated	Accumulated Profit/(Loss) Restated	
		Rs.	Rs.	Rs.	Rs.	Rs.
Company						
Balance as at 01.01.2021 as previously reported		1,860,001,339	28,477,953	964,544	(384,428,948)	1,505,014,888
Impact due to change in accounting policy from cost model to equity accounting of investment in subsidiaries	8	-	-	15,055,369	(31,541,693)	(16,486,324)
Balance as at 01st January 2021 as restated		1,860,001,339	28,477,953	16,019,913	(415,970,641)	1,488,528,564
Total Comprehensive Income						
Net Profit for the period		-	-	-	163,118,397	163,118,397
Other Comprehensive Income						
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax		-	-	-	(20,222,797)	(20,222,797)
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries		-	-	-	35,525,832	35,525,832
Net Change in Revaluation of Property, plant and equipment		-	5,091,000	-	-	5,091,000
Net Change in Fair Value of Available-for-Sale Financial Assets		-	-	1,400,614	-	1,400,614
Transfer from the Revaluation Reserve		-	(27,593)	-	27,593	-
Balance as at 31st December 2021- Restated		1,860,001,339	33,541,361	17,420,527	(237,521,616)	1,673,441,610
Total Comprehensive Income						
Net Profit for the period		-	-	-	294,558,690	294,558,690
Other Comprehensive Income						
Net Change in Fair Value of Available-for-Sale Financial Assets		-	-	4,879,463	-	4,879,463
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries		-	-	-	764,484,039	764,484,039
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax		-	-	-	10,730,143	10,730,143
Total Comprehensive Income		-	-	4,879,463	1,069,772,871	1,074,652,335
Balance as at 31st December 2022		1,860,001,339	33,541,361	22,299,990	832,251,255	2,748,093,945

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

STATEMENT OF CASH FLOWS

Year ended 31 December 2022	Notes	Group		Company	
		2022	2021	2022	2021
		Rs.	Rs.	Rs.	Restated Rs.
Operating Activities					
Contribution (Premium) Received from Participants		9,069,217,958	4,825,840,421	3,609,147,300	2,375,360,000
Retakaful (Reinsurance) Premium Paid		(1,859,781,904)	(1,051,323,616)	(909,461,892)	(478,120,101)
Claims, Benefits and Expenses Paid		(3,366,676,548)	(1,820,060,206)	(1,468,371,855)	(1,020,084,573)
Retakaful (Reinsurance) Receipts in Respect of Claims		328,887,977	392,924,495	217,057,133	295,588,486
Cash Paid to and on behalf of Employees		(1,578,601,477)	(1,068,517,187)	(826,916,606)	(667,854,884)
Profits Received from Investments and Other Income		635,157,686	408,827,970	155,643,305	57,439,754
Dividends Received		111,275,286	21,377,374	64,552,619	14,297,921
Finance Cost Paid		(78,215,777)	(55,896,111)	(59,899,180)	(40,807,326)
Other Operating Cash Payments		(1,713,098,502)	(948,593,062)	(619,569,150)	(427,201,137)
Cash Flow from/(used in) Operating Activities (Note A)		1,548,164,699	704,580,078	162,181,674	108,618,140
Employee Benefit Paid	19	(7,501,089)	(9,423,151)	(4,828,097)	(4,152,703)
Income Tax Paid		(60,517,074)	(46,788,452)	-	-
Net Cash Flow from/(used in) Operating Activities		1,480,146,536	648,368,475	157,353,577	104,465,437
Investing Activities					
Purchase of Investment Securities		(3,525,985,340)	(1,820,044,698)	(1,271,516,482)	(556,900,578)
Sale of Investment Securities		2,961,284,124	1,309,454,666	1,095,268,956	418,332,073
Purchase of Intangible Assets	5	(9,814,653)	(15,120,272)	(1,370,814)	(3,524,743)
Purchase of Property, Plant and Equipment	6	(23,449,474)	(30,984,511)	(10,987,114)	(18,456,249)
Proceeds from Disposal of Property, Plant and Equipment		285,368	324,150	285,368	46,608
Net Cash Flows used in Investing Activities		(549,079,975)	(556,370,665)	(139,720,086)	(160,502,889)
Financing Activities					
Repayment of Lease Facility	23	(67,397,613)	(36,029,439)	(41,888,843)	(18,204,757)
Subordinated Debt Obtained		-	300,000,000	-	300,000,000
Repayments of Subordinated Debt		(95,000,000)	(140,000,000)	(75,000,000)	(140,000,000)
Dividend Paid		(113,185,755)	(54,780,528)	-	-
Net Cash Flows from Financing Activities		(275,583,368)	69,190,033	(116,888,843)	141,795,243
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		655,483,193	161,187,843	(99,255,353)	85,757,791

STATEMENT OF CASH FLOWS

Year ended 31 December 2022		Group		Company	
		2022	2021	2022	2021
	Notes	Rs.	Rs.	Rs.	Restated Rs.
NOTE A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit from Operations	31	628,635,849	362,231,103	354,457,870	203,925,723
Depreciation	6	32,935,141	26,809,540	15,518,737	13,180,379
Amortisation	5	14,242,702	8,294,374	2,203,920	2,016,313
Depreciation of Right of use assets	23	70,093,274	36,974,927	33,455,153	14,220,593
Changes in Share of Profit of Equity Accounted Subsidiaries	8	-	-	(205,025,472)	(114,609,868)
Provision for Employee Benefit	19	14,032,462	17,972,070	12,945,104	6,223,066
(Increase)/Decrease in Debtors and Other Assets		(450,808,427)	(387,458,790)	(188,191,386)	(242,690,156)
Increase in Family Takaful (Long Term Insurance) Fund		(40,687,638)	(48,400,856)	-	-
Increase/(Decrease) in Net Unearned Contribution (Premium)	27	386,558,042	245,584,258	155,149,231	97,661,962
Increase/(Decrease) in IBNR & General Reserve Provision		31,705,807	(113,661,675)	17,591,906	(114,021,291)
Increase/(Decrease) in Claims Provision		173,738,851	230,339,219	(10,119,743)	43,798,619
Increase/(Decrease) in Other Creditors		906,110,493	383,566,674	176,566,175	247,419,806
Profit on Sale of Property, Plant & Equipment	26	(285,368)	(173,101)	(285,368)	(46,608)
Finance Cost	32	(70,980,377)	(49,267,743)	(59,899,180)	(40,807,326)
(Gain)/Loss on Fair Value of Investment Property	7	(3,050,000)	(2,100,000)	-	(2,100,000)
Exchange (Gain)/Loss	26	(144,076,112)	(6,129,922)	(142,185,273)	(5,553,071)
Cash Flows from/(used in) Operating Activities		1,548,164,699	704,580,078	162,181,674	108,618,140
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash at bank and in Hand and Cash Equivalents	13	1,384,176,889	728,693,696	235,778,325	335,033,678
Cash and Cash Equivalents at the end of the period		1,384,176,889	728,693,696	235,778,325	335,033,678
Cash and Cash Equivalents at the beginning of the year	13	728,693,696	567,505,853	335,033,678	249,275,887
Increase/(Decrease) in Cash and Cash Equivalents		655,483,193	161,187,843	(99,255,353)	85,757,791

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

SEGMENT ANALYSIS - STATEMENT OF FINANCIAL POSITION - 2022

Year ended 31 December 2022	Amana Takaful PLC Rs.	Amana Takaful Life PLC Rs.	Amana Takaful Maldives PLC Rs.	Amana Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	29,011,509	20,455,549	125,523,046	-	-	174,990,104
Property, Plant and Equipment	41,203,417	21,318,102	28,064,309	-	-	90,585,828
Deferred Tax Asset	-	-	15,874,369	-	-	15,874,369
Investment Property	-	150,550,000	-	-	-	150,550,000
Investment in Subsidiaries	2,156,026,697	-	-	-	(2,156,026,697)	-
Financial Assets	1,377,904,670	1,052,175,579	4,800,204,682	-	(173,552,052)	7,056,732,879
Retakaful (Reinsurance) Receivables	197,567,498	-	170,903,586	-	-	368,471,084
Contribution (Premium) Receivables	1,021,764,011	37,975,617	296,888,440	-	-	1,356,628,068
Other Assets	113,815,469	38,715,417	247,934,924	3,313,160	(8,735,570)	395,043,400
Financial Assets - Unit Linked	-	2,425,246,987	-	-	-	2,425,246,987
Right Of Use Asset	41,162,369	11,954,352	359,554,972	-	-	412,671,693
Related Party Receivable	13,602,794	-	4,825,317	-	(18,428,111)	-
Cash and Bank Balances	61,439,739	46,507,026	136,669,731	159,580	-	244,776,076
Cash and Bank Balances - Unit Linked	-	15,841,002	-	-	-	15,841,002
Total Assets	5,053,498,173	3,820,739,630	6,186,443,377	3,472,741	(2,356,742,430)	12,707,411,490
Liabilities						
Insurance Contract Liabilities - Non Life	1,068,902,980	-	1,486,450,292	-	-	2,555,353,272
Insurance Contract Liabilities - Family Takaful Fund	-	356,693,216	-	-	-	356,693,216
Insurance Contract Liabilities - Family Takaful Unit Linked	-	2,473,579,681	-	-	-	2,473,579,681
Retakaful (Reinsurance) Payables	447,797,190	49,831,071	276,954,235	-	-	774,582,495
Employee Benefits	51,898,474	10,820,935	93,488,687	-	-	156,208,096
Other Liabilities - Unit Linked	-	118,930,337	-	-	-	118,930,337
Other Liabilities	228,834,978	120,665,393	1,070,613,955	2,113,311	-	1,422,227,637
Related Party Payable	-	10,752,031	2,808,856	13,602,794	(27,163,681)	-
Subordinated Debt	464,704,354	122,612,347	-	-	(173,552,052)	413,764,648
Lease Liability	43,266,252	13,039,309	149,824,268	-	-	206,129,829
Total Liabilities	2,305,404,228	3,276,924,320	3,080,140,293	15,716,105	(200,715,733)	8,477,469,213
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	33,541,361	31,489,221	1,417,811,547	-	(600,248,548)	882,593,581
Revenue Reserves	854,551,245	12,326,088	1,486,120,818	(49,368,364)	(2,253,550,157)	50,079,630
	2,748,093,945	543,815,310	3,106,303,083	(12,243,364)	(3,593,294,423)	2,792,674,550
Non Controlling Interest	-	-	-	-	1,437,267,727	1,437,267,727
Total Equity	2,748,093,945	543,815,310	3,106,303,083	(12,243,364)	(2,156,026,697)	4,229,942,277
Total Equity and Liabilities	5,053,498,173	3,820,739,630	6,186,443,377	3,472,741	(2,356,742,430)	12,707,411,490

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

SEGMENT ANALYSIS - STATEMENT OF PROFIT OR LOSS - 2022

Year ended 31 December 2022	Amana Takaful PLC Rs.	Amana Takaful Life PLC Rs.	Amana Takaful (Maldives) PLC Rs.	Amana Global Ltd Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	3,358,935,166	1,060,777,579	3,840,365,918	-	(9,118,986)	8,250,959,678
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(1,138,720,258)	(60,259,897)	(881,290,778)	-	-	(2,080,270,933)
Net Written Contribution (Premium)	2,220,214,908	1,000,517,682	2,959,075,140	-	(9,118,986)	6,170,688,745
Net Change in Reserve for Un-Earned Contribution (Premium)	(155,149,231)	2,723,534	(234,132,344)	-	-	(386,558,042)
Net Earned Contribution (Premium)	2,065,065,677	1,003,241,216	2,724,942,796	-	(9,118,986)	5,784,130,703
Other Income						
Income from Investments	155,372,577	409,891,117	220,321,494	-	(69,487,565)	716,097,623
Changes in Share of Profit of Equity Accounted Subsidiaries	205,025,472	-	-	-	(205,025,472)	-
Other Operating Income	222,509,754	40,387,299	179,538,164	4,745,800	(4,735,759)	442,445,259
Total Revenue	2,647,973,480	1,453,519,632	3,124,802,454	4,745,800	(288,367,782)	6,942,673,585
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits-net	(1,330,786,092)	(518,768,780)	(1,833,933,045)	-	-	(3,683,487,918)
Acquisition Cost (Net of Reinsurance Commission)	(164,681,155)	(149,281,833)	(154,724,965)	-	-	(468,687,952)
Increase in Family Takaful (Long Term Insurance) Fund	-	(285,948,395)	-	-	-	(285,948,395)
Less : Indirect Expenses						
Other Operating and Administration Expenses	(746,870,554)	(419,409,656)	(602,687,589)	(3,529,299)	13,854,745	(1,758,642,353)
Amortisation	(2,203,920)	(1,446,263)	(10,592,519)	-	-	(14,242,702)
Depreciation	(48,973,890)	(15,321,171)	(38,733,353)	-	-	(103,028,415)
Profit / (Loss) from Operations	354,457,870	63,343,532	484,130,983	1,216,501	(274,513,037)	628,635,849
Finance Cost	(59,899,180)	(9,252,801)	(9,063,796)	-	7,235,400	(70,980,377)
Profit/(Loss) Before Taxation	294,558,690	54,090,731	475,067,187	1,216,501	(267,277,637)	557,655,472
				-		
Income Tax	-	-	(70,047,250)	-	-	(70,047,250)
Profit/(Loss) for the period	294,558,690	54,090,731	405,019,937	1,216,501	(267,277,637)	487,608,222

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

SEGMENT ANALYSIS - STATEMENT OF FINANCIAL POSITION - 2021

	Amana Takaful PLC Restated	Amana Takaful Life PLC	Amana Takaful Maldives PLC	Amana Global Ltd.	Adjustments Restated	Group
Year ended 31 December 2021	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Intangible Assets	29,844,615	17,420,164	73,569,953	-	-	120,834,732
Property, Plant and Equipment	45,917,040	25,769,256	16,444,948	-	-	88,131,244
Deferred Tax Asset	-	-	10,038,460	-	-	10,038,460
Investment Property	48,600,000	147,500,000	-	-	-	196,100,000
Investment in Subsidiaries	1,186,517,186	-	-	-	(1,186,517,186)	-
Financial Assets	1,046,608,773	881,848,595	2,144,334,566	-	(137,874,220)	3,934,917,715
Retakaful (Reinsurance) Receivables	270,935,900	-	141,548,180	-	-	412,484,080
Contribution (Premium) Receivables	767,089,545	35,952,417	188,902,913	-	-	991,944,876
Other Assets	118,750,332	36,363,122	109,791,716	-	-	264,905,169
Financial Assets - Unit Linked	-	2,121,644,837	-	-	-	2,121,644,837
Right Of Use Asset	21,550,355	13,251,240	215,243,850	-	-	250,045,444
Related Party Receivable	1,782,608	-	1,808,822	-	(3,591,430)	-
Cash and Bank Balances	48,157,021	60,920,009	56,658,008	1,226,940	-	166,961,978
Cash and Bank Balances - Unit Linked	-	9,583,462	-	-	-	9,583,462
Total Assets	3,585,753,375	3,350,253,102	2,958,341,416	1,226,940	(1,327,982,835)	8,567,591,998
Liabilities						
Insurance Contract Liabilities - Non Life	906,281,586	-	730,151,109	-	-	1,636,432,694
Insurance Contract Liabilities - Family Takaful Fund	-	397,380,854	-	-	-	397,380,854
Insurance Contract Liabilities - Family Takaful Unit Linked	-	2,149,698,432	-	-	-	2,149,698,432
Retakaful (Reinsurance) Payables	347,887,828	43,961,044	162,244,560	-	-	554,093,432
Employee Benefits	54,511,610	13,614,072	51,402,870	-	-	119,528,552
Other Liabilities - Unit Linked	-	80,207,746	-	-	-	80,207,746
Other Liabilities	150,369,343	79,420,210	493,912,459	12,904,198	-	736,606,210
Related Party Payable	1,808,822	-	-	1,782,608	(3,591,430)	-
Subordinated Debt	429,026,522	88,004,733	-	-	(137,874,220)	379,157,034
Lease Liability	22,426,056	14,209,487	87,202,117	-	-	123,837,659
Total Liabilities	1,912,311,766	2,866,496,578	1,524,913,115	14,686,806	(141,465,649)	6,176,942,613
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	33,541,361	26,397,643	290,415,355	-	(135,390,162)	214,964,197
Revenue Reserves	(220,101,089)	(42,641,119)	940,642,227	(50,584,865)	(988,949,952)	(361,634,799)
	1,673,441,610	483,756,524	1,433,428,301	(13,459,865)	(1,863,835,833)	1,713,330,737
Non Controlling Interest	-	-	-	-	677,318,647	677,318,647
Total Equity	1,673,441,610	483,756,524	1,433,428,301	(13,459,865)	(1,186,517,186)	2,390,649,385
Total Equity and Liabilities	3,585,753,375	3,350,253,102	2,958,341,416	1,226,940	(1,327,982,835)	8,567,591,998

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

SEGMENT ANALYSIS - STATEMENT OF PROFIT OR LOSS - 2021

	Amana Takaful PLC Restated	Amana Takaful Life PLC	Amana Takaful (Maldives) PLC	Amana Global Ltd	Adjustments Restated	Group
Year ended 31 December 2021	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	2,443,290,012	929,830,479	1,810,008,433	-	(4,536,547)	5,178,592,376
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(739,494,217)	(45,275,121)	(449,504,355)	-	-	(1,234,273,694)
Net Written Contribution (Premium)	1,703,795,794	884,555,358	1,360,504,078	-	(4,536,547)	3,944,318,683
Net Change in Reserve for						
Un-Earned Contribution (Premium)	(97,661,962)	(2,836,086)	(145,086,210)	-	-	(245,584,258)
Net Earned Contribution (Premium)	1,606,133,832	881,719,272	1,215,417,868	-	(4,536,547)	3,698,734,424
Other Income						
Income from Investments	113,829,769	202,511,776	81,178,684	-	(36,757,658)	360,762,572
Changes in Share of Profit of Equity Accounted Subsidiaries	114,609,868				(114,609,868)	-
Other Operating Income	59,619,590	60,202,621	91,618,034	3,579,803	(3,449,339)	211,570,708
Total Revenue	1,894,193,059	1,144,433,669	1,388,214,586	3,579,803	(159,353,413)	4,271,067,704
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits-net	(871,961,687)	(427,036,400)	(625,004,121)	-	-	(1,924,002,208)
Acquisition Cost (Net of Reinsurance Commission)	(133,060,368)	(135,022,215)	(109,105,725)	-	-	(377,188,308)
Increase in Family Takaful (Long Term Insurance) Fund	-	(184,031,172)	-	-	-	(184,031,172)
Less : Indirect Expenses						
Other Operating and Administration Expenses	(655,827,997)	(364,832,947)	(334,641,131)	(4,219,884)	7,985,886	(1,351,536,072)
Amortisation	(2,016,313)	(1,306,369)	(4,971,692)	-	-	(8,294,374)
Depreciation	(27,400,972)	(13,358,928)	(23,024,568)	-	-	(63,784,468)
Profit / (Loss) from Operations	203,925,723	18,845,638	291,467,349	(640,081)	(151,367,527)	362,231,103
Finance Cost	(40,807,326)	(9,286,724)	(5,802,062)	-	6,628,368	(49,267,743)
Profit/(Loss) Before Taxation	163,118,397	9,558,915	285,665,287	(640,081)	(144,739,159)	312,963,360
Income Tax	-	-	(36,806,795)	-	-	(36,806,795)
Profit/(Loss) for the period	163,118,397	9,558,915	248,858,492	(640,081)	(144,739,159)	276,156,565

The notes on pages 78 to 153 are an integral part of these consolidated financial statements.

STATEMENT OF FINANCIAL POSITION OF FAMILY TAKAFUL (LIFE INSURANCE) - SUPPLEMENTAL

Year ended 31 December 2022

	2022 Rs.	2021 Rs.
ASSETS		
Intangible Assets	20,455,549	17,420,164
Property, Plant and Equipment	21,318,102	25,769,256
Investment Property	150,550,000	147,500,000
Financial Assets	1,052,175,579	881,848,595
Right of use of Asset	11,954,352	13,251,240
Contribution (Premium) Receivables	37,975,617	35,952,417
Other Assets	38,715,417	36,363,122
Financial Assets - Unit Linked	2,425,246,987	2,121,644,837
Cash and Bank balances	46,507,026	60,920,009
Cash and Bank balances - Unit Linked	15,841,002	9,583,462
Total Assets	3,820,739,630	3,350,253,102
LIABILITIES		
Insurance Contract Liability - Family Takaful Fund	356,693,216	397,380,854
Insurance Contract Liability - Family Takaful - Unit Linked	2,473,579,681	2,149,698,432
Employee Benefits	10,820,935	13,614,072
Other Liabilities - Unit Linked	118,930,337	80,207,746
Subordinated Debt	122,612,347	88,004,733
Other Liabilities	181,248,494	123,381,254
Lease Liability	13,039,309	14,209,487
Total Liabilities	3,276,924,320	2,866,496,577
Shareholders' Equity		
Stated Capital	500,000,000	500,000,000
Other Reserves	31,489,221	26,397,643
Revenue Reserves	12,326,088	(42,641,119)
Total Equity	543,815,310	483,756,524
Total Equity and Liabilities	3,820,739,630	3,350,253,102

The above Long Term Insurance (Family Takaful) Balance Sheet is to be read in conjunction with the consolidated Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate Information

1.1 General

Amana Takaful PLC (“Company”) is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 66o – 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These consolidated Financial Statements comprise the Company and its subsidiaries (collectively the ‘Group’ and individually ‘Group companies’).

1.2 Principal Activities and Nature of Operations

Company

During the year, the principal activity of the Company was General Takaful Insurance Business.

Subsidiary

The principal activity of Amana Global Limited (100% stake) is providing services such as Technical Support, Research and Development, under section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amana Takaful Maldives PLC, which is a subsidiary (55%) of Amana Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 04 March 2010 to carry out General Takaful Business.

Amana Takaful Life PLC (82.3% stake) was incorporated on 10 July 2014 in which principal activity of the Company is Life Takaful insurance.

1.3 Date of Authorization for Issue

The Consolidated and Separate Financial Statements of Amana Takaful PLC for the year ended 31 December 2022 was authorized for issue by the Board of Directors on 23 May 2023.

1.4 Responsibility for Financial Statements

The Board of Directors is responsible for these financial statements.

2. Basis of Preparation

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Statement of Financial position of the Family Takaful (Life Insurance) Fund represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC.

The Group's Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses. The results of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC, are also included in the Group Statement of Profit or loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, (“Financial Statements”) as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/ LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA), and comply with the requirements of the Companies Act, No. 7 of 2007, the Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto.

2.2 Basis of Measurement

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value

- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognized at the present value
- Incurred by not reported / Incurred but not enough reported liability – actuarially determined values based on internationally accepted actuarial policies and methodologies
- Investment in subsidiaries, which are measured at fair value (Equity accounted).

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These consolidated and separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 Use of Estimates and Judgments

In the process of applying the group accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the consolidated Financial Statements. Further, the management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the Reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the consolidated and separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

The key items as such are discussed below.

2.4.1 Assumption and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2022 is included in the following notes:

2.4.1.1 Note 7 - Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr. P. P. T. Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provision and General Insurance Provisions were carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and Actsure Lab (Pvt) Ltd respectively.

(i) Note 17 - General Insurance Provision

Non-life insurance contract liabilities are recognized when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the Reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalization or catastrophe reserves is recognized. The liabilities are derecognized when the contract expires, is discharged or is cancelled.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognized as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

NOTES TO THE FINANCIAL STATEMENTS

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 18 - Long Term Insurance Provision- (Family Takaful Fund)

Life insurance liabilities are recognized when contracts are entered into and premiums are receivable. At each Reporting date, an assessment is made of whether the recognized life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 18 to the Financial Statements.

2.4.1.3 Note 19 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 33.2 - Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investment in Subsidiaries

Fair Value of Investment Transferred

The determination of fair value of investment transferred recorded on the statement of Profit or loss and Other Comprehensive Income and the corresponding entry being recorded in investment in Subsidiary on the statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.4.1.6 Note 6.6.5 – Revaluation

The Motor Vehicles are measured at revalued amounts with changes in fair value being recognised in the Statement of Changes in Equity.

2.5 Measurement of Fair Values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, plant and equipment
- Note 7 – Investment Property
- Note 9 & 12 – Financial Assets and Financial Assets Unit Linked

2.6 Segment Reporting

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure.

Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund management services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

These Financial Statements are presented on the assumption that the Group is a going concern. The Directors have neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations in all sectors of the Group. There are no going concern issues identified during the current financial year 2022.

2.7.1 Compliance with Risk Based Capital Solvency Margin Rules

As per the RBC Solvency Margin Rule, an insurance company engaged in either long term insurance business or general insurance business is required to maintain a Total Available Capital (TAC) of Rs.500 million and capital adequacy ratio (CAR) of 120% minimum with supervisory buffer level of 160%.

The company was able to maintain the required TAC and the minimum CAR of 120% during the full financial year 2022.

The company was able to maintain the required TAC and CAR level of 160% in all other quarters till the authorization date.

3. Summary of Significant Accounting Policies

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate Financial Statements except for note 3.1.3(equity account of investment in subsidiary)

The comparative information has been re-classified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

3.1 Basis of Consolidation

3.1.1 Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognized in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognized in profit or loss.

3.1.2 Non-Controlling Interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the Balance sheet date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

Application of Equity Accounting for Investment in Subsidiaries in Separate Financial Statements

The Company has voluntarily changed the accounting policy on accounting for Investment in Subsidiaries, from cost model to Equity Accounting model in compliance to LKAS 27 - "Separate Financial Statements" with effect from 31st December 2022. This policy change was done

NOTES TO THE FINANCIAL STATEMENTS

to provide more reliable and relevant information on the financial position and financial performance of the Company to the economic decision-making needs of users.

As per LKAS 8 - "Accounting Policies, Change in Accounting Estimates and Errors", the change in accounting policy from cost model to Equity Accounting model requires to be applied retrospectively by adjusting the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied. Accordingly Statement of Financial Position and Statement of Changes in Equity as at 31st December 2022 has been presented with restated balances which is the opening balance of earliest prior period presented.

3.1.4 Loss of Control

When the Group loses control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognized in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3.1.5 Transactions Eliminated on Consolidation

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

3.1.6 Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognized in Profit or Loss; instead, the result of the transaction is recognized in equity as arising from a transaction with shareholders.

3.1.7 Common Control Transactions in Separate Financial Statements

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the

consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

3.2 Foreign Currency

3.2.1 Foreign Currency Transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognized in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognized in OCI, are reclassified to profit or loss); are recognized in OCI:

3.2.2 Foreign Operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognized in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation

reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form, part of the net investment in the foreign operation. Accordingly, such differences are recognized in OCI and accumulated in the translation reserve.

3.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in OCI.

3.3.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

3.3.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the Reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the Reporting date.

3.4 Intangible Assets

3.4.1 Research & Development

Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortization and any accumulated impairment losses. Amortization is recognized in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognized.

Research and other development expenditure are recognized in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

3.4.2 Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

NOTES TO THE FINANCIAL STATEMENTS

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortization methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortization method
Computer Software	08-20 years	Straight line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

3.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period, to which it relates, on a straight-line basis.

3.6 Salvage Stock

Salvage Stocks are valued at since realized/realizable value.

3.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each Reporting date or more frequently when an indication of impairment arises during the Reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognized as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognized when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

3.8 Other Assets & Receivables

Other assets & receivables are stated at their estimated realizable value.

3.9 Property, Plant and Equipment

3.9.1 Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant & Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant & Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31 December 2021 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the Reporting date.

An item of Property, Plant & Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

3.9.2 Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant & Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 Depreciation

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant & Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant & Equipment are as follows:

Class	Useful Life
Motor Vehicles	04 - 05 Years
Computer Equipment	03 - 05 Years
Other Equipment	04 - 05 Years
Furniture & Fittings	05 - 10 Years
Leasehold vehicle	04 - 05 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 Financial Assets

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortized cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Loans and Receivables
Equity Shares	Fair Value Through Profit or Loss and Available-for-Sale
Unit Trust	Available-for-Sale
Gold	Fair Value Through Profit
Term Deposits / Mudharabah Deposits	Loans and Receivables
Loans & Receivable	Loans and Receivables
Financial Liability	Category
Murabaha Facility/Fixed Term	Other Financial Liabilities

3.11 Recognition of financial assets

The Group initially recognizes loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value through Profit or Loss) are recognized initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

NOTES TO THE FINANCIAL STATEMENTS

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

3.11.1 Measurement

(a) Financial Assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed, and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognized in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realized gain and loss are recognized in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the effective interest rate method. Gains and losses are recognized in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognized or impaired, as well as through the amortization process.

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-for-Sale Financial Assets

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale Reserve until the investment is derecognized or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss and Other Comprehensive Income.

(e) Other Financial Liabilities

Other Financial Liabilities are non-derivative financial liabilities, which are initially recognized at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortized cost using the effective interest method.

3.11.2 Impairment of Financial Assets

Financial assets, not classified as at fair value through profit or loss, are assessed at each Reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;

- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- Observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

(a) Assets Carried at Amortized Cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognized in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

(b) Available-for-Sale Financial Investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortization) and its current fair value, less any impairment loss previously recognized in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognized in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognized in the Statement of Profit or Loss and Other Comprehensive Income.

(c) Financial Assets Carried at Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3.12 De-recognition of Financial Assets

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when,

- The rights to receive cash flows from the asset have expired
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- The Group has transferred its rights to receive cash flows from the asset and either:
 - Has transferred substantially all the risks and rewards of the asset, or
 - Has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of

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the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognizes a financial liability when its contractual obligations are discharged or cancelled or expire.

3.13 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the Reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant & Equipment up to the date of change.

3.14 Leases

Recognition

At inception of a contract, the Group assess whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assess whether:

- the contract involves the use of an identified asset
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset.

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use assets of the Group consists of branch premises and vehicles.

Measurement

The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

Estimating the Incremental Borrowing Rate

As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Group estimates the IBR using observable input when available and is required to make certain entity-specific adjustments

3.15 Liabilities and Provisions (Excluding Insurance Contracts)

Liabilities

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

Provisions (Excluding Insurance Contracts)

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognized as finance cost.

3.16 Employee Benefits

Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the Reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past Service Costs are recognized as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.16.1 Defined Contribution Plans – Employees' Provident Fund & Employees' Trust Fund

Employees are eligible for Employees' Provident Fund contributions and Employees' Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

3.16.2 Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 Impairment of Non-Financial Assets

The Group assesses at each Reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property

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previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each Reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 General Takaful Business (Non-Life Insurance Business)

3.18.1 Gross Written Contribution (Gross Written Premium)

Contributions (Premiums) are recognized earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 Unearned Contribution (Premium)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Allocation Fee).

3.18.3 Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December.

3.18.4 Outward Retakaful (Reinsurance)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognized as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 Claims

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognized in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ('IBNR') and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 Deferred Acquisition Cost and Deferred Income

Acquisition cost / Income is directly attributable to the profit or loss when policy is underwritten.

3.19 Family Takaful Business (Long-Term Insurance Business)

3.19.1 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognized as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognize profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognized in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognized when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 Technical Provisions – Family Takaful Business Provision and Provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

3.20 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

3.20.1 Wakala Fee (Agency/ Allocation Fee)

3.20.1.1 Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for Allocation Fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis.

• General Takaful (Insurance) Business

The Shareholders' Fund is entitled for Allocation Fee on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced allocation fee at the rates given below in order strengthen the General Takaful (insurance) Fund.

- Medical Takaful (Insurance) Policies 10% & 37.5%
- All other General Takaful (Insurance) Policies 20% - 50%

• Family Takaful (Life Insurance) Business

The Allocation fee is charged on contribution of Family Takaful Certificates, at the following rates:

- Family Takaful Products - First Year 80%
- Second Year 45%
- Third Year & after 02%
- Mortgage Family Takaful (Insurance) Policies 20%
- Group Family Takaful (Insurance) Policies 30%

3.20.1.2 Wakala Fee (Agency/ Allocation Fee) on Investment Income

The Shareholders' fund is entitled for allocation fee of 50% on net investment income.

3.20.2 Investment Income

3.20.2.1 Interest Income

Interest income is recognized in the Statement of Profit or Loss and Other Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realized gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortized cost and are recorded on occurrence of the sale transaction.

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3.21 Others

Other income is recognized on an accrual basis.

3.22 Expenditure Recognition

Expenses are recognized in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant & Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

3.23 Events after the Reporting Date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorized for issue. All material events after the reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

3.24 Capital Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective notes to the financial statements.

3.25 Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognized as a deduction from equity, net of any tax effects.

3.26 Earnings per Share (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

3.27 Statement of Cash Flows

The Cash Flow Statement has been prepared using the direct Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 'Statement of Cash flows.

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

3.28 New and Amended Standards and Interpretations

The Group applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2022. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

(a) Amendments to SLFRS 3 - Business Combinations: Updating a Reference a Conceptual Framework

In 23 March 2021, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued amendments to SLFRS 3 Business Combinations - Updating a Reference to the Conceptual Framework. The amendments are intended to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements.

An exception was also added to the recognition principle of SLFRS 3 to avoid the issue of potential 'day 2' gains or losses arising for liabilities and contingent liabilities that would be within the scope of LKAS 37 or IFRIC 21 Levies, if incurred separately.

At the same time, it was decided to clarify existing guidance in SLFRS 3 for contingent assets that would not be affected by replacing the reference to the Framework for the Preparation and Presentation of Financial Statements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022 and apply prospectively.

(b) Amendments to LKAS 37 Provisions, Contingent Liabilities and Contingent Assets: Onerous Contracts – Costs of Fulfilling a Contract

In 25 March 2021, the Institute of Chartered Accountant of Sri Lanka (CA Sri Lanka) issued amendments to LKAS 37 Provisions, Contingent Liabilities, and Contingent Assets (LKAS 37).

The Amendment specifies the costs that an entity need to include when assessing whether a contract is onerous or loss making.

(c) Amendments to LKAS 16 Property, Plant & Equipment: Proceeds before Intended Use

In 25 March 2021, the Institute of Chartered Accountant of Sri Lanka (CA Sri Lanka) issued LKAS 16 property, Plant and Equipment-Proceeds before Intended Use, which prohibits entities deducting from the cost of an item of property, plant and equipment, any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss.

The Amendment prohibits entities from deducting any proceeds from selling items produced, while bringing that asset to the location and condition necessary for it to be capable of operation in the manner intended by management, from the cost of an item of property, plant, and equipment.

There is not any material impact on the Financial Statements of the Company from above new and amended standards and interpretations.

4. Standards Issued But Not Yet Effective as at Reporting Date

Impending Accounting Standards/ Standards Issued Not Yet Effective

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 December 2022 reporting periods. None of those have been early adopted by the Group.

a) Sri Lanka Accounting Standard (SLFRS) 9 - Financial Instruments:

In December 2014, the CA Sri Lanka issued the final version of IFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 – Financial Instruments: Recognition and Measurement.

SLFRS 9 is effective for annual periods beginning on or after 01st January 2018, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

Temporary Exemption from SLFRS 9

An insurer that meets the criteria in paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits but does not require the insurer to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1 January 2025.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if;

- 1) It has not previously applied any version of SLFRS 9, other than only the requirements of the Presentation of gains and losses on financial liabilities designated as at Fair Value Through Profit or Loss and;
- 2) Its activities are predominantly connected with insurance, at its annual reporting date that immediately proceeds 01 April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, since Amana Takaful PLC and Amana Takaful Life PLC are connected with insurance activities, both the companies may continue to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 01 January 2025. As at reporting date insurance related liabilities are above 90% which is the minimum percentage eligible to exemption as per SLFRS 9.

Summary of the Requirements

- Classification and Measurement

Financial Assets

SLFRS 9 contains a new classification and measurement approach for financial assets that reflects the business model in which assets are managed and their cash flow characteristics.

NOTES TO THE FINANCIAL STATEMENTS

SLFRS 9 contains three principal classification categories for financial assets measured at;

- Amortized cost
- Fair value through other comprehensive income (FVTOCI)
- Fair value through profit or loss

The standard eliminates the existing LKAS 39 categories of Held to Maturity, Loans and Receivables and Available for Sale.

Financial Liabilities

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification of financial liabilities. However, under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognised in the Income Statement, whereas under SLFRS 9 these fair value changes are generally presented as follows:

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in the Statement of Other Comprehensive Income; and
- The remaining amount of change in the fair value is presented in the Income Statement. The Company has not designated any financial liabilities at FVTPL and it has no current intention to do so.

Impairment

SLFRS 9 replaces the 'Incurred Loss' model in LKAS 39 with a forward-looking 'Expected Credit Loss' (ECL) model. This will require considerable judgement about how changes in economic factors affect ECLs, which will be determined on a probability-weighted basis.

The new impairment model will apply to financial assets measured at amortised cost or fair value through Statement of Other Comprehensive Income, except for investments in equity instruments, and to contract assets.

Under SLFRS 9, loss allowances will be measured on either of the following bases:

12-month ECLs: these are ECLs that result from possible default events within the 12 months after the reporting date; and Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument.

Lifetime ECL measurement applies if the credit risk of a financial asset at the reporting date has increased significantly since initial recognition and 12-month ECL measurement applies if it has not.

An entity may determine that a financial asset's credit risk has not increased significantly if the asset has low credit risk at the reporting date. However, lifetime ECL measurement always applies for trade receivables and contract assets without a significant financing component.

b) SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in SLFRS 4, which are largely based on grandfathering previous local accounting policies, SLFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2025, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17.

SLFRS 17 Implementation Programme

SLFRS 17 is expected to have a significant impact, as the requirements of the new standard are complex and requires a fundamental change to accounting for insurance contracts as well as the application of significant judgement and new estimation techniques. The effect of changes required to the Group's accounting policies as a result of implementing these standards are currently uncertain, but these changes can be expected to, among other things, alter the timing of profit recognition. Given the implementation of this standard is likely to involve significant enhancements to IT, actuarial and finance systems of the Group, it will also have an impact on the Group's expenses.

The Group has an implementation programme underway to implement SLFRS 17 and SLFRS 9. The scope of the programme consists of setting accounting policies and developing application methodologies, establishing appropriate processes and controls, sourcing appropriate data and implementing actuarial and finance system changes.

The Steering Committee chaired by both Chief Financial Officer and General Manager Actuarial provides oversight and strategic direction to the implementation programme along with the involvement of external consultants.

The Group remains on track to providing SLFRS 17 financial statements in line with the requirements for reporting as at 31st December 2025 with comparative figures for 2024.

c) Definition of Accounting Estimates - Amendments to LKAS 8

The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates. The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023. Earlier application is permitted.

d) Deferred Tax Related to Assets and Liabilities Arising from a Single Transaction - Amendments to LKAS 12

The amendments clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognised in the financial statements (and interest expense) or to the related asset component (and interest expense). This judgement is important in determining whether any temporary differences exist on initial recognition of the asset and liability.

Also, under the amendments, the initial recognition exception does not apply to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. It only applies if the recognition of a lease asset and lease liability (or decommissioning liability and decommissioning asset component) give rise to taxable and deductible temporary differences that are not equal.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

e) Disclosure of Accounting Policies - Amendments to LKAS 1 and IFRS Practice Statement 2

Amendments to LKAS 1 and IFRS Practice Statement 2 Making Materiality Judgements, provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by:

- Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies.

The amendments apply a "directly related cost approach". The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022. Earlier application is permitted.

NOTES TO THE FINANCIAL STATEMENTS

5. Intangible Assets

5.1 Group

Year ended 31 December 2022

	2022 Rs.	2021 Rs.
Cost		
Balance at the beginning of the year	207,972,772	185,148,355
Additions during the year	9,814,653	15,120,272
Disposal during the year	-	-
Exchange gain /(loss)	98,474,827	7,704,145
Balance at the end of the year	316,262,252	207,972,772
Amortisation		
Balance at the beginning of the year	87,138,040	75,836,702
Charges for the year	14,242,702	8,294,374
Disposal during the year	-	-
Exchange gain/(loss)	39,891,406	3,006,964
Balance at the end of the year	141,272,148	87,138,040
Carrying Amount	174,990,104	120,834,732

5.2 Company

Year ended 31 December 2022

	2022 Rs.	2021 Rs.
Cost		
Balance at the beginning of the year	60,329,469	56,804,726
Additions during the year	1,370,814	3,524,743
Balance at the end of the year	61,700,282	60,329,469
Amortisation		
Balance at the beginning of the year	30,484,854	28,468,541
Amortisation charge for the year	2,203,920	2,016,313
Balance at the end of the year	32,688,773	30,484,854
Carrying value	29,011,509	29,844,615

5.3 Acquisition of Intangible Assets during the Year

During the financial year, the Group has acquired/ capitalized Intangible Assets (Computer Software) to the aggregate value of Rs.9,814,653/- (2021 - 15,120,272/-).

5.4 Fully Amortised Intangible Assets in Use

The Group Intangible Assets includes fully amortised computer software which are in the use of normal business activities having an initial cost of Rs. 17,582,631/- (2021 - Rs.10,862,742/-).

5.5 Title Restriction on Intangible Assets

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31st December 2022.

5.6 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31st December 2022. Based on the assessment, no impairment indicators were identified.

6. Property, Plant and Equipment

6.1 Cost/Valuation

Group	Balance as at 01.01.2022 Rs.	Additions Rs.	Disposals Rs.	Exchange Movement Rs.	Total as at 31.12.2022 Rs.
Freehold (6.1.1)	397,472,523	23,449,474	(2,904,325)	36,591,654	454,609,328
	397,472,523	23,449,474	(2,904,325)	36,591,654	454,609,328

6.1.1 Freehold Property, Plant and Equipment

Group Cost/Valuation	Balance as at 01.01.2022 Rs.	Additions Rs.	Disposals Rs.	Exchange Movement Rs.	Total as at 31.12.2022 Rs.
Motor Vehicles	22,467,748	-	(1,661,586)	1,585,153	22,391,314
Computer Equipment	100,964,262	16,278,377	(852,840)	13,587,920	129,977,720
Other Equipment	125,938,102	2,901,419	-	5,333,177	134,172,698
Furniture and Fittings	148,102,411	4,269,678	(389,898)	16,085,404	168,067,595
Total Value of Depreciable Assets	397,472,523	23,449,474	(2,904,325)	36,591,654	454,609,328

Depreciation	Balance as at 01.01.2022 Rs.	Charge for the Year Rs.	Disposals Rs.	Exchange Movement Rs.	Total as at 31.12.2022 Rs.
Motor Vehicles	2,981,849	4,129,131	(1,479,587)	1,567,187	7,198,580
Computer Equipment	87,124,789	7,113,054	-	9,970,847	104,208,690
Other Equipment	109,552,809	7,887,411	-	4,478,870	121,919,090
Furniture and Fittings	109,681,832	13,805,545	-	7,209,763	130,697,139
Total Depreciation	309,341,279	32,935,141	(1,479,587)	23,226,667	364,023,500
Carrying Amount	88,131,244				90,585,828

6.1.2 Net Book Values

	2022 Rs.	2021 Rs.
Freehold	90,585,828	88,131,244
Total Carrying Amount of Property, Plant and Equipment	90,585,828	88,131,244

6.1.3 Acquisition of Property, Plant and Equipment during the Year - Group

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.23,449,474/- (2021 - Rs.30,984,511/-) for cash considerations.

6.1.4 Fully Depreciated Property, Plant and Equipment in Use - Group

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 266,105,326/- (2021 - Rs.184,017,122/-).

NOTES TO THE FINANCIAL STATEMENTS

6.2 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

6.3 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2022. Based on the assessment, no impairment indicators were identified.

6.4 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.5 Temporarily idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2022.

6.6 Company

Cost/Valuation	Balance as at 01.01.2022 Rs.	Additions Rs.	Disposals Rs.	Total as at 31.12.2022 Rs.
Freehold (6.6.1)	294,080,015	10,987,114	(910,000)	304,157,129
	294,080,015	10,987,114	(910,000)	304,157,129

6.6.1 Freehold Property, Plant and Equipment

Cost/Valuation	Balance as at 01.01.2022 Rs.	Additions Rs.	Disposals Rs.	Total as at 31.12.2022 Rs.
Motor Vehicles	8,245,000	-	(910,000)	7,335,000
Computer Equipment	73,907,281	6,493,915	-	80,401,196
Other Equipment	100,680,869	2,000,320	-	102,681,190
Furniture and Fittings	111,246,865	2,492,879	-	113,739,744
Total Value of Depreciable Assets	294,080,015	10,987,114	(910,000)	304,157,129

Depreciation	Balance as at 01.01.2022 Rs.	Charge for the Year Rs.	Disposals Rs.	Total as at 31.12.2022 Rs.
Motor Vehicles	1,125,464	1,593,134	(728,000)	1,990,598
Computer Equipment	66,761,920	2,637,885	-	69,399,805
Other Equipment	91,913,946	3,322,811	-	95,236,757
Furniture and Fittings	88,361,646	7,964,907	-	96,326,553
Total Depreciation	248,162,975	15,518,737	(728,000)	262,953,712
Carrying Amount	45,917,040			41,203,417

6.6.2 Net Book Values

	2022 Rs.	2021 Rs.
Freehold	41,203,417	45,917,040
Total Carrying Amount of Property, Plant and Equipment	41,203,417	45,917,040

6.6.3 Acquisition of Property, Plant and Equipment during the Year - Company

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 10,987,114/- (2021 Rs.18,456,249/-) for cash considerations.

6.6.4 Fully Depreciated Property, Plant and Equipment in Use - Company

Company Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.208,666,759/- (2021 - Rs.169,603,212/-).

6.6.5 Revaluation

Company

In 2021, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

Year ended 31 December 2022	2022 Rs.	2021 Rs.
Cost	5,320,000	5,320,000
Accumulated depreciation	(3,469,419)	(2,166,000)
Carrying Value	1,850,581	3,154,000

Other Group Companies

Amana Takaful Life PLC

In 2021, Amana Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

Year ended 31 December 2022	2022 Rs.	2021 Rs.
Cost	3,849,377	3,849,377
Accumulated depreciation	(2,416,832)	(1,037,588)
Carrying Value	1,432,545	2,811,789

NOTES TO THE FINANCIAL STATEMENTS

6.7 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

6.8 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2022. Based on the assessment, no impairment indicators were identified.

6.9 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.10 Temporarily idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31 December 2022.

7. Investment Property

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Balance as at 1st January	196,100,000	194,000,000	48,600,000	46,500,000
Disposals during the year	(48,600,000)	-	(48,600,000)	-
Net Gain/ Loss from Fair Value Adjustment	3,050,000	2,100,000	-	2,100,000
Balance as at 31st December	150,550,000	196,100,000	-	48,600,000

7.1 During the financial year, the Amana Takaful PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.240,000/- (2021 - Rs.240,000/-) and made a provision of Renovation expenses to the aggregate Value of Rs. NIL (2021 - Rs.2,200,000/-). Amana Takaful Life PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.109,340/- (2021 - Rs.111,646/-) and made a provision of Renovation expenses to the aggregate Value of Rs.2,000,000/- (2021 - Rs.Nil).

7.2 Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P. P. T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31 December 2022.

The Group fair value measurement for investment property of Rs.150,550,000/- (2021- Rs.196,000,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

7.3 Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows :

No.	Address	Extent	Fair Value 2022 Rs.	Per Perch/ Sq. ft. Value Rs.	Fair Value 2021 Rs.	Per Perch/ Sq. ft. Value Rs.
Amana Takaful PLC						
01)	107/15, Buthgamuwa Road, Rajagiriya	- Building	-	28,588 per sq. ft.	48,600,000	27,352 per sq. ft.
Amana Takaful Life PLC						
02)	451, Old Moor Street, Colombo 12.	- Land	137,500,000	25,000,000 per Perch	137,500,000	25,000,000 per Perch
		- Building	13,050,000	5,000 per sq. ft	10,000,000	3,831 per sq. ft

7.4 Sensitivity

The Group investment property reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2022		31 December 2021	
	Increase	Decrease	Increase	Decrease
Amana Takaful PLC				
Per square Feet (Rs.1000 movement)	-	-	1,700,000	(1,700,000)
Amana Takaful Life PLC				
Per Perch Value (Rs.100,000 movement)	550,000	(550,000)	550,000	(550,000)
Per square Feet (Rs.1000 movement)	2,610,000	(2,610,000)	2,610,000	(2,610,000)

NOTES TO THE FINANCIAL STATEMENTS

8. Investments in Subsidiaries

The Company Financial Statements have been restated in accordance with Sri Lanka Accounting Standard LKAS – 8, Accounting Policies, changes in Accounting Estimates and Errors, to reflect the following.

The Company has voluntarily changed the accounting policy on accounting for Investment in Subsidiaries, from cost model to Equity Accounting model in compliance to LKAS 27 - "Separate Financial Statements".

Company	% Holding		Number of Shares		Fair Value	
	2022	2021	2022	2021	2022 Rs.	2021 Rs. Restated
Amana Global Ltd.	100%	100%	33,333	33,333	37,125,000	37,125,000
Amana Takaful Life PLC	82.3%	82.3%	41,150,000	41,150,000	447,560,001	398,131,619
Amana Takaful Maldives PLC	55%	55%	11,166,500	11,166,500	1,708,466,696	788,385,567
Provision for Amana Global Ltd.	-	-	-	-	(37,125,000)	(37,125,000)
					2,156,026,697	1,186,517,186

8.1 Subsidiary Movement

	Restated Balance 31.12.2021 Rs.	Change in Share of investee's Profit Rs.	Change in Share of investee's OCI Rs.	Balance as at 31.12.2022 Rs.
Amana Takaful Maldives PLC	788,385,567	160,508,800	759,572,329	1,708,466,696
Amana Takaful Life PLC	398,131,619	44,516,672	4,911,710	447,560,001
Net	1,186,517,186	205,025,472	764,484,039	2,156,026,697

8.1.1 Impact to the Company Income Statement for the Year Ended 31 December 2021

	Published as at 31.12.2021 Rs.	Change in Share of investee's net asset Rs.	Restated for 31.12.2021 Rs.
Profit for the year	48,508,529	114,609,868	163,118,397
Other Comprehensive Income	(13,731,183)	35,525,832	21,794,649
Net	34,777,346	150,135,700	184,913,046

8.1.2 Impact to the Company Financial Position

	As at 01.01.2021 Rs.	Change in Share of investee's net asset Rs.	Restated for 01.01.2021 Rs.	Published as at 31.12.2021 Rs.	Change in Share of investee's net asset Rs.	Restated for 31.12.2021 Rs.
Investments in Subsidiaries	1,052,867,811	(16,486,324)	1,036,381,487	1,052,867,811	133,649,375	1,186,517,186

8.1.3 Impact to the Company Cash Flows as at 31 December 2021

	Published as at 31.12.2021	Change in Share of investee's net asset	Restated for 31.12.2021
	Rs.	Rs.	Rs.
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations			
Profit/(Loss) from Operations	89,315,855	114,609,868	203,925,723
Changes in Share of Profit of Equity Accounted Subsidiaries	-	(114,609,868)	(114,609,868)
	89,315,855	-	89,315,855

8.1.4 Impact on Basic, Diluted Earnings Per Share (EPS) in the company

	Published for 31.12.2021	Increase / (Decrease) in EPS	Restated for 31.12.2021
Basic, Diluted Earnings Per Share	0.27	0.64	0.91

8.2 Sensitivity

The Investment in subsidiaries held at Maldives would have an affect by foreign currency translation by the amounts shown below.

Amana Takaful Maldives PLC	31 December 2022		31 December 2021	
	Increase	Decrease	Increase	Decrease
Per 10 rupee change (For every 1000 net asset movement)	10,000	(10,000)	10,000	(10,000)

8.3 Principal place of business of Subsidiary company Amana Takaful Life PLC and Amana Global Ltd is in Sri Lanka. The principal place of business of Amana Takaful Maldives PLC is in Maldives.

9. Financial Assets

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Financial Assets at Fair Value Through Profit & Loss (9.2.1)	392,862,659	261,226,028	46,239,733	55,637,527
Available For Sale Financial Assets (9.2.2)	1,795,831,125	622,910,087	41,746,407	36,866,944
Loans and Receivable (9.2.3)	4,868,039,094	3,050,781,599	1,289,918,530	954,104,302
	7,056,732,879	3,934,917,715	1,377,904,670	1,046,608,773

9.1 Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS

9.2 Classification of Financial Assets

9.2.1 Financial Assets at Fair Value Through Profit & Loss

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Investments in Equity Securities (9.3.1)	221,862,659	126,057,278	34,989,733	55,637,527
Investments in Gold	171,000,000	135,168,750	11,250,000	-
	392,862,659	261,226,028	46,239,733	55,637,527

9.2.2 Available For Sale Financial Assets

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Investments in Equity Securities - Quoted (9.3.2)	1,691,071,200	525,070,350		
Unit Trust				
- Candor Balance Fund	17,889,963	16,285,293	-	-
- Candor Income Fund	14,074,263	17,313,578	-	-
- Wealth Management NDB	72,270,698	63,715,867	41,221,407	36,341,944
Investments in Equity Securities - Unquoted (9.3.3) (**)	525,000	525,000	525,000	525,000
	1,795,831,125	622,910,087	41,746,407	36,866,944

The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

9.2.3 Loans and Receivable

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Repurchase Agreements	1,597,745,775	552,148,257	465,438,580	286,876,657
Fixed Term Investments	3,251,868,068	2,486,454,476	808,597,234	656,593,551
Advances to Company Officers (9.2.4)	18,425,251	12,178,866	15,882,715	10,634,094
	4,868,039,094	3,050,781,599	1,289,918,530	954,104,302

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

The Group Loans and Receivables includes a provision of Rs.75,658,959/- (2021-75,658,959/-). The said provision will be revised upon recovery.

9.2.4 Advances to Company Officers

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Balance at the beginning of the year	12,178,866	11,449,941	10,634,094	10,113,960
Loans granted during the year	19,145,923	13,942,333	16,578,257	11,374,667
Less : Repayments during the year	(12,899,538)	(13,213,406)	(11,329,636)	(10,854,534)
Balance at the end of the year	18,425,251	12,178,866	15,882,715	10,634,094
Less: Provision for Impairment	-	-	-	-
	18,425,251	12,178,866	15,882,715	10,634,094

9.3 Investments in Equity Securities

9.3.1 Quoted

9.3.1.1 Financial Investments at Fair Value Through Profit or Loss

Year ended 31 December 2022	Group				Company			
	2022 Number of Shares	2022 Market Value Rs.	2021 Number of Shares	2021 Market Value Rs.	2022 Number of Shares	2022 Market Value Rs.	2021 Number of Shares	2021 Market Value Rs.
Amana Bank PLC	3,641,124	10,558,790	5,052,228	22,229,806	-	-	-	-
Dhivehi Raajjeyge Gulhun PLC	2,270	5,918,045	2,270	3,001,847	-	-	-	-
Ooredoo Maldives PLC	100,000	164,409,700	100,000	42,783,510	-	-	-	-
Maldives Islamic Bank PLC	6,372	5,986,392	5,152	2,404,589	-	-	-	-
Hayleys Fabric PLC	219,918	4,970,147	219,918	9,060,622	219,918	4,970,147	219,918	9,060,622
Dialog Axiata PLC	367,977	3,127,805	267,977	2,920,949	367,977	3,127,805	267,977	2,920,949
Hemas Holdings	50,000	2,820,000	-	-	50,000	2,820,000	-	-
Lanka Tiles	94,473	4,369,035	-	-	94,473	4,369,035	-	-
Ceylon Grain Elevators PLC	18,136	1,459,948	18,136	2,208,058	18,136	1,459,948	18,136	2,208,058
Tokyo Cement	101,220	2,631,720	-	-	101,220	2,631,720	-	-
Lanka Milk Foods PLC	20,000	2,475,000	10,000	2,692,995	20,000	2,475,000	10,000	2,692,995
Teejay Lanka PLC	148,745	4,715,217	80,000	3,552,000	148,745	4,715,217	80,000	3,552,000
Sunshine Holdings PLC	-	-	111,955	5,082,757	-	-	111,955	5,082,757
Expolanka Holdings PLC	46,205	8,420,861	80,000	30,020,000	46,205	8,420,861	80,000	30,020,000
hSenid Business Solutions PLC	-	-	4,800	100,146	-	-	4,800	100,146
At Fair Value Through Profit or Loss		221,862,659		126,057,278		34,989,733		55,637,527

NOTES TO THE FINANCIAL STATEMENTS

9.3.2 Quoted

Year ended 31 December 2022	Group				Company			
	2022		2021		2022		2021	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Maldives Islamic Bank PLC	1,800,000	1,691,071,200	1,125,000	525,070,350	-	-	-	-
Available for Sale Investments at Fair Value		1,691,071,200		525,070,350		-		-

9.3.3 Unquoted

	Group				Company			
	2022		2021		2022		2021	
	Number of Shares	Cost Rs.	Number of Shares	Cost Rs.	Number of Shares	Cost Rs.	Number of Shares	Cost Rs.
Available for sale financial assets re classified to profit or loss								
Cleanco (Pvt) Ltd	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Available for Sale Investments at Fair Value		525,000		525,000		525,000		525,000

9.4 Financial Instruments - Fair Value and Risk Management

Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

9.4.1 Accounting Classifications and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities.

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

Group 31st December 2022	Carrying Amount			Fair value				
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets measured at fair value								
Equity securities - Quoted	-	1,691,071,200	221,862,659	1,912,933,859	1,912,933,859	-	-	1,912,933,859
Equity Securities - Unit Linked	-	-	62,665,261	62,665,261	62,665,261	-	-	62,665,261
Unit Trust	-	104,234,926	-	104,234,926	-	104,234,926	-	104,234,926
Unit Trust - Unit Linked	-	34,161,002	-	34,161,002	-	34,161,002	-	34,161,002
Investment In Gold	-	-	222,750,000	222,750,000	-	222,750,000	-	222,750,000
	-	1,829,467,128	507,277,920	2,336,745,049	1,975,599,120	361,145,928	-	2,336,745,049
Financial assets not measured at fair value								
Repurchase Agreements	1,597,745,775	-	-	1,597,745,775	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Fixed Term Investments	3,251,868,068	-	-	3,251,868,068	-	-	-	-
Advances to Company Officers	18,425,251	-	-	18,425,251	-	-	-	-
Repurchase Agreements - Unit Linked	60,612,070	-	-	60,612,070	-	-	-	-
Mudharaba Investments - Unit Linked	2,216,058,654	-	-	2,216,058,654	-	-	-	-
	7,144,709,818	525,000	-	7,145,234,818	-	-	-	-
	7,144,709,818	1,829,992,128	507,277,920	9,481,979,867	1,975,599,120	361,145,928	-	2,336,745,049

NOTES TO THE FINANCIAL STATEMENTS

9.4.2

Company 31st December 2022	Carrying Amount			Fair value				Total
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets measured at fair value								
Equity securities - Quoted	-	-	34,989,733	34,989,733	34,989,733	-	-	34,989,733
	-	-	34,989,733	34,989,733	34,989,733	-	-	34,989,733
Financial assets not measured at fair value								
Repurchase Agreements	465,438,580	-	-	465,438,580	-	-	-	-
Fixed Term Investments	808,597,234	-	-	808,597,234	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	15,882,715	-	-	15,882,715	-	-	-	-
Fixed Term Investments - Unit Linked	-	41,221,407	-	41,221,407	-	-	-	-
Investment In Gold	-	-	11,250,000	11,250,000	-	-	-	-
	1,289,918,530	41,746,407	11,250,000	1,342,914,937	-	-	-	-
	1,289,918,530	41,746,407	46,239,733	1,377,904,670	34,989,733	-	-	34,989,733

9.4.3

Group 31st December 2021	Carrying Amount			Fair value				
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets measured at fair value								
Equity securities - Quoted	-	525,070,350	126,057,278	651,127,628	651,127,628	-	-	651,127,628
Equity Securities - Unit Linked	-	-	116,476,160	116,476,160	116,476,160	-	-	116,476,160
Unit Trust	-	97,314,738	-	97,314,738	-	97,314,738	-	97,314,738
Unit Trust - Unit Linked	-	31,110,149	-	31,110,149	-	31,110,149	-	31,110,149
Investment In Gold	-	-	142,762,500	142,762,500	-	142,762,500	-	142,762,500
	-	653,495,237	385,295,938	1,038,791,175	767,603,788	271,187,387	-	1,038,791,175
Financial assets not measured at fair value								
Repurchase Agreements	552,148,255	-	-	552,148,255	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Fixed Term Investments	2,486,454,476	-	-	2,486,454,476	-	-	-	-
Advances to Company Officers	12,178,867	-	-	12,178,867	-	-	-	-
Repurchase Agreements - Unit Linked	32,343,266	-	-	32,343,266	-	-	-	-
Fixed Term Investments - Unit Linked	1,934,121,514	-	-	1,934,121,514	-	-	-	-
Investment In Gold	-	-	-	-	-	-	-	-
	5,017,246,378	525,000	-	5,017,771,378	-	-	-	-
	5,017,246,378	654,020,237	385,295,938	6,056,562,553	767,603,788	271,187,387	-	1,038,791,175

9.4.4

Company 31st December 2021	Carrying Amount			Fair value				
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Equity securities - Quoted	-	-	55,637,527	55,637,527	55,637,527	-	-	55,637,527
	-	-	55,637,527	55,637,527	55,637,527	-	-	55,637,527
Financial assets not measured at fair value								
Repurchase Agreements	286,876,657	-	-	286,876,657	-	-	-	-
Mudharaba Investments	656,593,551	-	-	656,593,551	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	10,634,094	-	-	10,634,094	-	-	-	-
Fixed Term Investments - Unit Linked	-	36,341,944	-	36,341,944	-	-	-	-
	954,104,302	36,866,944	55,637,527	1,046,608,773	55,637,527	-	-	55,637,527

NOTES TO THE FINANCIAL STATEMENTS

10. Contribution (Premium) Receivables

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Contribution (Premiums) Receivable From Participants	839,105,801	602,991,289	504,241,743	378,135,958
Contribution (Premium) Receivable From Agents, Brokers and Intermediaries	517,522,267	388,953,587	517,522,267	388,953,587
Contribution (Premium) Receivable - Net	1,356,628,068	991,944,876	1,021,764,011	767,089,545

The Board of Directors has assessed potential impairment loss of premium receivable as at 31st December 2022. Based on the assessment, no impairment provision has been made in the Consolidated and Separate Financial Statements as at the reporting date in respect of premium receivable.

11. Other Assets

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Financial Assets (Note 11.1)	269,279,215	187,143,667	96,663,226	100,323,208
Non-Financial Assets (Note 11.2)	125,764,184	77,761,503	30,755,037	20,209,732
	395,043,400	264,905,169	127,418,263	120,532,940

11.1 Financial Assets

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Other Receivables	269,279,215	187,143,667	83,060,432	98,540,600
Amount Due from Related Party	-	-	13,602,794	1,782,608
	269,279,215	187,143,667	96,663,226	100,323,208

11.2 Non-Financial Assets

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Deposits, Advances and Prepayments	125,764,184	77,761,503	30,755,037	20,209,732
	125,764,184	77,761,503	30,755,037	20,209,732

12. Financial Assets - Unit Linked

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Financial Assets at Fair Value Through Profit & Loss (12.1)	114,415,261	124,069,910	-	-
Available For Sale (12.2)	34,161,002	31,110,149	-	-
Loans and Receivable (12.3)	2,276,670,724	1,966,464,779	-	-
	2,425,246,987	2,121,644,837	-	-

12.1 Financial Assets at Fair Value Through Profit & Loss

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Investment in Equity Securities (12.4)	62,665,261	116,476,160	-	-
Investment In Gold	51,750,000	7,593,750	-	-
	114,415,261	124,069,910	-	-

12.2 Available for Sale

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Unit Trust - Candor Income Fund	34,161,002	31,110,149	-	-
	34,161,002	31,110,149	-	-

12.3 Loans and Receivable

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Repurchase Agreements	60,612,070	32,343,266	-	-
Mudharaba / Fixed Term Investments	2,216,058,654	1,934,121,514	-	-
	2,276,670,724	1,966,464,779	-	-

12.4 Investments in Equity Securities - Unit Linked

Year ended 31 December 2022	Group		2021	
	No. of shares	Market Value Rs.	No. of shares	Market Value Rs.
Hemas Holdings PLC	100,000	5,640,000	-	-
ACL Cables PLC	-	-	16,500	1,654,125
Dialog Telekom PLC	960,000	8,160,000	960,000	10,464,000
Sunshine Holdings PLC	-	-	242,727	11,019,806
Ceylon Cold Stores PLC	-	-	11,412	6,048,360
Ceylon Grain Elevators PLC	43,141	3,472,851	43,141	5,252,417
Expolanka Holdings PLC	35,668	6,500,493	55,668	20,889,417
Chevron Lubricants Lanka PLC	-	-	-	-
Hayleys MGT Knitting Mills PLC (Hayleys Fabric PLC)	250,000	5,650,000	175,000	7,210,000
Lanka Milk Foods (CWE) PLC	30,000	3,712,500	10,000	2,687,500
Lanka Wall Tile PLC	225,000	11,587,500	225,000	27,956,250
Lanka Tiles PLC	3,000	138,300	25,990	2,858,900
Chevron Lubricants Lanka PLC	63,995	6,175,518	63,995	7,231,435
Tokyo Cement Company (Lanka) PLC	90,000	2,340,000	-	-
Teejay Lanka PLC	293,000	9,288,100	223,000	9,901,200
Three Acre Farms PLC	-	-	11,000	3,302,750
		62,665,261		116,476,160

NOTES TO THE FINANCIAL STATEMENTS

13. Cash and Cash Equivalents in Cash Flow Statement

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs	2022 Rs.	2021 Rs
Components of Cash and Cash Equivalents				
Cash & Bank Balances	244,776,076	166,961,978	61,439,739	48,157,021
Cash & Bank Balances - Unit Linked	15,841,002	9,583,462	-	-
Investments in Government Securities	1,123,559,812	552,148,257	174,338,587	286,876,657
	1,384,176,889	728,693,696	235,778,325	335,033,678

14. Stated Capital

Year ended 31 December 2022	Company			
	2022		2021	
	No. of shares	Rs.	No. of shares	Rs.
Fully Paid Ordinary Shares -Voting	180,000,130	1,860,001,339	180,000,130	1,860,001,339

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

15. Other Reserves

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs	2022 Rs.	2021 Rs
Reserves consists of the following :				
Revaluation Reserve (15.1)	45,424,314	45,424,314	33,541,361	33,541,361
Translation Reserve (15.2)	837,169,268	169,539,884	-	-
	882,593,581	214,964,197	33,541,361	33,541,361

15.1 Revaluation Reserve

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs	2022 Rs.	2021 Rs
The Revaluation Reserve relates to the revaluation of Property, Plant and Equipment.				
Balance as at 1st January	45,424,314	30,806,332	33,541,361	28,477,953
Change in Fair Value of Property, Plant & Equipment	-	14,645,575	-	5,091,000
Transfer of revaluation surplus to retained earnings, at the disposal	-	(27,593)	-	(27,593)
Balance as at 31st December	45,424,314	45,424,314	33,541,361	33,541,361

15.2 Translation Reserve

The Translation Reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Balance as at 1st January	169,539,884	122,390,856	-	-
Foreign Currency Translation Differences for Foreign Operations	667,629,385	47,149,028	-	-
Balance as at 31st December	837,169,268	169,539,884	-	-

16. Revenue Reserve

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Accumulated Profit / (Losses)				
Balance as at 1st January	(361,634,799)	(487,950,306)	(220,101,089)	(399,950,729)
Net Profit for the year	298,939,896	164,566,886	294,558,690	163,118,397
Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries	-	-	764,484,039	35,525,832
Fair Value Changes taken to OCI	4,190,369	4,443,483	4,879,463	1,400,614
Defined Benefit Plan Actuarial Losses, net of Deferred Tax	11,761,756	(20,123,643)	10,730,143	(20,222,797)
Fair Value Gain on AFS valuation	96,822,408	(22,598,811)	-	-
Transfer of Revaluation Reserve on Disposal	-	27,593	-	27,593
Balance as at 31st December	50,079,630	(361,634,799)	854,551,245	(220,101,089)

16.1 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

16.2 Available-for-Sale Reserve

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognized or impaired.

17. Insurance Contract Liabilities - Non-Life

17.1 Unearned Contribution (Premium)

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Gross	1,883,336,338	1,221,349,768	956,270,933	852,611,050
Retakaful (Reinsurance)	(193,177,275)	(243,143,624)	(193,177,275)	(243,143,624)
Unexpired Risk Reserve (UERR)	1,523,000	-	1,523,000	-
Net	1,691,682,063	978,206,143	764,616,658	609,467,426

NOTES TO THE FINANCIAL STATEMENTS

17.2 Gross Claims Reserve

	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Claims Outstanding	718,595,378	544,856,527	183,830,233	193,949,977
Claims Incurred But Not Reported (IBNR)	145,075,831	113,370,024	120,456,089	102,864,183
	863,671,208	658,226,551	304,286,322	296,814,160
	2,555,353,272	1,636,432,694	1,068,902,980	906,281,586

17.3 General Takaful (Insurance) Technical Reserves

	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
General Insurance (Non Life) Provision	2,555,353,272	1,636,432,694	1,068,902,980	906,281,586
Retakaful (Reinsurance) Receivable on Outstanding Claims	(99,678,093)	(132,795,243)	(99,678,093)	(132,795,243)
	2,455,675,179	1,503,637,451	969,224,887	773,486,343

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by Actsure Lab (Pvt) Ltd as per SLFRS 04. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 120,456,089/- (2021- Rs.102,864,183/-) for IBNR claims reserve and Rs. 1,523,000/- (2021- NIL) for Unexpired Risk Reserve respectively.

18. Insurance Contract Liabilities - Family Takaful Fund

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following :

18.1 Insurance Contract Liabilities - Family Takaful Fund

Year ended 31 December 2022	Group	
	2022	2021
	Rs.	Rs.
Participant Investment Fund (PIF)	268,062,321	297,753,038
Participant Tabarru Fund (PTF) & Group Fund (GF)	83,700,266	91,973,654
Unearned Premium - Group Family Takaful	4,930,629	7,654,162
	356,693,216	397,380,854

18.2 Insurance Contract Liabilities - Family Takaful Unit Linked

Year ended 31 December 2022	Group	
	2022	2021
	Rs.	Rs.
Unit Fund - Unit Linked	2,397,614,669	2,112,333,088
Participant Tabarru Fund & Group Fund - Unit Linked	75,965,012	37,365,343
	2,473,579,681	2,149,698,432
	2,830,272,898	2,547,079,286

18.3 Insurance Contract Liability

Year ended 31 December 2022	Group	
	2022 Rs.	2021 Rs.
Insurance Contract Liability	2,547,079,286	2,477,399,869
Surplus of the Fund	283,193,612	69,648,166
Total Insurance Contract Liability - Family Takaful Fund (Note 18.1, Note 18.2)	2,830,272,898	2,547,079,286

18.4 The Movement in Family Takaful Fund is as follows:

Year ended 31 December 2022	Group	
	2022 Rs.	2021 Rs.
Balance as at 1 January	2,547,079,286	2,358,888,270
Net Change in Contract Liabilities	283,193,612	188,191,016
Balance as at 31 December	2,830,272,898	2,547,079,286

18.5 The Insurance Provision (Family Takaful Fund) has been based upon the following Assumptions and Other Information;

18.5.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 3.7% p.a. and 5.2% p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.6% p.a. is used which is based on the average of the last 4 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

NOTES TO THE FINANCIAL STATEMENTS

Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 48% of the variable expenses and 12% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. Expense inflation is assumed to be 5.0% p.a for per policy maintenance expense. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

18.5.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2022 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policy holders.

18.6 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance Contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia as at 31st December 2022 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, all contractual cash flows were discounted and this amount was compared with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2022.

19. Employee Benefits

	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Employee Benefits - Gratuity				
Balance at 1st January	119,528,552	82,631,700	54,511,610	32,218,450
Net Benefit Expense (19.1)	2,425,843	38,110,624	2,214,962	26,445,863
	121,954,395	120,742,324	56,726,571	58,664,313
Foreign Currency Translation Movement	41,754,790	8,209,379	-	-
Payments during the year	(7,501,089)	(9,423,151)	(4,828,097)	(4,152,703)
Balance at 31st December	156,208,096	119,528,552	51,898,474	54,511,610

19.1 Net Benefit Expense

	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Included in Profit or Loss				
Interest Cost	7,279,845	13,495,429	5,560,184	2,738,568
Current Service Cost	9,188,985	7,347,819	7,384,920	5,689,967
Immediate recognition of (gain) loss (due to plan amendment)	(2,436,368)	(2,871,178)	-	(2,205,469)
	14,032,462	17,972,070	12,945,104	6,223,066

	Group		Company	
Year ended 31 December 2022	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	(11,606,620)	20,138,554	(10,730,143)	20,222,797
	(11,606,620)	20,138,554	(10,730,143)	20,222,797
Net Benefit Expense	2,425,843	38,110,624	2,214,962	26,445,863

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piya S. Goonetilleke (Fellow of the Society of Actuaries - USA) at 31.12.2022 as requires by LKAS 19, Employee Benefits.

19.2 Principal Actuarial Assumptions used for the Group and the Company are as follows :

	% Per Annum	
	2022	2021
a) Discount Rate	19.1	10.2
b) Salary Increase	9.5	6
c) Incidence of Withdrawals	19	13
d) Expected Average Future Working Life of the Active Participants	5.1 Years	5.2 Years

The Liability is not externally funded

	2022	2021
Demographic Assumption		
e) Retirement Age	60 years	60 years
f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

NOTES TO THE FINANCIAL STATEMENTS

19.3 Sensitivity of Assumptions Employed in Actuarial Valuations

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below.

	31 December 2022		31 December 2021	
	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(1,844,161)	1,698,585	(2,611,475)	2,355,590
Future salary growth (1% movement)	1,843,695	(1,977,363)	2,447,104	(2,669,327)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

19.4 The Institute of Chartered Accountants of Sri Lanka(CA Sri Lanka) has issued guidance to consider an adjusted treasury bond rates as the discount rate for the purpose of the actuarial valuations as at 31st December 2022, on the basis that the current treasury bond rates do not reflect only the time value of money. Accordingly, an adjusted discount rate was derived by removing a credit spread from the current treasury bond rate, as per the guidance issued by CA Sri Lanka.

20. Other Liabilities - Unit Linked

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Financial Liabilities (Note 20.1)	56,654,969	28,620,753	-	-
Non-Financial Liabilities (Note 20.2)	62,275,368	51,586,994	-	-
	118,930,337	80,207,746	-	-

20.1 Financial Liabilities

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Retakaful Payable	56,654,969	28,620,753	-	-
	56,654,969	28,620,753	-	-

20.2 Non-Financial Liabilities

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Advances Received	52,281,182	46,663,991	-	-
Other Creditors	9,994,187	4,923,003	-	-
	62,275,368	51,586,994	-	-

21. Other Liabilities

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Financial Liabilities (Note 21.1)	774,582,496	554,093,467	447,797,190	349,696,650
Non-Financial Liabilities (Note 21.2)	1,422,227,638	736,606,174	228,834,978	150,369,343
	2,196,810,134	1,290,699,641	676,632,168	500,065,993

21.1 Financial Liabilities

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Retakaful Payable	774,582,496	554,093,467	447,797,190	347,887,828
Amount Due to Related Party	-	-	-	1,808,822
	774,582,496	554,093,467	447,797,190	349,696,650

21.2 Non-Financial Liabilities

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Accrued Liabilities	791,164,481	375,216,010	84,401,980	74,162,420
Other Creditors	591,573,789	340,841,412	144,432,998	76,206,924
Income Tax Payable	39,489,368	20,548,752	-	-
	1,422,227,638	736,606,174	228,834,978	150,369,343

22. Subordinated Debt

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Unsecured Subordinated Debt	413,764,648	379,157,034	464,704,354	429,026,522
	413,764,648	379,157,034	464,704,354	429,026,522

22.1 The details of the Above Instrument are as follows (Company),

Purpose/ Rationale	Invested Party	Relationship	Face Value Rs.	Repayment Terms
To meet the Risk Based Capital Requirements	Amana Takaful (Maldives) PLC	Subsidiaries	164,704,352	5 Years
To meet the Risk Based Capital Requirements (22.2)	Aberdeen Holdings (pvt) Ltd	Other Related	143,893,863	5 Years
To meet the Risk Based Capital Requirements (22.2)	Others	Investors	156,106,139	5 Years
			464,704,354	

NOTES TO THE FINANCIAL STATEMENTS

22.1.1 Repayments of Subordinated Debt

During the year, the Group has settled Subordinated Debt amounting to aggregate value of Rs.95,000,000/- (2021 - Rs.140,000,000/-), The Company has settled Rs.75,000,000/- (2021 - Rs.140,000,000) worth of Subordinated Debt.

22.2

Objective No	Objective as per Circular/ Prospectus	Amount allocated as per Circular/ Prospectus in Rs.	Proposed Date of Utilization as per Circular/ Prospectus	Amount allocated upon the receipt of proceeds in Rs.[A]	As a % of Total Proceeds	Amount Utilized in the Objective Rs. B]	% of Utilize against allocation [B/A]	Instrument
01)	To improve the Capital Adequacy of the Company Balance Sheet, by strengthening its Tier 2 Capital	300,000,000	15.01.2021	300,000,000	100%	300,000,000	100%	Convertible and redeemable debentures

22.3 Maturity Analysis of Subordinated Debt

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Less than 1 year	-	-	-	-
1 to 5 years	413,764,648	379,157,034	464,704,354	429,026,522
More than 5 years	-	-	-	-
	413,764,648	379,157,034	464,704,354	429,026,522

23. Right of Use Assets

Set out below are the carrying amounts of right-of-use assets recognized and the movement during the year.

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Cost				
Balance at the beginning of the year	296,812,782	276,236,638	45,563,358	22,728,448
Additions & Improvements	58,023,472	24,891,920	53,067,167	22,834,910
Transfers from Lease hold to Free hold	-	(3,662,440)	-	-
Exchange Gain/loss	151,941,716	(653,337)	-	-
Cost as at 31st December 2022	506,777,970	296,812,782	98,630,525	45,563,358
Accumulated Depreciation				
Balance at the beginning of the year	(46,767,337)	(26,680,986)	(24,013,003)	(9,792,410)
Depreciation Charge for the period	(70,093,274)	(36,974,927)	(33,455,153)	(14,220,593)
Exchange Gain/loss	22,754,334	16,888,576	-	-
Accumulated Depreciation 31st December 2022	(94,106,277)	(46,767,337)	(57,468,156)	(24,013,003)
Carrying Amount	412,671,693	250,045,444	41,162,369	21,550,355

23.1 Lease Liability

Set out below are the carrying amounts of lease liability recognized as per SLFRS 16 and the movement during the year.

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Balance at the beginning of the year	123,837,659	116,592,013	22,426,056	13,749,012
Additions	58,023,472	25,035,844	53,067,167	22,834,910
Interest Expense	19,926,638	11,826,068	9,661,872	4,046,891
Repayments	(67,397,613)	(36,029,439)	(41,888,843)	(18,204,757)
Exchange Gain/loss	71,739,674	6,413,174	-	-
Balance as at 31st December 2022	206,129,829	123,837,659	43,266,252	22,426,056

23.2 Maturity Analysis of Lease Liability (Discounted)

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Less than 1 year	40,038,718	44,680,729	16,921,650	18,197,350
1 to 5 years	165,694,896	125,682,727	67,305,414	15,513,947
More than 5 years	109,597,887	138,768,361	-	-

24. Gross Written Contribution

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
General Takaful (Insurance)				
Motor	1,842,198,900	1,276,226,613	1,658,783,750	1,196,906,770
Fire	888,011,462	663,024,788	360,709,420	321,980,329
Marine	870,882,650	425,536,856	513,884,241	271,431,364
Medical	2,987,991,131	1,484,257,874	537,265,778	408,509,858
Miscellaneous	601,097,956	399,715,766	288,291,977	244,461,690
	7,190,182,099	4,248,761,897	3,358,935,166	2,443,290,012
Long Term Policies				
Unit Linked	998,130,229	849,780,045	-	-
Family Takaful	30,945,389	38,990,512	-	-
Mortgage & Group Family Takaful	31,701,961	41,059,921	-	-
	1,060,777,579	929,830,479	-	-
	8,250,959,678	5,178,592,376	3,358,935,166	2,443,290,012

NOTES TO THE FINANCIAL STATEMENTS

25. Income from Investments

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Investment Income (25.1)	629,063,145	255,020,121	155,122,577	111,729,769
Fair Value Gain/(Loss) on Investment Properties	3,050,000	2,100,000	-	2,100,000
Fair Value Gain/(Loss) on Gold Investments	250,000	-	250,000	-
Net Realised Capital Gain or (Losses)	21,819,755	54,020,038	-	-
Unrealised Capital Gain or (Losses)	61,914,723	49,622,413	-	-
	716,097,623	360,762,572	155,372,577	113,829,769

25.1 Investment Income

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Dividend Income	49,462,621	29,820,008	64,552,619	31,040,901
Income from Fixed Term Deposits	496,613,420	196,385,975	65,229,030	33,292,291
Share income/ (Loss) Quoted shares	(21,869,409)	-	(21,869,409)	35,102,956
Interest Income from investment in Government Securities (25.2)	104,856,513	28,814,137	47,210,337	12,293,621
	629,063,145	255,020,121	155,122,577	111,729,769

25.2 Interest Income from Government Securities has been Recognised based on a Special Approval given by the Council of Islamic Scholars of the Company in 2009.

26. Other Income

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Profit on Disposal of Property, Plant and Equipment	285,368	173,101	285,368	46,608
Sundry Income	160,191,059	94,459,648	74,953,564	47,504,660
Fund Management Fee Income	128,607,170	99,917,787	-	-
Rental Income	5,700,000	6,175,000	1,500,000	1,800,000
Salvage Income	3,585,550	4,715,250	3,585,550	4,715,250
Exchange Gain/(Loss)	144,076,112	6,129,922	142,185,273	5,553,071
	442,445,259	211,570,708	222,509,754	59,619,590

27. Total Revenue

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Gross Written Contribution (Premium)	8,250,959,678	5,178,592,376	3,358,935,166	2,443,290,012
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(2,080,270,933)	(1,234,273,694)	(1,138,720,258)	(739,494,217)
Net Written Contribution (Premium)	6,170,688,745	3,944,318,683	2,220,214,908	1,703,795,794
Net Change in Reserve for Unearned Contribution (Premium)	(386,558,042)	(245,584,258)	(155,149,231)	(97,661,962)
Net Earned Contribution (Premium)	5,784,130,703	3,698,734,424	2,065,065,677	1,606,133,832
Income from Investments	716,097,623	360,762,572	155,372,577	113,829,769
Changes in Share of profit of equity accounted subsidiary	-	-	205,025,472	114,609,868
Other Income	442,445,259	211,570,708	222,509,754	59,619,590
Total Revenue	6,942,673,585	4,271,067,704	2,647,973,480	1,894,193,059

28. Takaful (Insurance) Claims and Benefits (Net)

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	882,172,772	522,886,705	861,879,064	510,144,855
Fire	155,311,700	175,503,857	90,901,508	80,272,832
Marine	67,580,152	74,886,703	14,243,173	74,309,527
Medical	2,170,823,706	890,103,899	416,673,865	262,312,833
Miscellaneous	90,788,218	156,679,042	84,674,245	93,044,526
	3,366,676,548	1,820,060,206	1,468,371,855	1,020,084,573
Retakaful (Reinsurance) Recoveries	(201,957,411)	(323,094,398)	(137,585,763)	(148,122,886)
General Insurance Claims & Benefits (Net)	3,164,719,137	1,496,965,808	1,330,786,092	871,961,687
Family Takaful (Long Term Insurance)				
Claims Incurred	56,126,191	87,623,746	-	-
Surrenders	360,385,986	248,441,347	-	-
Policy Maturities	73,425,562	43,123,479	-	-
Interim Payments/Part withdrawals	28,831,043	47,847,829	-	-
Long Term Insurance Claims & Benefits	518,768,780	427,036,400	-	-
	3,683,487,918	1,924,002,208	1,330,786,092	871,961,687

NOTES TO THE FINANCIAL STATEMENTS

29. Other Operating and Administration Expenses

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Staff Expenses (Note 29.1)	1,194,202,154	888,822,137	518,679,491	439,474,623
Administration & Establishment Expenses	454,680,338	375,673,508	161,005,293	157,390,869
Selling Expenses	109,759,861	87,040,427	67,185,770	58,962,505
Depreciation ROU Assets (Note 31)	70,093,274	36,974,927	33,455,153	14,220,593
Depreciation (Note 6)	32,935,141	26,809,541	15,518,737	13,180,379
	1,861,670,768	1,415,320,540	795,844,444	683,228,968

29.1 Staff Expenses

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Wages, Salaries, Travel & Bonuses	1,064,747,126	781,141,360	451,361,497	386,504,715
Contribution to defined contribution plans - EPF & ETF	84,910,514	70,748,568	45,459,355	39,984,314
Staff welfare	12,320,560	7,149,264	6,010,008	3,807,827
Staff training	9,837,086	5,907,508	2,903,527	2,954,700
Medical claims	8,354,399	5,674,084	-	-
Gratuity	14,032,469	18,201,353	12,945,104	6,223,066
	1,194,202,154	888,822,137	518,679,491	439,474,623

30. Amortisation

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Intangible Asset(5)	14,242,702	8,294,374	2,203,920	2,016,313
	14,242,702	8,294,374	2,203,920	2,016,313

31. The Profit/(Loss) from Operations for the Year

is stated after charging/(crediting) the following :

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Directors' Emoluments - Executive	15,477,203	8,812,392	6,000,000	6,000,000
- Non-Executive	8,040,829	4,364,287	4,491,304	2,578,739
Auditors' Remuneration (Fees)				
- Audit	7,166,157	5,471,613	2,668,784	2,542,432
- Audit Related Other	946,614	1,053,030	490,879	671,790
- Non Audit	1,704,098	713,510	1,183,962	526,670
Depreciation	32,935,141	26,809,541	15,518,737	13,180,379
Depreciation ROU Assets	70,093,274	36,974,927	33,455,153	14,220,593
Advertisement Costs	10,972,764	10,972,764	10,972,764	10,972,764
Amortisation of Intangibles	14,092,164	8,283,730	2,203,920	2,016,313
Staff Cost	1,194,202,154	888,822,137	518,679,491	439,474,623
Profit on Disposal of Property, Plant & Equipment	285,368	173,101	285,368	46,608

32. Finance Cost

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Profit Mark up on Lease (Ijara) Facility	18,841,468	12,306,393	9,661,872	4,046,891
Profit Mark up on Subordinated Debt	52,138,909	36,961,351	50,237,308	36,760,435
	70,980,377	49,267,743	59,899,180	40,807,326

33. Income Tax Expense

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Current Income Tax (Note 33.1)	(75,883,159)	(39,295,697)	-	-
	(75,883,159)	(39,295,697)	-	-
Deferred Tax (Note 33.3)	5,835,909	2,488,902	-	-
	5,835,909	2,488,902	-	-
Tax Expense (Note 33.1)	(70,047,250)	(36,806,795)	-	-
Recognised in Profit or Loss	(70,047,250)	(36,806,795)	-	-
Recognised in Other Comprehensive Income	-	-	-	-
	(70,047,250)	(36,806,795)	-	-

NOTES TO THE FINANCIAL STATEMENTS

33.1 Tax Reconciliation Statement

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021 Restated
	Rs.	Rs.	Rs.	Rs.
Accounting Profit/ (Loss) before Tax	557,655,472	312,963,360	294,558,690	163,118,397
Aggregate Disallowed Items	709,938,258	374,786,705	115,281,638	54,313,813
Aggregate Allowable Expenses	(823,958,176)	(457,027,238)	(501,652,387)	(229,747,630)
Total Statutory Income/(Losses)	443,635,554	230,722,826	(91,812,059)	(12,315,421)
Utilization of tax losses	-	-	-	-
Consolidated Adjustment	62,252,165	31,248,482	-	-
Taxable Income	505,887,720	261,971,308	-	-
Tax @ 15%	(75,883,159)	(39,295,697)	-	-
Income Tax Expense for the Year	(75,883,159)	(39,295,697)	-	-
Deferred taxation charge/(reversal)	5,835,909	2,488,902	-	-
Total Tax Expense	(70,047,250)	(36,806,795)	-	-

33.1.1 Amana Takaful Maldives PLC is liable for income tax at 15% (2021 - 15%) on the taxable income for the Year of Assessment 2022, and the income tax expense recognised during the year is from Amana Takaful Maldives PLC.

33.1.2 Amana Takaful PLC is liable for income tax at 30% (2021 - 24%) on the taxable income for the Year of Assessment 2022.

33.1.3 Amana Global Ltd is liable for income tax at 30% (2021 - 15%) on the taxable income for the Year of Assessment 2022.

33.1.4 Amana Takaful Life PLC is liable for income tax at 30% (2021 - 24%) on the taxable income for the Year of Assessment 2022.

33.1.5 Income tax assessment relating to years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18

The Department of Inland Revenue has raised an assessment for the following years of assessment :

- Year of Assessment 2010/11 : assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12 : an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation
- Year of Assessment 2012/13 : assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2013/14 : assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2014/15 : assessing the Life Insurance business to pay an income tax liability of Rs. 18,544,683/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment From Jan 2015 : assessing the Interest income earned from loans and receivable is considered as 'income earned from financial services' and made liable VAT on FS and NBT on FS , grounds identified by IRD for ATL being liable. No excess taxes stated and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2015/16 : assessing the Life Insurance business to pay an income tax liability of Rs. 39,828,769/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs. 142,784,785/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17 : assessing the Life Insurance business to pay an income tax liability of Rs. 63,775,270/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business. However No tax Liability raised, the Tax Losses are reduced from liability assessed .The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17: assessing the General Insurance business to pay an Vat liability of Rs. 30,368,243/- . The Company has lodged a valid appeal against the said assessment
- Year of Assessment 2017/18 : assessing the Life Insurance business to pay an income tax liability of Rs. 76,385,150/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs. 63,628,226/- inclusive of penalty, the said matter for the company was finalized and settled 2022.
- Year of Assessment 2018/19 : assessing the General Insurance business to pay an income tax liability of Rs. of Rs. 409,019,444/- inclusive of penalty, the Company has lodged a valid appeal against the said assessment. The matter for the company was finalized and settled in 2022.

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18. Therefore, the above assessments have no rationale or basis in law

NOTES TO THE FINANCIAL STATEMENTS

33.2 Deferred Tax Asset

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Tax Losses Brought Forward	2,067,020,402	2,119,652,712	1,215,512,684	1,264,965,235
Tax Losses of which Deferred Tax Asset was not recognized	(2,054,679,962)	(2,104,132,514)	(1,215,512,684)	(1,264,965,235)
Defined Benefit Obligation	156,208,096	119,528,552	51,898,474	54,511,610
Defined Benefit Obligation which Deferred Tax Asset was not recognized	(62,719,409)	(68,125,682)	(51,898,474)	(54,511,610)
	105,829,127	66,923,068	-	-
Deferred Tax Assets @ 15% & 30%	15,874,369	10,038,460	-	-
Recognised Deferred Tax Asset	15,874,369	10,038,460	-	-
Deferred Tax Liability				
Property, Plant and Equipment	19,865,622	(20,403,812)	19,865,622	20,403,812
Property, Plant and Equipment which Deferred Tax Liability was not recognized	(19,865,622)	20,403,812	(19,865,622)	(20,403,812)
Revaluation Gain	-	14,645,575	-	5,091,000
Revaluation Gain which Deferred Tax Asset was not recognized	-	(14,645,575)	-	(5,091,000)
Fair Value gain/(loss) of Investment Property	3,050,000	2,100,000	-	2,100,000
Fair Value gain/(loss) of Investment Property which Deferred Tax Asset was not recognized	(3,050,000)	(2,100,000)	-	(2,100,000)
Changes in Share of Profit of Equity Accounted Subsidiaries	-	-	969,509,511	150,135,700
Changes in Share of Profit of Equity Accounted Subsidiaries which Deferred Tax Asset was not recognised	-	-	(969,509,511)	(150,135,700)
Right of use asset	412,671,693	252,794,003	41,162,369	30,164,672
Right of use asset which Deferred Tax Liability was not recognized	(412,671,693)	(252,794,003)	(41,162,369)	(30,164,672)
Intangible Assets	25,341,772	26,921,999	25,341,772	26,921,999
Intangible asset which Deferred Tax Liability was not recognized	(25,341,772)	(26,921,999)	(25,341,772)	(26,921,999)
Total Taxable Temporary Differences	-	-	-	-
Deferred Tax Liability @ 15% & 30%	-	-	-	-
Deferred income tax charge/ (reversal)	-	-	-	-
Net Deferred Tax Asset	15,874,369	10,038,460	-	-

33.3 Movement in Temporary Differences during the year

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Balance at 1st January	10,038,460	7,549,558	-	-
Recognised in Total Comprehensive Income				
Defined Benefit Obligation	5,835,909	2,488,902	-	-
	5,835,909	2,488,902	-	-
Balance at 31st December	15,874,369	10,038,460	-	-

33.4 Deferred tax assets are recognized for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and the level of future taxable profits together with future tax planning strategies. In year 2022 Company has not recognized deferred tax assets over the brought forward tax loss, Defined Benefit Obligation and Fair Value of Investment Property, since the doubt of recoverability of the deferred tax asset.

33.5 Amana Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognized amounting to Rs.1,215,512,684/- (2021 - 1,264,965,235/-), The recognized taxable loss during the financial year 2022 is Rs.43,600,790.59/- and the remaining accumulated tax loss as at 31 December 2022, is amounting to Rs. 1,215,512,684/- will be carried forward for five years.

34. EARNINGS PER SHARE

34.1 Basic Earnings Per Share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

NOTES TO THE FINANCIAL STATEMENTS

34.2 The following Reflect the Income and Share Data Used in the Basic Earnings Per Share Computations.

Amount used as the Numerator:

Year ended 31 December 2022	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Net Profit attributable to Ordinary Shareholders	298,939,896	164,566,886	294,558,690	163,118,397

Number of Ordinary Shares used as Denominator:

	Number	Number	Number	Number
Number of Ordinary Shares in Issue	180,000,130	180,000,130	180,000,130	180,000,130
Earnings per share (Rs.)	1.66	0.91	1.64	0.91

34.3 There were no potential dilutive ordinary shares convertible at any time during the year. Therefore, Diluted Earning Per Share is same as Basic Earnings Per Share shown above.

35. Related Party Disclosures

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below :

(A) Transactions and Outstanding Balances with Related Parties

The following table shows the outstanding balance and transaction with related parties during the year.

Related Parties	Nature of the transaction/Outstanding balance	2022 Rs	2021 Rs
Subsidiaries	Takaful Premium	9,118,986	4,536,547
	Takaful Premium paid	634,679	647,733
	Claims Paid	4,394,342	3,945,968
	Shared Cost	69,692,229	71,969,314
	Supporting Fee	4,735,759	3,449,339
	Shared Cost Settlement	58,940,199	71,969,314
	Current Account Balance	18,428,111	3,591,430
	Dividend Received	62,252,165	30,129,290
	Subordinated Debt	164,704,352	129,026,520
Other Related	Net Written Contribution (Premium)	85,553,782	15,289,417
	Claims Paid	20,595,328	7,596,519
	Convertible Debenture	143,893,863	143,893,863

The Group carries out transactions with Parent, Subsidiaries and Fellow Subsidiaries in the ordinary course of business on an arms length basis at commercial rates.

(B) Compensation of Key Management Personnel

The total compensation to those individuals classified as key management personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosure", Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly, the Directors (including Executive and Non - Executive Directors) of the Company and their close family members have been classified as Key Management Personnel of the Company

The Group carries out transactions with KMPs & their close family members in the ordinary course of business on an arms length basis at commercial rates.

Year ended 31 December 2022	Group		Company	
	2022	2021	2022	2021
	Rs.	Rs.	Rs.	Rs.
Salary and Other Short Term Benefits	98,310,830	66,643,226	16,372,800	20,201,894
Contributions made by the Company to Provident Fund and Trust Fund	1,537,451	2,154,094	1,195,920	1,129,500
Non Cash Benefits	1,140,000	1,140,000	-	-
	100,988,282	69,937,320	17,568,720	21,331,394

36. Principal Subsidiaries

The following disclosure highlights the group composition and the proportion of ownership interests held by NCI.

Company and Country of Incorporation/ Operation	Principal Activities	Class of Shares Held	Proportion of class held by the Company	Group Interest (%)	Non-controlling interest (%)
Sri Lanka					
Amana Takaful Life PLC	Life Insurance	Ordinary	82.3%	82.3%	17.7%
Amana Global Limited	Technical Advisor	Ordinary	100%	100%	-
Maldives					
Amana Takaful Maldives PLC	General Takaful Insurance	Ordinary	55%	55%	45%

NOTES TO THE FINANCIAL STATEMENTS

36.1 Summary Financial Information for Subsidiaries that have Non-Controlling Interests that are Material to the Group.

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations.

31st December 2022	Amana Takaful Life PLC	Amana Takaful Maldives PLC
NCI Percentage	17.7%	45%
Total Assets	3,820,739,630	6,186,443,377
Total Liabilities	(3,276,924,320)	(3,080,140,293)
Net Assets	543,815,309	3,106,303,083
- Attributable to Non-Controlling Interest	96,255,310	1,397,836,388
- Attributable to Parent	447,559,999	1,708,466,696
Net Earned Contribution (Premium)	1,003,241,216	2,724,942,796
Profit for the Period	54,090,731	405,019,937
- Profit Attributable to Non-Controlling Interest	9,574,059	182,258,972
- Profit Attributable to Parent	44,516,671	222,760,965
Other Comprehensive Income, net of tax	5,091,579	1,381,040,598
Total Comprehensive Income for the year	59,182,309	1,786,060,535
Cash Flows From/(Used) in Operating Activities	419,672,346	731,486,412
Cash Flows From/(Used) in Investment Activities	(587,640,635)	(553,356,031)
Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs.50,933,589.66/-)	(7,327,500)	(141,791,912)
Net Increase/(Decrease) in Cash and Cash Equivalents	(175,295,789)	36,338,469
31st December 2021	Amana Takaful Life PLC	Amana Takaful Maldives PLC
NCI Percentage	17.7%	45%
Total Assets	3,350,253,102	2,958,341,416
Total Liabilities	(2,866,496,578)	(1,524,913,113)
Net assets	483,756,524	1,433,428,303
- Attributable to Non-Controlling Interest	85,624,905	645,042,736
- Attributable to Parent	398,131,619	788,385,567
Net Earned Contribution (Premium)	881,719,272	1,215,417,868
Profit for the Period	9,558,915	248,858,492
- Profit Attributable to Non-Controlling Interest	1,691,928	111,986,321
- Profit Attributable to Parent	7,866,987	136,872,171
Other Comprehensive Income, net of tax	14,953,703	42,090,186
Total Comprehensive Income for the year	24,512,618	290,948,678
Cash Flows From Operating Activities	249,578,206	485,799,056
Cash Flows Used in Investment Activities	(193,295,386)	(389,454,287)
Cash Flows Used in Financing Activities	(7,788,760)	(68,788,474)
Net Increase in Cash and Cash Equivalents	48,494,060	27,556,295

37. Commitments and Contingencies

37.1 Commitments

The Group does not have significant capital commitments as at the reporting date.

37.2 Contingencies

A contingent liability at a fair value of Rs. 272 million has been determined from four claims where, Amana Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 25 million, if any. The said claims are subject to legal proceeding at the reporting date, the lawyers are of the view that these four cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

38. Transfer Pricing

Transfer pricing regulations applicable from 01.04.2018 are given in Extra Ordinary Gazette No. 2104/4 issued on 31st December 2018. Transfer Pricing Regulations apply to International Transactions referred to in Section 76 and to the cases of transactions other than international transactions made between associated enterprises referred to in Section 77 of the Inland Revenue Act, No. 24 of 2017.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with parent entity (Associated undertaking). The group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each companies with associated undertaking is more than Rs. 50 Million, the group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All Companies are in the process of seeking professional advice from tax consultants to prepare required documentations to comply with Transfer Pricing Regulation.

39. Events Occurring after the Reporting Date

Events after the reporting period are those events, favourable and unfavourable that occur between the reporting date and the date when the financial statements are authorised for issue.

All material post reporting date events have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

40. Assets Pledged

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2022 Rs.	2021 Rs.	
Cash on hold	Bank Guarantee for Garages for their services	4,000,000	4,000,000	Other Assets - General Fund
Repurchase Agreements	Bank Guarantee for a Performance Bond	1,000,000	1,000,000	Financial Assets - Shareholder Fund
Cash on hold	Bank Guarantee for a Government Tender	3,063,462	5,729,999	Other Assets - General Fund

41. Comparative Information

Comparative information has been reclassified where necessary to conform with the current year presentation. Refer note 8

42. Risk Management

42.1 Overview

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

42.2 Risk Management Framework

The Group's risk management framework forms an integral part of the management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Group's Risk Management Framework categorized into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defense.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The Financial instruments of the Group are exposed to the following Risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
3. Liquidity Risk

42.3 Financial Risk

42.3.1 Capital Management

a. Objectives and Policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimize capital utilization within the regulatory and Shariah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business

The Group currently has stated capital worth Rs. 1.86 Bn which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimize the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e. the strict adherence of Shariah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Board of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyze the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

42.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

1. Premium receivable
2. Re-Insurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the Group i.e. outstandings and overdues. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

NOTES TO THE FINANCIAL STATEMENTS

2022 - Industry Analysis

	Financial Services	Asset Management	Government
Assets			
Financial assets at Fair Value through Profit or Loss			
Investments in equity securities	16,545,182	-	-
Investments in equity securities - Unit Linked	-	-	-
Investment In Gold	-	-	-
Available-for-Sale Financial Assets			
Investment in Equity Securities	1,691,071,200	-	-
Unit Trust	-	104,234,925	-
Unit Trust - Unit Linked	-	34,161,002	-
Unquoted	-	-	-
Loans and Receivables			
Repurchase Agreements	-	-	1,597,745,775
Repurchase Agreements - Unit Linked	-	-	60,612,070
Fixed Term Investments	3,251,868,068	-	-
Mudharaba /Fixed Term Investments - Unit Linked	2,216,058,654	-	-
Advances to Company Officers	-	-	-
Total Credit Exposure	7,175,543,104	138,395,927	1,658,357,845

2021 - Industry Analysis

	Financial Services	Asset Management	Government
Assets			
Financial assets at Fair Value through Profit or Loss			
Investments in equity securities	24,634,395	-	-
Investments in equity securities - Unit Linked	-	-	-
Investment In Gold	-	-	-
Available-for-Sale Financial Assets			
Investment in Equity Securities	525,070,350	-	-
Unit Trust	-	97,314,737	-
Unit Trust - Unit Linked	-	31,110,149	-
Unquoted	-	-	-
Loans and Receivables			
Repurchase Agreements	-	-	552,148,257
Repurchase Agreements - Unit Linked	-	-	32,343,266
Fixed Term Investments	2,486,454,476	-	-
Mudharaba /Fixed Term Investments - Unit Linked	1,934,121,514	-	-
Advances to Company Officers	-	-	-
Total Credit Exposure	4,970,280,735	128,424,886	584,491,522

Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
-	173,455,549	31,861,928	-	221,862,659
-	8,160,000	33,491,361	21,013,900	62,665,261
-	-	-	222,750,000	222,750,000
-	-	-	-	1,691,071,200
-	-	-	-	104,234,925
-	-	-	-	34,161,002
-	-	525,000	-	525,000
-	-	-	-	1,597,745,775
-	-	-	-	60,612,070
-	-	-	-	3,251,868,068
-	-	-	-	2,216,058,654
-	-	-	18,425,251	18,425,251
-	181,615,549	65,878,289	262,189,151	9,481,979,866

Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
-	48,706,306	52,716,577	-	126,057,278
-	10,464,000	61,993,060	44,019,100	116,476,160
-	-	-	142,762,500	142,762,500
-	-	-	-	525,070,350
-	-	-	-	97,314,737
-	-	-	-	31,110,149
-	-	525,000	-	525,000
-	-	-	-	552,148,257
-	-	-	-	32,343,266
-	-	-	-	2,486,454,476
-	-	-	-	1,934,121,514
-	-	-	12,178,867	12,178,867
-	59,170,306	115,234,637	198,960,467	6,056,562,553

NOTES TO THE FINANCIAL STATEMENTS

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31 December 2022 and 2021, is the carrying amounts of respective financial instruments.

Credit Exposure - 31st December 2022	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2022 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	392,862,659	-	-	392,862,659
Investment in Equity Securities - Unit Linked	114,415,261	-	-	114,415,261
Available-for-Sale Financial Assets				
Investment in Equity Securities - Quoted	1,691,071,200	-	-	1,691,071,200
Unit Trust - Unit Linked	34,161,002	-	-	34,161,002
Investment in Equity Securities - Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	1,597,745,775	-	-	1,597,745,775
Repurchase Agreements - Unit Linked	60,612,070	-	-	60,612,070
Fixed Term Investments	3,251,868,068	-	-	3,251,868,068
Commercial Paper	-	-	-	-
Mudharaba Investments - Unit Linked	2,216,058,654	-	-	2,216,058,654
Advance to Company Officers	18,425,251	-	-	18,425,251
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	368,471,084	-	-	368,471,084
Contribution (Premium) Receivables	1,356,628,068	-	-	1,356,628,068
Cash and Cash Equivalents	260,617,077	-	-	260,617,077
Total Credit Exposure	11,363,461,170	-	-	11,363,461,170

Credit Exposure - 31st December 2021	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2022 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	261,226,028	-	-	261,226,028
Investment in Equity Securities - Unit Linked	124,069,910	-	-	124,069,910
Available-for-Sale Financial Assets				
Investment in Equity Securities - Quoted	525,070,350	-	-	525,070,350
Unit Trust - Unit Linked	31,110,149	-	-	31,110,149
Investment in Equity Securities - Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	552,148,257	-	-	552,148,257
Repurchase Agreements - Unit Linked	32,343,266	-	-	32,343,266
Fixed Term Investments	2,486,454,476	-	-	2,486,454,476
Mudharaba Investments - Unit Linked	1,934,121,514	-	-	1,934,121,514
Advance to Company Officers	12,178,867	-	-	12,178,867
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	412,484,080	-	-	412,484,080
Contribution (Premium) Receivables	991,944,876	-	-	991,944,876
Cash and Cash Equivalents	176,545,440	-	-	176,545,440
Total Credit Exposure	7,540,222,210	-	-	7,540,222,210

The following table provided information regarding the credit risk exposure on investments of the Group as at 31st December 2022 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure %
A	12
A (ika)	30
A- (ika)	13
BB+ (ika)	33
BBB+ (stable)	12

NOTES TO THE FINANCIAL STATEMENTS

42.4 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

42.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

42.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

Amana Takaful Equity Exposure (Group) - Quoted

Sector	2022		2021	
	Equity Exposure		Equity Exposure	
	Exposure	Sector Weight	Exposure	Sector Weight
	(Rs.)	%	(Rs.)	%
Financial Services	1,739,478,310	91%	602,421,322	93%
Telecommunication	173,455,549	9%	48,706,306	7%
	1,912,933,859	100%	651,127,628	100%

Sector	2022		2021	
	Equity Exposure		Equity Exposure	
	Exposure	Sector Weight	Exposure	Sector Weight
	(Rs.)	%	(Rs.)	%
Construction	11,452,851	18%	6,906,542	6%
Manufacturing	51,212,411	82%	109,569,618	94%
	62,665,261	100%	116,476,160	100%

42.4.2.1 Sensitivity Analysis of Equity Risk-Group

	Type of Classification	2022		2021	
		Rs.	Rs.	Rs.	Rs.
		10% Decline	10% Increase	10% Decline	10% Increase
Financial Assets	FVTPL	(4,446,127)	4,446,127	(2,688,198)	2,688,198
	AFS	(18,299,921)	18,299,921	(6,540,202)	6,540,202
Financial Assets - Unit Linked	FVTPL	(626,653)	626,653	(1,164,762)	1,164,762
Net impact on profit before tax	FVTPL	(4,446,127)	4,446,127	(2,688,198)	2,688,198
Net impact on OCI	AFS	(18,299,921)	18,299,921	(6,540,202)	6,540,202

42.4.3 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

42.4.3.1 Sensitivity Analysis on foreign currency translation for Maldives Rufiya

	Change in MVR rate	Effect on profit before tax	Effect on pre-tax equity
2022	10%	57,218,893	57,218,893
	-10%	(57,218,893)	(57,218,893)
2021	10%	20,522,318	20,522,318
	-10%	(20,522,318)	(20,522,318)

42.4.4 Related Implications of Increasing Foreign Exchange, Interest and Inflation Rates

Sri Lanka has been facing a foreign exchange crisis due to the adverse economic impacts of the Covid-19 pandemic and it has grown from acute to severely acute during the financial period ended 31st December 2022. The deterioration of foreign reserves is putting pressure on exchange rates to depreciate in the market. Sri Lankan Rupee (LKR) has depreciated notably against USD during the FY 2022. The direct exposure to foreign exchange rates of the Group is minimum due to the limited transactions carried out with foreign counter parties and the Group continues to monitor its effects on financial statements under various stressed scenarios.

Sri Lanka's annual inflation has increased significantly and will continue to increase further. As a response to the prevailing economic crisis and inflation, the Central Bank of Sri Lanka (CBSL), has implemented a tightening Monetary Policy while increasing policy rates. Yields on Government securities have also increased notably to reflect market conditions in view of the higher financing requirement of the Government. Whilst inflation will cause interest rates to move upwards, the Group being in the Insurance sector will gain benefits from investment income while experiencing a negative impact due to fluctuation in market value of financial assets and expenses. Accordingly the Group has observed a notable fluctuation after the balance sheet date and has not adjusted in the current year financial statements since the conditions that gave rise to the gain/(loss) did not exist as of 31st December 2022.

The Board continues to monitor the potential implications of these factors on the groups business activities, profitability, solvency and liquidity position and will take proactive action to meet future obligations and ensure business continuity.

NOTES TO THE FINANCIAL STATEMENTS

42.5 Insurance Risk

Being in the Insurance Industry, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- Underwriting Risks
- Claims Risks
- Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks,

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected.
3. Investment return risk – risk of loss arising from actual returns being different than expected.
4. Expense risk – risk of loss arising from expense experience being different than expected.
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behavior.

42.5.1 Under-writing Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. Price - The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- ii. Exposure – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are re-insured.
- iii. Personnel – The Group ensures that all Underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

42.5.2 Claims Risk

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

Claim Development Table

The following tables show the estimate of cumulative incurred claims for each year.

Gross non-life insurance outstanding claims provision for 2022
(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2016	2017	2018	2019	2020	2021	2022
1	1,208,437	1,266,034	1,265,987	1,266,064	1,265,908	1,266,562	1,267,052
2	859,932	899,992	896,273	896,648	896,885	899,189	
3	1,219,262	1,239,751	1,240,098	1,243,632	1,243,592		
4	1,345,185	1,418,704	1,429,043	1,429,451			
5	861,083	934,918	937,850				
6	937,522	962,731					
7	1,284,356						

Net non-life insurance outstanding claims provision for 2022
(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2016	2017	2018	2019	2020	2021	2022
1	798,290	832,875	832,831	832,909	832,752	833,406	833,896
2	672,032	720,444	717,641	717,915	718,153	720,456	
3	821,145	864,369	864,097	866,266	866,226		
4	1,016,883	1,081,823	1,087,141	1,087,545			
5	661,715	720,999	716,854				
6	805,359	873,972					
7	1,181,018						

Sensitivity analysis on claim handling expenses, loss development factors and provision for adverse deviation

NOTES TO THE FINANCIAL STATEMENTS

42.5.2 Claims Risk

Table 1: Impact on Undiscounted Net Claim Liability

Description	CE IBNR incl. CHE	CE CL incl. CHE	Profit Impact
Base	112,747	204,823	
ULR +10%	175,611	314,569	(109,746)
ULR -10%	60,965	105,676	99,147
CHE +10%	114,196	206,272	(1,449)
CHE -10%	111,298	203,374	1,449

Table 2: Impact on Undiscounted Net Contribution Liability

Description	UCR	CE URR incl. Exp.	PL	Profit Impact
Base	763,094	548,372	764,617	
ULR +10%	763,094	603,209	774,851	(10,233)
ULR -10%	763,094	493,535	763,901	716
CHE +10%	763,094	551,719	764,661	(44)
CHE -10%	763,094	545,025	764,573	44

Table 3: Impact on Undiscounted Gross Claim Liability

Description	CE IBNR incl. CHE	CE CL incl. CHE	Profit Impact
Base	120,456	304,286	
ULR +10%	189,308	493,671	(189,385)
ULR -10%	64,813	141,238	163,048
CHE +10%	121,905	305,735	(1,449)
CHE -10%	119,007	302,837	1,449

Table 4: Impact on Undiscounted Gross Contribution Liability

Description	UCR	CE URR incl. Exp.	PL	Profit Impact
Base	1,105,672	704,140	1,105,672	
ULR +10%	1,105,672	774,554	1,114,396	(8,724)
ULR -10%	1,105,672	633,726	1,105,672	-
CHE +10%	1,105,672	708,438	1,105,672	-
CHE -10%	1,105,672	699,842	1,105,672	-

^ During the sensitivity analysis, the variables were stressed up/down on a multiplicative basis (e.g.: A ULR of 50% stressed up by 10% is 55%)

* A negative value indicates a decrease in the profits and a positive value indicates an increase in the profits

42.5.2.1 Claims Risk Amana Takaful Life PLC (Group)

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

31st December 2022

	Impact on Takaful Contract Liabilities			
	Change in Assumptions	Gross	Net	Underwriting Deficit/ Surplus
	%	RS.	RS.	RS.
Mortality/morbidity	+10%	14,305	5,379	5,379
Mortality/morbidity	-10%	(14,337)	(5,391)	(5,391)
Lapse and surrender rates	-10%	3,058	2,922	2,922
Discount rate	-1%	3,428	2,637	2,637
Expenses	+10%	7,352	7,352	7,352
Unit Fund Investment Return	-1%	(1,668)	(1,621)	(1,621)

Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarized in the table below by measurement category

	Takaful Contract Liabilities	
	Gross	Net
	LKR'ooo	LKR'ooo
As at 31 December 2021	2,504,572	2,477,911
Reserve Unwinding	(5,007)	(4,426)
Experience variance	(14,370)	(9,244)
Change in valuation basis (Methodology)	-	-
Change in valuation basis (Assumptions)	5,549	5,390
New Business	25,247	20,052
Others	218,272	218,272
As at 31 December 2022	2,734,263	2,707,955

NOTES TO THE FINANCIAL STATEMENTS

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance

Amana Takaful PLC

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Name of the Rating Agency	Date of rating
			Credit	Financial Strength		
Marine	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	24.11.2022
			A	AA-	S&P	03.11.2022
			a+	A+	AM Best	18.08.2022
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	06.06.2022
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	28.10.2022
	Ocean International Reinsurance Company Limited	Barbados	a- (excellent)	A- (Excellent)	AM Best	08.12.2022
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	20.05.2022
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	21.10.2022
	Tunis Re	TUNISIA	AA	-	Fitch	01.06.2022
Fire	NITF	Sri, Lanka				
	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	24.11.2022
			A	AA-	S&P	03.11.2022
			a+	A+	AM Best	18.08.2022
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	06.06.2022
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	28.10.2022
	Ocean International Reinsurance Company Limited	Barbados	a- (excellent)	A- (Excellent)	AM Best	08.12.2022
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	20.05.2022
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	21.10.2022
	Tunis Re	TUNISIA	AA	-	Fitch	01.06.2022
	NITF	Sri, Lanka				

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Name of the Rating Agency	Date of rating
			Credit	Financial Strength		
Motor	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	24.11.2022
			A	AA-	S&P	03.11.2022
			a+	A+	AM Best	18.08.2022
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	06.06.2022
	Ocean International Reinsurance Company Limited	Barbados	a- (excellent)	A- (Excellent)	AM Best	08.12.2022
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	20.05.2022
	Tunis Re	TUNISIA	AA	-	Fitch	01.06.2022
Liability	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	24.11.2022
			A	AA-	S&P	03.11.2022
			a+	A+	AM Best	18.08.2022
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	06.06.2022
	Ocean International Reinsurance Company Limited	Barbados	a- (excellent)	A- (Excellent)	AM Best	08.12.2022
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	20.05.2022
	Tunis Re	TUNISIA	AA	-	Fitch	01.06.2022
Miscellaneous	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	24.11.2022
			A	AA-	S&P	03.11.2022
			a+	A+	AM Best	18.08.2022
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	06.06.2022
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	28.10.2022
	Ocean International Reinsurance Company Limited	Barbados	a- (excellent)	A- (Excellent)	AM Best	08.12.2022
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	20.05.2022
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	21.10.2022
	Tunis Re	TUNISIA	AA	-	Fitch	01.06.2022
	NITF	Sri Lanka				

NOTES TO THE FINANCIAL STATEMENTS

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Name of the Rating Agency	Date of rating
			Credit	Financial Strength		
Travel PA	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	28.10.2022
	NITF	Sri Lanka				
Engineering	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	24.11.2022
			A	AA-	S&P	03.11.2022
			a+	A+	AM Best	18.08.2022
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	06.06.2022
	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	28.10.2022
	Ocean International Reinsurance Company Limited	Barbados	a- (excellent)	A- (Excellent)	AM Best	08.12.2022
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	20.05.2022
	Best Meridian International Insurance Company	Cayman	A-	A-	AM Best	21.10.2022
	Tunis Re	TUNISIA	AA	-	Fitch	01.06.2022
	NITF	Sri, Lanka				

Amana Takaful Life PLC

Class of business	Name of the reinsurer	Reinsurers Country of origin	Name of the regulatory authority which approval obtained to transact reinsurance business *	License validity period of the reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long Term Takaful Plans	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	6/1/22
(Endowments)	Hanover Re	Bahrain	Central Bank of Baharain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	8/22/22
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Baharain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	8/22/22
2. Unit Link Takaful	Hanover Re	Bahrain	Central Bank of Baharain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	8/22/22
3. Group Family	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	6/1/22
4. Credit & Mortgage Takaful	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	6/1/22
	Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	11/7/22

Amana Takaful (Maldives) PLC

Name of the reinsurer	Financial Strength	Name of the Rating Agency
Swiss Re-insurance	A+ (Superior)	AM Best
Labuan Reinsurance (L) Ltd.	A- (Excellent)	AM Best
General Insurance Corporation of India	B++ (Stable)	AM Best
Saudi Re for Cooperative Reinsurance Company	A- (Excellent)	AM Best
Asian Reinsurance Corporation	B+ (Good)	AM Best
Kenya Re-insurance	B (Fair)	AM Best
Oman Re-insurance	B+ (Good)	AM Best
Kuwait Re-insurance	A- (Excellent)	AM Best
Himalayan Re-insurance	B + (Fair)	AM Best

42.6 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

NOTES TO THE FINANCIAL STATEMENTS

Maturity profile of Group investments based on remaining maturity is given below.

2022 - Maturity Analysis	Within One Month	1-3 Months	3 months to 1 year	1- 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	-	-	221,862,659	-	1,691,071,200	1,912,933,859
Unit Trust	-	-	-	-	31,964,227	31,964,227
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	-	1,597,745,775	-	-	1,597,745,775
Investment in Gold	-	-	-	-	171,000,000	171,000,000
Fixed Term Investments	-	-	951,813,550	2,300,054,518	-	3,251,868,068
Other Assets						
- Other Receivables	-	-	269,279,215	-	-	269,279,215
Advances to Company Officers	-	-	18,425,251	-	-	18,425,251
Contribution (Premium) Receivables	-	-	1,356,628,068	-	-	1,356,628,068
Total	-	-	4,415,754,519	2,300,054,518	1,894,560,427	8,610,369,464
Liabilities						
Other Liabilities - Unit Linked	-	-	118,930,337	-	-	118,930,337
Other Liabilities	-	-	2,196,810,134	-	-	2,196,810,134
Short-Term Borrowings	-	-	-	-	-	-
Subordinated Debt	-	-	-	413,764,648	-	413,764,648
Lease Liability	-	-	40,038,718	166,091,111	-	206,129,829
Total	-	-	2,355,779,189	579,855,759	-	2,935,634,948

2021 - Maturity Analysis	Within One Month	1-3 Months	3 months to 1 year	1- 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	-	-	51,328,449	-	599,799,179	651,127,628
Unit Trust	-	-	-	-	33,598,871	33,598,871
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	-	552,148,257	-	-	552,148,257
Investment in Gold	-	-	-	-	135,168,750	135,168,750
Fixed Term Investments	-	-	-	2,486,454,476	-	2,486,454,476
Other Assets - Other Receivables	-	-	187,143,667	-	-	187,143,667
Advances to Company Officers	-	-	12,178,867	-	-	12,178,867
Contribution (Premium) Receivables	-	-	991,944,876	-	-	991,944,876
Total	-	-	1,794,744,115	2,486,454,476	769,091,800	5,050,290,390
Liabilities						
Other Liabilities - Unit Linked	-	-	80,207,746	-	-	80,207,746
Other Liabilities	-	-	1,290,699,641	-	-	1,290,699,641
Short-Term Borrowings	-	-	-	-	-	-
Subordinated Debt	-	-	-	379,157,034	-	379,157,034
Lease Liability	-	-	15,575,800	108,261,859	-	123,837,659
Total	-	-	1,386,483,188	487,418,893	-	1,873,902,081

NOTES TO THE FINANCIAL STATEMENTS

43. Maturity Profile of Assets & Liabilities

Group	2022			2021		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Bank Balances	244,776,076	-	244,776,076	166,961,978	-	166,961,978
Cash and Bank Balances - Unit Linked	15,841,002	-	15,841,002	9,583,462	-	9,583,462
Financial Assets	5,365,661,679	1,691,071,200	7,056,732,879	3,890,180,756	44,736,958	3,934,917,714
Financial Assets - Unit Linked	2,425,246,987	-	2,425,246,987	2,121,644,837	-	2,121,644,837
Right of use assets	40,038,718	372,632,974	412,671,693	-	250,045,444	250,045,444
Retakaful (Reinsurance) Receivables	368,471,084	-	368,471,084	412,484,080	-	412,484,080
Contribution (Premium) Receivables	1,356,628,068	-	1,356,628,068	991,944,876	-	991,944,876
Investment Property	-	150,550,000	150,550,000	-	196,100,000	196,100,000
Property, Plant and Equipment	-	90,585,828	90,585,828	-	88,131,244	88,131,244
Intangible Assets	-	174,990,104	174,990,104	-	120,834,732	120,834,732
Deferred Tax Assets	-	15,874,369	15,874,369	-	10,038,460	10,038,460
Other Assets	395,043,400	-	395,043,400	264,905,169	-	264,905,169
Total Assets	10,211,707,016	2,495,704,475	12,707,411,490	7,857,705,158	709,886,839	8,567,591,998
Liabilities						
Bank Overdrafts	-	-	-	-	-	-
Short Term Borrowings	-	-	-	-	-	-
Insurance Contract Liabilities - Non Life	2,555,353,272	-	2,555,353,272	1,636,432,694	-	1,636,432,694
Insurance Contract Liabilities - Family Takaful Fund	-	356,693,216	356,693,216	-	397,380,854	397,380,854
Insurance Contract Liabilities- Family Takaful Unit Linked	-	2,473,579,681	2,473,579,681	-	2,149,698,432	2,149,698,432
Employee Benefits	-	156,208,096	156,208,096	-	119,528,552	119,528,552
Subordinated Debt	-	413,764,648	413,764,648	-	379,157,034	379,157,034
Lease Liability	40,038,718	166,091,111	206,129,829	-	123,837,659	123,837,659
Other Liabilities - Unit Linked	118,930,337	-	118,930,337	80,207,746	-	80,207,746
Other Liabilities	2,196,810,134	-	2,196,810,134	1,290,699,641	-	1,290,699,641
Total Liabilities	4,911,132,461	3,566,336,752	8,477,469,213	3,007,340,082	3,169,602,531	6,176,942,613
Net Balance	5,300,574,555	(1,070,632,278)	4,229,942,273	4,850,365,077	(2,459,715,691)	2,390,649,385

Company	2022			2021		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Bank Balances	61,439,739	-	61,439,739	48,157,021	-	48,157,021
Cash and Bank Balances - Unit Linked	-	-	-	-	-	-
Financial Assets	1,183,764,571	194,140,099	1,377,904,670	1,046,083,773	525,000	1,046,608,773
Right of use assets	14,817,767	26,344,602	41,162,369	-	21,550,355	21,550,355
Retakaful (Reinsurance) Receivables	197,567,498	-	197,567,498	270,935,900	-	270,935,900
Contribution (Premium) Receivables	1,021,764,011	-	1,021,764,011	767,089,545	-	767,089,545
Investments in Subsidiaries	2,156,026,697	2,156,026,697		1,186,517,186	1,186,517,186	
Investment Property	-	-	-	-	48,600,000	48,600,000
Property, Plant and Equipment	-	41,203,417	41,203,417	-	45,917,040	45,917,040
Intangible Assets	-	29,011,509	29,011,509	-	29,844,615	29,844,615
Deferred Tax Assets	-	-	-	-	-	-
Other Assets	127,418,263	-	127,418,263	120,532,940	-	120,532,940
Total Assets	2,606,771,849	2,446,726,324	5,053,498,173	2,252,799,179	1,332,954,195	3,585,753,375
Liabilities						
Bank Overdrafts	-	-	-	-	-	-
Short Term Borrowings	-	-	-	-	-	-
Insurance Contract Liabilities - Non Life	1,068,902,980	-	1,068,902,980	906,281,586	-	906,281,586
Employee Benefits	-	51,898,474	51,898,474	-	54,511,610	54,511,610
Subordinated Debt	-	464,704,354	464,704,354	-	429,026,522	429,026,522
Lease Liability	16,921,650	26,344,601	43,266,252	-	22,426,056	22,426,056
Other Liabilities	676,632,168	-	676,632,168	500,065,993	-	500,065,993
Total Liabilities	1,762,456,798	542,947,430	2,305,404,228	1,406,347,578	505,964,187	1,912,311,766
Net Balance	844,315,055	1,903,778,894	2,748,093,945	846,451,601	826,990,009	1,673,441,610



SUPPLEMENTARY INFORMATION

GROUP VALUE ADDED STATEMENT

Group	2022	2021
	Rs. Mn	Rs. Mn
Net earned contribution (premium)	5,784	3,699
Investment & Other Income	1,158	572
Net Claims & Benefits	(3,683)	(1,924)
Cost of external services	(1,119)	(898)
Total Value added	2,141	1,449
To employees as Salaries and other benefits	1,194	889
To the Government as taxes	70	37
Change in Family Takaful (Long Term Insurance) Fund	286	184
Retained with the business		
- depreciation	103	64
- in reserves	488	276
Total Value added	2,141	1,449

SHARE INFORMATION

1. Analysis of the Distribution of Shareholders as at 31st December 2022

Shareholding			Resident			Non-Resident			Total	
			No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares
1	-	1,000	3776	863,651	0.48	13	4,482	0.00	3,789	868,133
1,001	-	10,000	761	2,418,126	1.34	4	27,750	0.02	765	2,445,876
10,001	-	100,000	148	3,993,872	2.22	2	26,500	0.01	150	4,020,372
100,001	-	1,000,000	9	1,780,067	0.99	0	0	0.00	9	1,780,067
Over 1,000,000			8	170,885,682	94.94	0	0	0.00	8	170,885,682
			4,702	179,941,398	99.97	19	58,732	0.03	4,721	180,000,130

2.1 Top 25 Shareholders as at 31st December 2022

	No. of Shares	%
SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	32,646,350	18.14
MR. SATTAR KASSIM	30,861,752	17.15
AMANA BANK PLC/MR.OSMAN KASSIM	30,500,000	16.94
AMANA BANK PLC/MR. SHAFIK KASSIM	30,468,567	16.93
AMANA BANK PLC	27,009,180	15.01
ABERDEEN HOLDINGS (PRIVATE) LIMITED	14,156,108	7.86
FALCON TRADING (PVT) LTD.	2,861,302	1.59
MR. OSMAN KASSIM / MRS. K. KASSIM	2,382,423	1.32
SEYLAN BANK PLC/JAYANTHA DEWAGE	414,308	0.23
Mrs. NABEELA HAROON	270,000	0.15
Mr. GAJATH CHRYSANTHA GOONETILLEKE	256,031	0.14
MR. MOHAMED HUSSAIN MOHAMED FAIZER / MRS. F.R. FAIZER	185,248	0.10
MR. AMIRALLY LUKMANJEE	168,621	0.09
MR. KALI MUDIYANSELEGEDARA SEYYADU MOHAMED RAZEEL	150,292	0.08
MR. WANNIACHCHIGE LAL THILAKASIRI ANANDAWANSA	121,206	0.07
COMMERCIAL BANK OF CEYLON PLC/S.A.GULAMHUSEIN	113,757	0.06
MRS. PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE	100,604	0.06
MR. MOHAMED SAJJAD MAWZOOM	100,000	0.06
MR. ARUNASALAM SITHAMPALAM	99,179	0.06
MRS. KHAIRUNNISSA KASSIM	97,920	0.05
MR. THEVAMOORTHY RAVI	90,000	0.05
SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	78,605	0.04
MR. SUGATHADASA RUWANPATHIRANA /MRS. V. RUWANPATHIRANA	77,824	0.04
MR. PERIYASAAMI PILLAI THEVARAJAH	77,000	0.04
MR. SITHAMBARAM PILLAI JAYAKUMAR/MRS. P. MEENA	75,000	0.04
	173,361,277	96.31
Others	6,638,853	3.69
Total	180,000,130	100.00

SHARE INFORMATION

2. Top 25 Shareholders as at 31st December 2021

	No. of Shares	%
SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	31,920,334	17.73
AMANA BANK PLC/MR. OSMAN KASSIM	30,500,000	16.94
AMANA BANK PLC/MR. SHAFIK KASSIM	30,468,567	16.93
AMANA BANK PLC	27,009,180	15.01
MR. SATTAR KASSIM	19,626,458	10.90
ABERDEEN HOLDINGS (PRIVATE) LIMITED	14,132,220	7.85
AMANA BANK PLC/MR. SATTAR KASSIM	11,235,294	6.24
FALCON TRADING (PVT) LTD	2,861,302	1.59
MR. OSMAN KASSIM / MRS. K. KASSIM	2,383,152	1.32
SEYLAN BANK PLC/JAYANTHA DEWAGE	414,308	0.23
Mrs. NABEELA HAROON	270,000	0.15
Mr. GAJATH CHRYSANTHA GOONETILLEKE	256,031	0.14
MR. MOHAMED HUSSAIN MOHAMED FAIZER / MRS. F.R. FAIZER	185,248	0.10
MR. THEVAMOORTHY RAVI	182,912	0.10
MR. AMIRALLY LUKMANJEE	168,621	0.09
MR. KALI MUDIYANSELEGEDARA SEYYADU MOHAMED RAZEEL	150,292	0.08
MR. WANNIACHCHIGE LAL THILAKASIRI ANANDAWANSA	121,206	0.07
COMMERCIAL BANK OF CEYLON PLC/S.A.GULAMHUSEIN	113,757	0.06
MRS. PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE	100,604	0.06
MR. MOHAMED SAJJAD MAWZOOM	100,000	0.06
MR. SITHAMBARAM PILLAI JAYAKUMAR & MRS. P. MEENA	100,000	0.06
MR. ARUNASALAM SITHAMPALAM	99,179	0.06
MRS. KHAIRUNNISSA KASSIM	97,920	0.05
SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	78,605	0.04
MR. SUGATHADASA RUWANPATHIRANA & MRS. V. RUWANPATHIRANA	77,824	0.04
	172,653,014	95.92
Others	7,347,116	4.08
Total	180,000,130	100.00

Public Shareholding

	31.12.2022	31.12.2021
Float Adjusted Market Capitalisation (Rs.)*	2,023,165,552	1,089,353,663
Percentage of Shares held by the Public	92.13%	47.65%
Number of Public Shareholders	4719	4865

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

3. Investor Ratios

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Earnings per Share	1.66	0.91	1.64	0.91
Dividend per Share	-	-	-	-
Dividend Payout Ratio	-	-	-	-
Net Assets per Share	23.50	13.28	15.27	9.29

4. Market Value of Shares

	2022 Rs.	2021 Rs.
Highest Value	20.00	14.60
Lowest Value	8.10	7.00
Year End Value	12.20	12.70

TEN YEAR SUMMARY

Group

Statement of Income for the year ended

	31.12.2022 Rs.'000	31.12.2021 Rs.'000	31.12.2020 Rs.'000	31.12.2019 Rs.'000
Gross Written Contribution (Premium)	8,250,960	5,178,592	4,143,674	4,275,776
Net Earned Contribution (Premium)	5,784,131	3,698,734	2,999,477	3,292,601
Income from Investments and Other Income	1,158,543	572,333	522,868	579,351
Net Claims Incurred	(3,683,488)	(1,924,002)	(1,632,751)	(2,244,905)
Net Commission Incurred	(468,688)	(377,188)	(250,333)	(258,814)
Expenses	(1,946,894)	(1,472,883)	(1,239,052)	(1,492,769)
Increase in Family Takaful (Long Term Insurance) Fund	(285,948)	(184,031)	(140,186)	(27,284)
Profit/(Loss) Before Taxation	557,655	312,963	260,023	(151,819)
Income Tax Expenses	(70,047)	(36,807)	(37,597)	(125,351)
Net Profit/(Loss) for the year	487,608	276,157	222,426	(277,170)
Basic Earnings/(Loss) Per Share (Rs.)	1.66	0.91	0.67	(1.87)

General Insurance Business

Statement of Income for the year ended

	31.12.2022 Rs.'000	31.12.2021 Rs.'000	31.12.2020 Rs.'000	31.12.2019 Rs.'000
Gross Written Contribution (Premium)	7,190,182	4,248,762	3,377,022	3,424,483
Net Earned Contribution (Premium)	4,780,889	2,817,015	2,257,304	2,472,088
Income from Investments and Other Income	708,265	309,619	260,955	259,125
Net Claims Incurred	(3,164,719)	(1,496,966)	(1,185,530)	(1,653,010)
Net Commission Incurred	(319,406)	(242,166)	(147,201)	(140,916)
Expenses	(1,051,464)	(1,084,098)	(869,185)	(1,065,189)
Profit/(Loss) Before Taxation	503,565	303,404	316,343	(127,902)

Amana Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Income for the year ended

	31.12.2022 Rs.'000	31.12.2021 Rs.'000	31.12.2020 Rs.'000	31.12.2019 Rs.'000
Gross Written Contribution (Premium)	1,060,778	929,830	767,232	851,293
Net Earned Contribution (Premium)	1,003,241	881,719	742,753	820,513
Income from Investments and Other Income	450,278	262,714	289,996	320,226
Net Claims Incurred	(518,769)	(427,036)	(447,220)	(591,895)
Net Commission Incurred	(149,282)	(135,022)	(103,132)	(117,898)
Expenses	(445,430)	(388,785)	(376,923)	(427,580)
Increase in Family Takaful (Long Term Insurance) Fund	(285,948)	(184,031)	(140,186)	(27,284)
Profit/(Loss) Before Taxation	54,090	9,559	(34,712)	(23,917)

31.12.2018 Rs.'000	31.12.2017 Rs.'000	31.12.2016 Rs.'000	31.12.2015 Rs.'000	31.12.2014 Rs.'000	31.12.2013 Rs.'000	31.12.2012 Rs.'000
4,213,900	3,640,635	3,406,904	3,237,609	2,652,008	2,373,301	2,153,770
3,224,809	2,662,652	2,548,797	2,511,374	2,081,401	1,964,884	1,618,797
486,893	452,831	373,319	240,612	302,752	184,024	204,744
(1,930,906)	(1,479,674)	(1,438,346)	(1,337,090)	(895,861)	(929,340)	(778,767)
(260,413)	(202,356)	(238,515)	(226,904)	(187,263)	(130,096)	(84,304)
(1,424,141)	(1,223,014)	(1,084,447)	(976,552)	(867,768)	(757,034)	(686,400)
36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)
133,203	169,904	(140,239)	(271,387)	86,429	111,298	107,022
(29,012)	(14,900)	(5,919)	(9,113)	16,582	46,560	(16,689)
104,191	155,004	(146,158)	(280,500)	103,011	157,857	90,333
0.33	0.08	(0.09)	(0.18)	0.07	0.13	0.06

31.12.2018 Rs.'000	31.12.2017 Rs.'000	31.12.2016 Rs.'000	31.12.2015 Rs.'000	31.12.2014 Rs.'000	31.12.2013 Rs.'000	31.12.2012 Rs.'000
3,385,952	2,848,461	2,586,178	2,309,315	1,972,979	1,830,315	1,789,011
2,418,344	1,897,617	1,742,740	1,603,309	1,416,151	1,426,921	1,261,846
275,669	183,763	150,530	110,409	165,763	118,458	170,769
(1,387,459)	(1,050,282)	(1,118,164)	(1,129,518)	(734,623)	(749,794)	(698,422)
(154,588)	(105,094)	(130,278)	(129,582)	(113,552)	(82,355)	(67,852)
(956,187)	(800,711)	(820,759)	(744,069)	(647,310)	(594,987)	(559,319)
195,778	125,294	(175,931)	(289,451)	86,429	118,243	107,022

31.12.2018 Rs.'000	31.12.2017 Rs.'000	31.12.2016 Rs.'000	31.12.2015 Rs.'000	31.12.2014 Rs.'000	31.12.2013 Rs.'000	31.12.2012 Rs.'000
827,948	792,174	820,726	928,294	679,029	542,986	364,759
806,465	765,036	806,057	908,064	665,250	537,963	356,951
211,224	269,068	222,789	130,203	136,988	65,566	33,975
(543,446)	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)
(105,825)	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)
(467,954)	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)
36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)
(62,574)	50,592	35,691	18,064	-	(6,945)	-

TEN YEAR SUMMARY

Group

Statement of Financial Position as at

	31.12.2022 Rs.'000	31.12.2021 Rs.'000	31.12.2020 Rs.'000	31.12.2019 Rs.'000
Assets				
Financial Assets	7,056,733	3,934,918	3,177,241	2,831,688
Investment Property	150,550	196,100	194,000	194,000
Financial Assets - Unit Linked	2,425,247	2,121,645	1,907,620	1,716,210
Intangible Assets	174,990	120,835	109,312	114,455
Property, Plant and Equipment	90,586	88,131	68,651	86,386
Cash and Banks & Other Assets	2,793,464	2,096,379	1,651,815	1,652,759
Cash and Bank Balances - Unit Linked	15,841	9,583	2,244	38,198
Total Assets	12,707,411	8,567,591	7,110,883	6,633,695
Liabilities				
Insurance Control Liabilities - Non-Life	2,555,353	1,636,433	1,260,984	1,070,778
Insurance Control Liabilities - Family Takaful Fund	356,693	397,381	445,782	471,280
Insurance Control Liabilities - Family Takaful - Unit Linked	2,473,580	2,149,698	1,913,107	1,747,560
Subordinated Debt	413,765	379,157	214,528	226,250
Other Liabilities	2,559,148	1,534,066	1,106,357	1,241,471
Other Liabilities - Unit Linked	118,930	80,208	74,379	50,987
Total liabilities	8,477,409	6,176,943	5,015,136	4,808,326
Shareholders' Equity				
Equity Attributable to Equity Holders of the Parent				
Stated Capital	1,860,001	1,860,001	1,860,001	1,860,001
Other Reserves	882,594	214,964	153,197	141,525
Revenue Reserves	50,080	(361,635)	(487,950)	(637,893)
	2,792,675	1,713,331	1,525,248	1,363,633
Non-Controlling Interest	1,437,268	677,319	570,499	461,737
Total Equity	4,229,942	2,390,649	2,095,747	1,825,370
Total Equity and Liabilities	12,707,411	8,567,592	7,110,883	6,633,695

	31.12.2018 Rs.'ooo	31.12.2017 Rs.'ooo	31.12.2016 Rs.'ooo	31.12.2015 Rs.'ooo	31.12.2014 Rs.'ooo	31.12.2013 Rs.'ooo	31.12.2012 Rs.'ooo
	2,835,181	2,727,923	2,305,095	2,448,385	1,754,470	1,655,539	1,877,583
	220,429	79,925	78,500	73,500	101,800	173,531	184,105
	1,621,208	1,526,679	1,441,276	1,054,183	603,171	351,189	124,446
	86,943	31,812	36,658	24,703	24,159	29,002	29,199
	96,024	76,726	101,870	123,231	127,570	96,720	83,385
	1,722,151	1,485,573	1,450,105	937,383	1,000,999	916,957	532,335
	8,155	7,370	104,248	84,611	130,239	38,810	17,401
	6,590,091	5,936,008	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454
	1,394,787	1,015,130	917,870	742,618	625,154	698,682	597,736
	534,967	580,710	559,914	574,711	551,211	550,220	577,899
	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447
	46,600	-					
	925,210	992,898	845,154	687,939	443,988	329,820	433,522
	51,286	51,845	50,316	39,437	20,116	9,042	2,985
	4,612,974	4,165,719	3,877,398	3,236,500	2,371,268	1,968,722	1,750,589
	1,860,001	1,860,001	1,860,001	1,650,001	1,250,001	1,250,001	1,250,001
	140,956	83,090	85,869	80,105	65,949	30,128	30,140
	(377,686)	(455,559)	(567,430)	(426,506)	(121,500)	(142,051)	(324,619)
	1,623,271	1,487,533	1,378,441	1,303,601	1,194,450	1,138,078	955,522
	353,846	282,755	261,913	205,894	176,689	154,951	142,343
	1,977,117	1,770,288	1,640,354	1,509,494	1,371,139	1,293,028	1,097,865
	6,590,091	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454

TEN YEAR SUMMARY

Amana Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Financial Position as at

	31.12.2022	31.12.2021	31.12.2020	31.12.2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets				
Financial Assets	1,052,176	881,849	857,600	816,350
Investment Property	150,550	147,500	147,500	147,500
Financial Assets - Unit Linked	2,425,247	2,121,645	1,907,730	1,716,210
Intangible Assets	20,456	17,420	18,363	19,659
Property, Plant and Equipment	21,318	25,769	15,347	20,110
Right Of Use Asset	11,954	13,251	19,839	16,064
Cash and Banks & Other Assets	123,198	133,236	123,744	150,398
Cash and Bank Balances - Unit Linked	15,841	9,583	2,244	38,198
Total Assets	3,820,740	3,350,253	3,092,367	2,924,488
Liabilities				
Insurance Contract Liabilities - Family Takaful Fund	356,693	397,381	446,995	471,280
Insurance Contract Liabilities - Family Takaful - Unit Linked	2,473,580	2,149,698	1,913,217	1,747,560
Subordinated Debt	122,612	88,005	81,417	81,417
Other Liabilities	205,109	151,205	115,968	85,392
Other Liabilities - Unit Linked	118,930	80,208	74,379	50,987
Total Liabilities	3,276,925	2,866,497	2,631,976	2,436,635
Shareholders' Equity				
Equity Attributable to Equity Holders of the Parent				
Stated Capital	500,000	500,000	500,000	500,000
Other Reserves	31,489	26,398	11,545	6,710
Revenue Reserves	12,326	(42,641)	(51,154)	(18,857)
Total Equity	543,815	483,757	460,391	487,853
Total Equity and Liabilities	3,820,740	3,350,253	3,092,367	2,924,488

	31.12.2018 Rs.'000	31.12.2017 Rs.'000	31.12.2016 Rs.'000	31.12.2015 Rs.'000	31.12.2014 Rs.'000	31.12.2013 Rs.'000	31.12.2012 Rs.'000
	875,165	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756
	144,929	-	-	-	43,683	71,908	73,463
	1,621,208	1,526,679	1,441,276	1,054,183	603,171	351,189	124,446
	20,955	22,250	23,549	18,408	-	-	-
	28,704	21,165	17,467	14,932	-	-	-
	-	-	-	-	-	-	-
	178,459	191,588	102,661	84,611	64,612	37,992	43,936
	8,155	7,370	104,248	142,504	130,239	38,810	17,401
	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002
	534,967	580,710	559,914	574,711	551,211	550,220	577,899
	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447
	32,051	-					
	83,420	78,149	69,708	82,414	129,678	66,636	79,171
	51,286	51,845	50,316	39,437	20,116	9,042	3,485
	2,361,849	2,235,839	2,184,082	1,888,357	1,431,804	1,006,855	799,002
	500,000	500,000	500,000	500,000	-	-	-
	3,431	(1,545)	(2,669)	2,169	-	-	-
	12,295	75,333	26,186	13,424	-	-	-
	515,726	573,788	523,517	515,594	-	-	-
	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002

GEOGRAPHY LOCATIONS

Head Office

660-1/1, Galle Road, Colombo-03
011 7501000

Pettah

51 and 53, Bankshall Street,
Colombo-11.
011 7501212 / 1307

Kalutara

558A/2, Galle Road, Kalutara South
034 7501135 / 1132

Galle

41, Sri Devamiththa Mawatha, Galle
091 7501127 / 1128

Matara

36/1, 1st floor, St. Thomas Mawatha,
Matara
041 7501130 / 1133

Negombo

No: 139/A, St. Joseph Street,
Negombo
031 7501121

Rathnapura

310/1, 1st Floor, Main Road,
Kudukulwatta, Rathnapura
045 7501100 / 1105

Kurunegala

7, South Circular Road, Kurunegala
037 7501120 / 1125

Matale

95/1/1, Dharmapala Mawatha, Matale.
066 7501103 / 1101

Kaduruwela

379 A, Main Street, Kaduruwela
027 7501120

Mawanella

207, New Kandy Road, Mawanella
035 7501107 / 1108

Kalmunai

32, Main Street, Kalmunai
067 7501120 / 1116

Trincomalee

319/2, Court Road, Trincomalee.
026 7501100

Batticaloa

32, Bar Road, Batticaloa
065 7501103

Jaffna

249, Power House Road, now
C.Ponnambalam Road, Jaffna
021 7501103 / 1100

Puttalam

126, Mannar Road, Puttalam
032 7501123 / 1129

Anuradhapura

521/22, Maithripala
Senanayake, Mawatha, Anuradhapura
025 7501102 / 1103

Akkaraipattu

Main Street, Akkaraipattu 02
067 7501104 / 1100

Dehiwela

General 142, Galle Road, Dehiwela
011 7501204 / 1275

Gampola

134 A, 1st Floor, Kandy Road, Gampola
081 7501105

Vavuniya

General 9/60, First Cross
Street, Vavuniya
024 7501100

Akurana

207/B, Matale Road, Akurana
081 7501150 / 1151

Thihariya

ADO General Office
No. 539/B/5, Gemunu Mawatha,
Malwatta, Nittambuwa
033 7501100

Mannar

ADO General Office
Pallimunai, Mannar
023 7501200

Beruwela

ADO General Office
201 B - 2/1, 1st Floor Galle Road,
Beruwela
034 7501138

Kandy General (Katugastota)

310, 1/2, Katugastota Road, Kandy
081 7501121

Nuwara Eliya

72-1/2, Park Road, Nuwara Eliya.
052 7501001

Monaragala

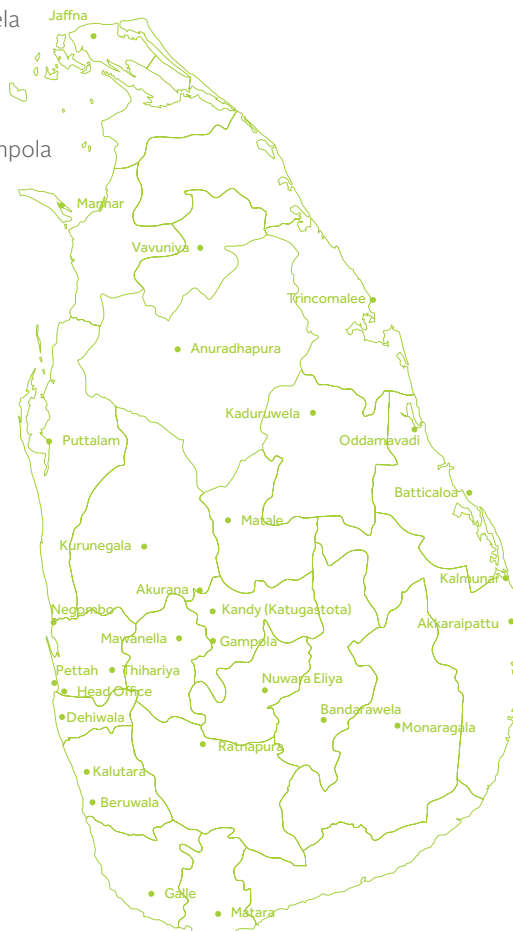
240 Wellavaya, Monaragala.
055 7501101

Bandarawela

572 1/2, Badulla Road, Bandarawela
057 7501000

Oddamavadi

Main Road, Oddamavadi
065 7501000



GLOSSARY OF FINANCIAL TERMS

Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding – General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

GLOSSARY OF FINANCIAL TERMS

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises of Shari'ah Scholars or/and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Solvency Margin – General Takaful (Insurance)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

Surrender

The act of cancelling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 24th Annual General Meeting of Amana Takaful PLC will be held on 27th of June 2023 at 9.00 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM) for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2022 and the Report of the Auditors thereon.
2. Re-election of Directors by Rotation in terms of Article 82 of the Articles of Association of the Company
 - a. Ms. Eranjalee Deepthie Wickramasuriya being eligible, offers herself for re-election as a Director.
 - b. Mr. M. H. S. Kassim being eligible, offers himself for re-election as a Director.
3. Re-appoint the retiring Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and to authorize the Directors to determine their remuneration.

By Order of the Board,
AMANA TAKAFUL PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.

Secretaries
23 May 2023

Notes:

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATL are entitled to take part at the AGM of ATL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATL Shareholders only.
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, , or e-mailed to "agm.atplc@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.

FORM OF PROXY

I/We the undersigned bearing NIC No.,
of
being a member/members of Amana Takaful PLC, hereby appoint

- Full name of proxy -
- NIC of Proxy -
- Address of Proxy -
- Contact Numbers - Land Mobile
Email address

Failing him

Mr. M. Z. M. Ghouse	of Colombo or failing him
Ms. E. D. Wickramasuriya	of Colombo or failing her
Mr. M. H. S. Kassim	of Colombo or failing him
Mr. S. R. Hussain	of Pakistan or failing him
Mr. T. M. Wijesinghe	of Colombo or failing him
Mr. P. S. Weerasekera	of Colombo or failing him
Mr. A. O. Kassim	of Colombo

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting to be held on 27th June 2023 at 9.00 a.m. via Audio/Video (Virtual AGM) and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

Ordinary Resolution	For	Against
1. To receive and consider the Annual Report of the Board of Directors for the year ended 31st December 2022 and the Report of the Auditors thereon.		
2. To re-elect Ms. Eranjalie Deepthie Wickramasuriya as a Director of the Company.		
3. To re-elect Mr. M. H. S. Kassim as a Director of the Company.		
4. To re-appoint the retiring auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize Directors to determine their remuneration.		

As witness my/our hands this day of 2023

.....
Signature

FORM OF PROXY

Instructions as to Completion

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atplc@takaful.lk" not later than 48 hours prior to the time appointed for holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.

CORPORATE INFORMATION

Name of the Company

Amana Takaful PLC

Legal Status

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

Company Registration Number

PQ 23

Tax Payer Identification Number (TIN)

134007958

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'.

Directors

M. Z. M. Ghouse – Chairman

M. H. S. Kassim

E. D. Wickramasuriya

S. Rizwan Hussain

T. M. Wijesinghe

A. O. Kassim

P. S. Weerasekera

Shari'ah Advisory Council

Mufti M.I.M. Rizwe – Chairman

Mufti Shafique Ahmed Jakhura – Member

Ash-Sheikh M. Murshid – Secretary

Ash-Sheikh Huzaifal Hussain

Chief Executive Officer – Amana Takaful Plc

Ahamed Shehan Feisal

Chief Executive Officer – Amana Takaful Life PLC

Gehan Shivantha Rajapakse

Registered Office

No. 660-1/1, Galle Road, Colombo 03, Sri Lanka

Subsidiaries

Amana Takaful Life PLC

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

Amana Global Ltd.

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

Amana Takaful (Maldives) PLC

H. Mialani, Sosun Mogu, Male, Republic of Maldives

Auditors

Messrs Ernst & Young
Chartered Accountants

Consultant Actuaries – General Insurance

Actsure Lab (Pvt) Ltd.
No. 11/2, 1st Lane Pagoda Road,
Nugegoda, Sri Lanka.

Consultant Actuaries – Long-Term Insurance

Actuarial Partners Consulting Sdn Bhd Suite 17.02, Kenanga
International Jalan Sultan Ismail 50250 Kuala Lumpur, Malaysia

Reinsurance Panel

Swiss Reinsurance Company Ltd
Labuan Reinsurance (L) Ltd, Labuan, Malaysia
Ocean Re
Asian Re
GIC Retakaful
Tunis Re
Hannover Re
Munich Re
Score Re

Secretaries

Managers & Secretaries (Pvt) Ltd.

Principal Bankers

Amana Bank PLC/Pan Asia Bank/NDB Bank/
Bank of Ceylon/Commercial Bank/Sampath Bank/HNB/
Nations Trust Bank/Seylan Bank/ MCB Bank

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Annual Reports